

The **BASICS** of **SAVING** and **INVESTING**:

INVESTOR EDUCATION 2020



The Basics is a product of the



A Message to Educators

The Basics of Savings and Investing: Investor Education 2020 is a project of the Investor Protection Trust (IPT).

The IPT is a nonprofit organization devoted to investor education. Created in 1993, the Investor Protection Trust works with the States and at the national level to provide the independent, objective investor education needed by all Americans to make informed investment decisions. Since 1998, we have worked with more than 40,000 high school teachers, distributing curricula and conducting more than 350 teacher training sessions across the country.

The Basics of Savings and Investing: Investor Education 2020 is a unique teaching tool that will provide school age and adult learners with non-commercial information that they need to know for sound financial decision making and investing throughout their lives. You can use *The Basics of Saving and Investing: Investor Education 2020* as the framework for an entire course or as part of a semester or year of instruction. The guide is complete with lesson plans, worksheets, overheads/pass-outs and tests covering each unit.

Conveniently divided into four self-contained units, Basics focuses on the following learning objectives:

- Understanding the financial markets
- Making sound financial and investment decisions
- Selecting among the various saving and investing options
- Finding and utilizing investment information
- Recognizing and victim-proofing yourself against investment fraud
- Knowing how regulators help to protect investors

The Basics of Saving and Investing: Investor Education 2020 is available for download on the IPT website at www.investorprotection.org/teach along with additional investor education booklets and a variety of video clips from the national MoneyTrack public television series. The video clips have been matched with the Units of *The Basics*, and selected video can be downloaded and embedded into presentations to use as part of your class.

We hope you will join the thousands of educators using this Investor Protection Trust teaching guide. We trust that you will find it an enriching experience in many ways.

Sincerely,

The Investor Protection Trust
www.investorprotection.org

Acknowledgements

The Investor Protection Trust (IPT) acknowledges the cooperation of its authors, editors and academic advisers who provided valuable direction and advice in developing *The Basics of Saving and Investing: Investor Education 2020*.

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The Basics of Savings and Investing: Investor Education 2020 has been made possible in your state and nationally by the involvement and support of the **Investor Protection Trust** (www.investorprotection.org).

Special thanks to the **Texas State Securities Board** for their financial contribution toward the update of *The Basics of Saving and Investing* guide. This publication benefited from a series of investor education booklets developed by the **Kiplinger Washington Editors, Inc.** and the **IPT**:

- Five Keys to Investing Success
- The Basics for Investing in Stocks
- A Primer for Investing in Bonds
- Mutual Funds and ETFs: Maybe All You'll Ever Need
- Getting Help With Your Investments
- Maximize Your Retirement Investments
- Where to Invest Your College Money

The Basics of Savings and Investing:

INVESTOR EDUCATION 2020

INTRODUCTION

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- Acknowledgements

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- How to Think About Making Financial Decisions
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- Unit 2 Test/Answer Key

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The **BASICS** of **SAVING** and **INVESTING**:

INVESTOR EDUCATION 2020

Unit 1: Getting Started



Unit 1: Getting Started

TEACHING STANDARDS/KEY TERMS

- Benefits
- Choices
- Compound interest
- Decision making
- Diversification
- Financial plan/Investment plan
- Goals
- Interest rate
- Investing
- Limited resources
- Market returns
- Needs vs. wants
- Opportunity costs
- Rainy day fund
- Risk
- Savings
- Time value of money
- Trade-offs
- Values



Unit Objectives:

INDIVIDUALS WILL:

- Discuss why people save and invest.
- Learn how to think about financial decisions.
- Understand key concepts of saving and investing (including the “time value of money”).

Unit Teaching Aids:

- LESSON 1:** Investing in the Real World (*Handout, page 1.11*)
- LESSON 2:** Saving and Investment Products, (*Handout, page 1.12*)
Comparing Savings and Investment Products (*Worksheet, page 1.15*)
- LESSON 3:** Pyramid of Investment Risk (*Overhead and Worksheet, page 1.16 & 1.17*)
Investment Risk (*Quiz, page 1.20; Answer Key, page 1.21*)
Time Value of Money (*Chart and Worksheet, page 1.22 & 1.23*)
Rule of 72 (*Worksheet, page 1.24*)
- UNIT TEST:** (*Test, page 1.25 & 1.26; Answer Key, page 1.27*)

For Instructors —

Defining “Investor Education”

This guide is about investor education — helping individuals understand how to successfully save and invest in order to achieve their future financial goals. You probably have seen a number of teaching guides and student workbooks in recent years that cover important topics such as how to balance a checkbook, deal responsibly with a credit card, buy life insurance and make other financial decisions. Those things are not the focus of this teaching guide. While general **financial literacy** is something that is undoubtedly essential to functioning in today’s society, there are any number of places where teachers and students can turn to get general financial education content of that sort.

That is why the teaching guide you are now reading focuses on one thing and one thing only: **investor education**. As such, *The Basics of Saving and Investing: Investor Education 2020* concentrates on such financial products as stocks, bonds, mutual funds, 401(k) retirement plans, IRAs, and other major investment tools. If you want to teach your students about other issues like responsible use of credit, buying insurance, etc., please consider using this teaching guide as an investment-specific supplement to the other topics that you are covering.

Why Teach This Unit?

Learning how to invest is valuable information from which many people can benefit. Company pensions are a thing of the past. Social Security is not intended to cover all of the financial needs of retirees. In order to achieve a secure future, most Americans will need to participate in the financial markets through individual investing or employer-based retirement programs — or both. Too many people jeopardize their future financial security by failing to take the time to learn about investing. It is important, therefore, that individuals learn how the financial markets (and the products sold in them) work. The first step in that process is the focus of this Unit: Learning how smart saving and investment decisions are made. You, and your students, will find that it isn’t nearly as intimidating a topic as they — and you! — may think.

Young people have money but few know how to manage it. Nearly half of all high school students have a part-time job. Some save their money and invest it for future needs, including funding a college education, buying a car, starting a family, or even taking the first steps toward purchasing a home. But too many young people spend everything they earn... and more!... on food, clothes, or entertainment. Worse, some students use credit cards to spend money they don't have and, in some cases, can't repay. By contrast, young people who understand and practice sound financial decision-making skills early in their lives are on the road to financial success.

Individuals who start investing early can become big financial winners. Students may wonder at first what a course about investing has to do with them. They may think they don't have much money now and have plenty of time later to worry about saving and investing. Most would think differently if they knew that just \$5 a week invested at 8 percent interest beginning at age 18 would grow to \$134,000 by the time they reach 65. Teenagers have an advantage that older people don't have: time. When they understand this concept and use time in their favor, young people have a much better chance of pursuing their dreams and reaching their financial goals.

Lesson 1: Why People Save and Invest

Most people start saving and investing to meet a specific goal, such as buying a car, continuing their education or starting a family. Among the tasks young adults face as they move into the working world are the following:

- Preparing for a career, often by going to college.
- Saving for major purchases and expenses (such as a college education, a family and a first home).
- Building up a “rainy day” fund for emergencies (possible job lay off, etc.).
- Developing a personal financial/investment plan.
- Starting a savings and investment program.

Beyond the things they may need or want either now or in the near future, people save and invest for other reasons. One of the most important reasons for people to save and invest is to provide the funds for a comfortable, financially secure retirement. People who save and invest for the long term are using their money to make more money — through interest in a bank product (such as a certificate of deposit) or through market returns on a stock, bond or mutual fund. Most investors need both bank and investment products to meet their long-term financial goals.

Lesson 2: How to Think About Making Financial Decisions

Saving and investing are good things — they can make one’s life better. Ask your class the following questions: Could you spend 10 percent less than you do now, still have fun and put that money to work for your future? If you could save 10 percent of your income for future goals, what would those goals be? It takes more than luck to get what you want out of life. Individuals have to know what they want and then commit to a plan to meet those goals. The hazards of not planning include the risk of having a lifestyle filled with limited choices. Students need to know that by “paying yourself first” — making saving a priority — they can do more than just dream about what they want in the future: Those dreams can really come true!

Most people have to work to earn money. And once they have earned it, they have an important choice to make:

- Spend it all; or
- Spend a portion and save the rest.

Whether one’s income is small or large, setting aside some of it for investments requires self-discipline. This means that anyone with the self-discipline to postpone buying certain things they’d like to have now can enjoy the longer-term benefits of having that money work for them through savings and investments.

Financial decision making is important in high school because each decision will bring students either closer to, or further away from, their saving and investing goals. For example, Thomas’s goal is to save \$100 each month for college. However, when he goes shopping and sees that iPhone that he has wanted for several months, he decides to buy it instead of saving or investing for college that month. If he makes similar spending choices month after month, Thomas will never reach his college savings goal.

The following decision-making model will help you help your students consider relevant information that will lead to an informed choice:

- 1 Define the Issue or Problem.**
Kathy wants to buy a car.
- 2 Gather Information.**
Before going to a dealer, Kathy searches the Internet to learn more about the types of cars in her price range, the safety and reliability of the models, and the resale value of the makes and models that interest her. She also looks in automobile magazines and talks with an auto mechanic and insurance agent to learn about the additional costs of car ownership.

3 Consider Alternatives and Consequences (trade-offs/opportunity costs).

Kathy explores her full range of choices. Would it be better to use public transportation? Should she purchase a new or used car? What will she have to give up to buy this car? Will she have to work more hours each week? Will she have to forego other activities that require spending money?

4 Make a Decision and Take Action.

After much consideration, Kathy decides to purchase a used car that is two years old, reliable, and safe. She also decides to put off the purchase for several months so that she can make a larger down payment.

5 Modify Plans as Needed.

Two years after purchasing the car, Kathy moves to a big city. For a few months she pays the high costs for parking, but soon realizes that it is much less expensive to use public transportation, so she decides to sell her car.

Your students' financial picture is all about the decisions they make now... and for their future. In the financial decision-making process, there are many different choices or alternatives that consumers must weigh. Each choice will have benefits and costs. As students weigh the benefits and costs of each alternative, it is important also to consider trade-offs and opportunity costs. **Trade-offs** are those items foregone as a result of choosing one option over another. **Opportunity costs** are those valued alternatives that are given up as a result of choosing one option over another. The concept of "opportunity cost" is key to understanding the power and benefits of investing for the future.

Consider Kathy's car-buying experience to explore needs, wants, choices, costs, benefits, trade-offs, and opportunity costs.

Lesson 3: Key Concepts of Saving and Investing

Over time, saving can build up money; however, investing offers the best way to achieve long-term financial goals. Any discussion of investing must begin with this simple truth: ***Investing means taking risks.*** Investment success depends in part on the ability to address those risks without passing up reasonable returns. That is why everyone needs to create a financial/investing plan (see Unit 3) that suits them and then they need to stick with it.

This lesson introduces several savings and investment vehicles such as stocks and bonds. These, as well as other vehicles, are discussed in more detail in Units 2 and 3.

Anyone can accumulate substantial sums of money by applying the following five keys to investment success. Note that these are keys, not “secrets.” There really aren’t any investment secrets.

KEY #1: Pay Yourself First

Make investing a habit. For most people with a small amount of money with which to start, the key to building up wealth lies in developing the habit of adding to one’s investments regularly and putting the money where it can do the most good. The rewards can really add up. For example, suppose a person takes \$5,000 and puts it in a savings account where it earns a safe 2 percent interest. Twenty years later that same deposit has grown to \$7,430 and change.

That’s nice, but it’s not going to finance a worry-free retirement. Suppose one’s goal is much higher than that — perhaps a nest egg of \$250,000. Assume a person has 20 years to reach that goal and the same \$5,000 to start, and is willing to investigate investment alternatives that have the potential to boost the return above earnings in a bank account. What’s a reasonable return to plan on, and how much will have to be added along the way? Since 1926, the stocks of large companies have produced an average annual return of nearly 10 percent. (Remember, that includes such “down” times as the Great Depression, Black Monday in 1987, the stock slide that followed September 11, 2001 and the recession of 2009.) At 10 percent, with \$5,000 to start and a goal of \$250,000, our investor must contribute \$279 a month to the investment account. With an 11 percent return, \$235 a month will grow to a quarter of a million dollars in 20 years.

KEY #2: Set Goals That Will Inspire Success

Students shouldn't be told just to "save and invest" for their future. Make the concept more concrete by discussing with them how they can work towards new financial goals: a new car... a new house... a college degree... a family. If they set vague goals, such as "financial security" or "a comfortable retirement," they'll have trouble measuring their progress along the way. They may even struggle to maintain interest in the project. Why is that true? Vaguely defined investment goals can lead to halfhearted efforts to achieve them. It is better to help your students set goals they can grab onto, goals that will excite them. Instead of "financial security," why not "\$500,000 net worth by age 60?"

Ask your students to think about how much their dreams and goals are going to cost. How much money will they need? Setting investment goals is a lot like reading a map: Before they can get to where they want to go, they've got to figure out their starting point. An easy way to help get your students there is by having them fill out the personal balance sheet in Unit 3. There are no "right" or "wrong" investment goals. They will be influenced by projected income and job security, risk tolerance and age. In addition, the time they have to achieve their goals should influence the kinds of investments they might consider. Most people have several goals at once.

Here are some scenarios to explore with your students that include different types of goals:

- **Short-term goals** | Suppose that a trip to Europe is one of your goals and that you would like to achieve it next summer. Such a short time horizon suggests that the stock market wouldn't be a good place to invest the money you're setting aside for the trip. The market is subject to wide swings, and you wouldn't want to be forced to sell your stocks in a downswing just because the time had come to buy your airline tickets. Don't put money into the stock market that you know you will need in the next two or three years. Low-risk vehicles such as certificates of deposit, for example, that mature about the time you'll need the cash or a money market fund that allows you to withdraw your cash instantly by writing a check may be a better choice.
- **Medium-term goals** | Maybe you'd like to buy your first house in five years. With more time, you have more flexibility. Safety is still important but you are in a better position to ride out down times in the financial markets and take on a little more risk. For medium-term goals like these, consider longer-term CDs that pay more interest than the short-term certificates you would buy to help finance your vacation trip. You could even consider mutual funds that invest in stocks that pay good dividends but don't tend to fluctuate much in price. That could give you high income (for reinvesting in more fund shares), a chance to ride along if the market zooms, and pretty good protection against all but a steep drop in stock prices.
- **Long-term goals** | A comfortable retirement is probably the most common of all financial goals. A college education for your children is another goal. For long-term goals like these, you can afford to take more risk. Consider a wide range of possibilities: stocks,

corporate and government bonds, and long-term CDs for diversification. Also take maximum advantage of tax-sheltered plans, such as individual retirement accounts (IRAs) and 529 college-savings plans. IRA earnings accumulate on a tax-deferred basis, and contributions may be tax-deductible. 401(k) plans provide many of the same advantages and might offer employer contributions that will help you reach your goal.

It is important to understand that these goals are likely to change, so it's important to reassess them annually, as is discussed in Unit 3. For instance, the kinds of growth-oriented investments that might be perfectly appropriate while accumulating a retirement nest egg and have a long-term horizon could be inappropriate after retirement when there is a need for income to pay the bills. The investment universe is vast and there are plenty of resources — magazines, newspapers, books, the Internet, investment advisers — who can help individuals decide how to rework their portfolios as their circumstances change.

KEY #3: Don't Take Unnecessary Risks

Risk and investing go hand in hand. In fact, risk can be defined as the chance one takes that all or part of the money put into an investment can be lost. The good news is that investing risk comes with the potential for investing reward — which is what makes the whole process worthwhile. Risk is the chance one takes that an investment will lose money, or earns less from one investment rather than another. If one can't reasonably expect to do better than that for the risk being taken, there's no sense in taking the risk.

Even seemingly “no-risk” products — such as savings accounts and certificates of deposit in federally-insured banks, savings and loans, or credit unions — carry the risk of earning less than the inflation rate. If the return comes in behind the rate of inflation, the investment has actually lost ground because your earnings aren't being maximized as they might have been with a different investment vehicle.

How does one control risk? Think of risk like a pyramid built on a broad, solid base of financial security, including a home and money in insured savings accounts or certificates. Visualize a pyramid. As one moves up from the base of the pyramid, the levels get narrower, representing the space in one's portfolio available for investments that involve risk. The greater the risk, the higher up the pyramid it goes and the less money should be entrusted to it.

How much should an individual have in savings? Three to six months' living expenses should be the goal. Bank, savings and loan, or credit union accounts are good places to keep this money. However, it's a good idea to look for opportunities to earn more than the 0.25 percent to 1 percent interest that these institutions tend to pay on their run-of-the-mill deposit accounts by putting most of it in higher interest producing investments like certificates of deposit, for example. One also might use a money market fund for at least part of this rainy day money. Such funds aren't federally insured, but they are conservative places to invest and they often pay a higher return than savings accounts.

Once one has built the base of their pyramid, they're ready to move up and become an investor. One level up is the appropriate place for mutual funds that invest in low-risk, dividend-oriented stocks and top-quality government and corporate bonds. Individual stocks and bonds are on the same level. Most financial experts would put investment real estate on the next level up. At the very top of the pyramid are investments that only experienced investors should try, such as penny or micro-cap stocks, commodity futures contracts and most limited partnerships. (*Instructors may want to expand on the variety of investment products listed here by going to Unit 2 for more detail.*)

How much risk is right? Controlling risk means more than being “comfortable” with an investment. Too many investors seem perfectly comfortable with too much risk. The basic thing to remember about risk is that it increases as the potential return increases. Essentially, the bigger the risk is, the bigger the potential payoff. (Don't forget those last two words — “potential payoff.” There are no guarantees.) That might sound exciting, but turn it around: the bigger the potential payoff, the bigger the risk of losing.

Does this mean one should avoid all high-risk investments? No. But it does mean that it is smart to confine them to the top of the investment pyramid — where they can never occupy a significant portion of one's investment portfolio. The basic rule to follow is: Invest only as much as you can afford to lose because you might, in fact, lose it. It's important to recognize the risks involved in every kind of investment.

KEY #4: Put Time to Work for You

Not familiar with the “time value of money?” The concept is one that everybody should learn about and live with since it can give financial security that one otherwise may not have. The concept is very simple: The more time individuals have to save and invest, the more money they can end up with... and not just in a $1 + 1 + 1 + 1 = 4$ kind of way. Money invested over time is **compounded** so that even small amounts invested regularly can add up to impressive sums. Compound interest means that interest is added on the original principal and on the accumulated past interest, thereby making your money grow into more, faster.

Consider college loans. Ever wonder why some young people and their parents work so hard to save and invest to pay for college tuition? Fast forward five years: Select a student who is now married and has a baby on the way. Let's say the cost of that child's four-year education in 18 years will be \$528,000 (a conservative estimate!). That's a huge sum, but because this student knows about the time value of money, she will find a way today to start saving for this expense. Why is that exactly? Because the dollars put away today are worth considerably more than they will be in 18 years. Assuming a time value for the money of 10 percent per year — meaning one could earn that much on the money between now and the time it will be needed — the value of the \$528,000 you need 18 years from now is about \$95,000. So, if that amount was available and salted away in an investment earning 10 percent a year, her child's college bills would be covered. Since it's unlikely she will have that amount handy, the smart idea would be to invest as much of it as she can as soon as she can to get the time value of money working for her.

A simple way to determine how long it will take for an investment to double in value is known as the Rule of 72. To use the Rule of 72, divide the interest rate into 72. The answer will be the number of years it will take for money to double in value. For example, with an interest rate of six percent, it will take 12 years for the money to double ($72 \div 6 = 12$). If the interest rate is eight percent, it will take 9 years for the money to double.

KEY #5: Diversify... Diversify... Diversify

Never put all your eggs in one basket. The way to accomplish this is through **diversification** — spreading out savings and investments over multiple categories (e.g., stocks, bonds and cash) in order to minimize the danger posed by an “up” or “down” in any one of the categories. The need to diversify one’s investments is two-fold:

- No investment performs well all the time; when one thing is down, another thing tends to be up.
- Investors may be able to increase their return by diversifying. The simple rule of thumb is this: The greater one’s diversification, the lower the exposure to risk.

Owning a variety of stocks and bonds may be one way to diversify one’s investments. But this can also be accomplished with mutual funds. Mutual funds are often the best way to diversify, although one needs to understand how to evaluate mutual fund track records and to analyze costs. And investing in bonds doesn’t necessarily mean only corporate or municipal securities. Variations on the bond theme can perform the same function for an investor’s portfolio, often at a more attractive return.

INVESTING IN THE REAL WORLD:

The 2007 Survey of Consumer Finances published in February 2009 found that 47.2 percent of all households maintain a savings account, representing more than \$3 trillion in low-interest savings. Using this data, we can look at how much money savers are losing each year by keeping their nest eggs in low-yield accounts. Consider the following:

- If all the deposits (totaling an estimated \$3 trillion) were shifted into accounts that paid 3 percent more (such as high-rate savings accounts, CDs, or Series EE Savings Bonds), savers would earn at least \$90 billion more in annual interest.
- If all deposits were instead shifted to Series I Savings Bonds, which pay 5 percent more than the average for deposit accounts, interest earnings would jump to at least \$60 billion more annually.

Lesson Outline: Saving and Investment Products

OBJECTIVE	Learners will: ■ Start discussing the role of saving and investment products. ■ Analyze several savings products from various financial institutions.
MATERIALS	■ “Comparing Savings Products” worksheet (Page 1.15). ■ Chart on board or newsprint charts. ■ Chalk, markers, or paper markers.
PROCEDURES	Instructor will: ■ Use the “Saving and Investment Products” overhead (Page 1.14) to differentiate between saving and investing. ■ Discuss common saving vehicles. ■ Discuss the following questions: • Which savings/investment vehicles have higher rates of return? • How are these instruments different? • Based on how they are described, what instrument products are most effective for these investment goals: safety, growth, income? Learners will: ■ Work individually or in small groups to complete “Comparing Savings and Investment Products” worksheet. Information may be gathered via the Internet, newspapers, or telephone. ■ Present research to class members by posting it on master forms, blackboard, newsprint charts, or in short oral presentations.
ASSESSMENT	■ “Comparing Savings and Investment Products” worksheet or class presentations.

Lesson Outline: Saving and Investment Products

**ESTIMATED
TIME**

- 60–90 minutes in class plus outside homework.

**BEYOND THE
CLASSROOM**

- Find the requirements for opening and maintaining a savings or investment account at a specific financial institution.

Worksheet: Saving and Investment Products

	Savings	Investments
OBJECTIVE	Short-term needs or emergencies	Long-term growth
PRODUCTS	Savings account, money-market account, CD	Stocks, bonds, mutual funds
RISKS	None on capital if FDIC insured (limits apply — contact local institution), but there is inflation risk	Varies, depending on investment product
SOURCE OF RETURN	Interest paid on money deposited	Interest, dividends, or capital gains or losses
KEY BENEFIT	Money is safe and accessible	Returns have outpaced inflation over the long term
KEY DRAWBACK	Returns historically have not outpaced inflation over the long term	Risk of losing money if securities decline in value

Name _____ Date _____

Worksheet: Comparing Saving and Investment Products

Financial Institution Name _____

	SAVINGS ACCOUNT	MONEY MARKET FUND	CERTIFICATE OF DEPOSIT
ANNUAL INTEREST RATE			
EFFECTIVE YIELD			
SAFETY (Insured by FDIC, NCUA, other)			
MINIMUM INITIAL DEPOSIT			
DATE TO MATURITY			
PENALTY FOR EARLY WITHDRAWAL			
SERVICE CHARGES, FEES			

Lesson Outline: Pyramid of Investment Risk

OBJECTIVE	Learners will: ■ Use the “Pyramid of Investment Risk” worksheet to make saving and investing recommendations for several different case studies (Page 1.19).
MATERIALS	■ “Pyramid of Investment Risk” overhead (Page 1.18) ■ “Pyramid of Investment Risk” worksheet (Page 1.19) ■ Quiz: Investment Risk (Page 1.20)
PROCEDURES	Instructor will: ■ Discuss the relationship between risk and return. ■ Discuss the “Pyramid of Investment Risk” overhead. ■ List (as a class) different types of investment products (may include stocks, bonds, mutual funds, real estate, etc.). ■ Place these products in the blank Pyramid. ■ Discuss the trade-offs of high-, moderate-, and low-investment risk. ■ React to and give examples of the following investment statement: “All investment decisions involve weighing opportunity costs and trade-offs.” Learners will: ■ Create a list (as a class) of saving and investment products. ■ Place each of the investment products in the correct location on the “Pyramid of Investment Risk.” ■ Discuss why they have placed the products in each of the categories.
ASSESSMENT	■ Contributions to class discussion. ■ Worksheet/Quiz: Investment Risk

Lesson Outline: Pyramid of Investment Risk

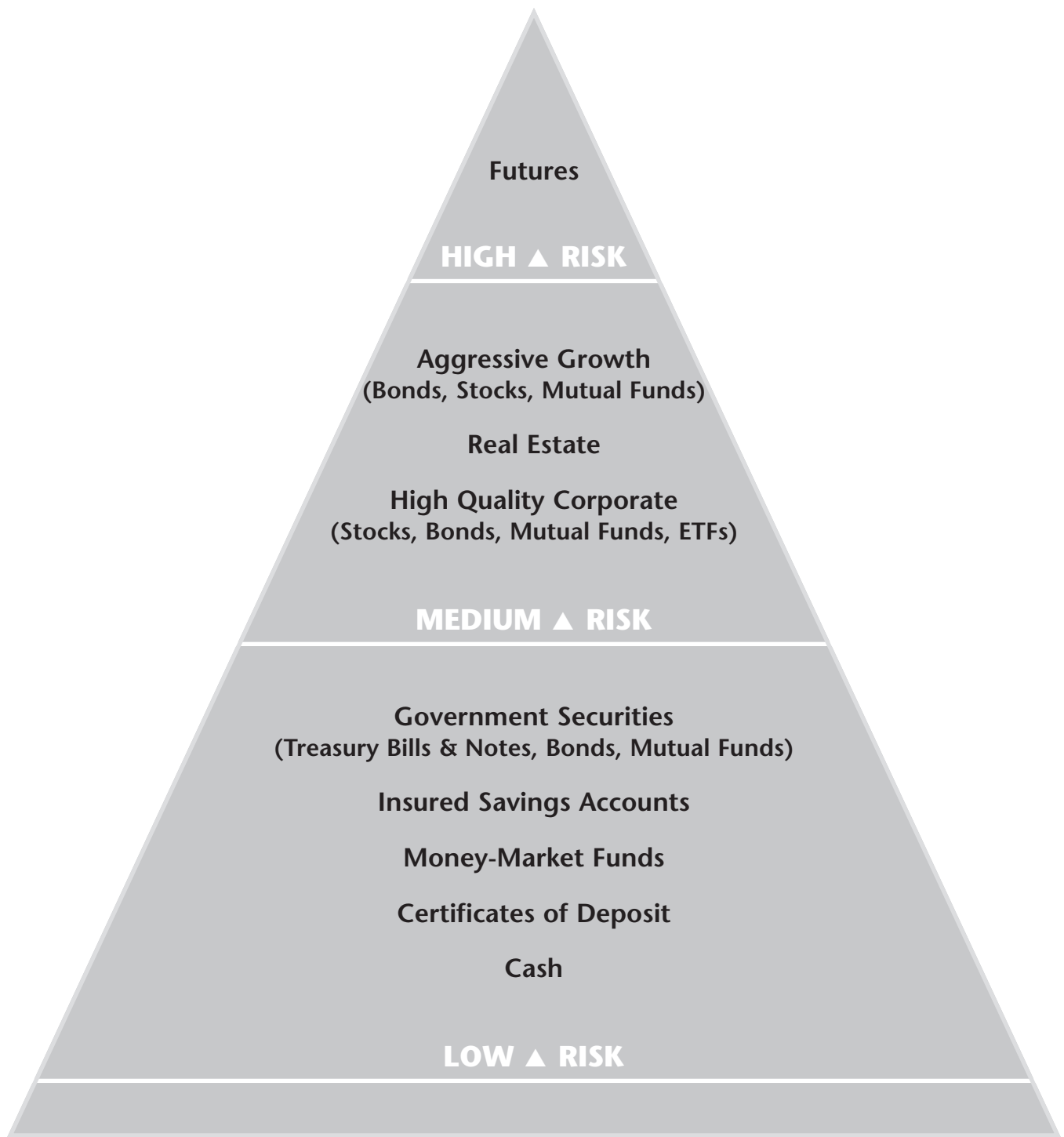
**ESTIMATED
TIME**

- 45–60 minutes of class time.

**BEYOND THE
CLASSROOM**

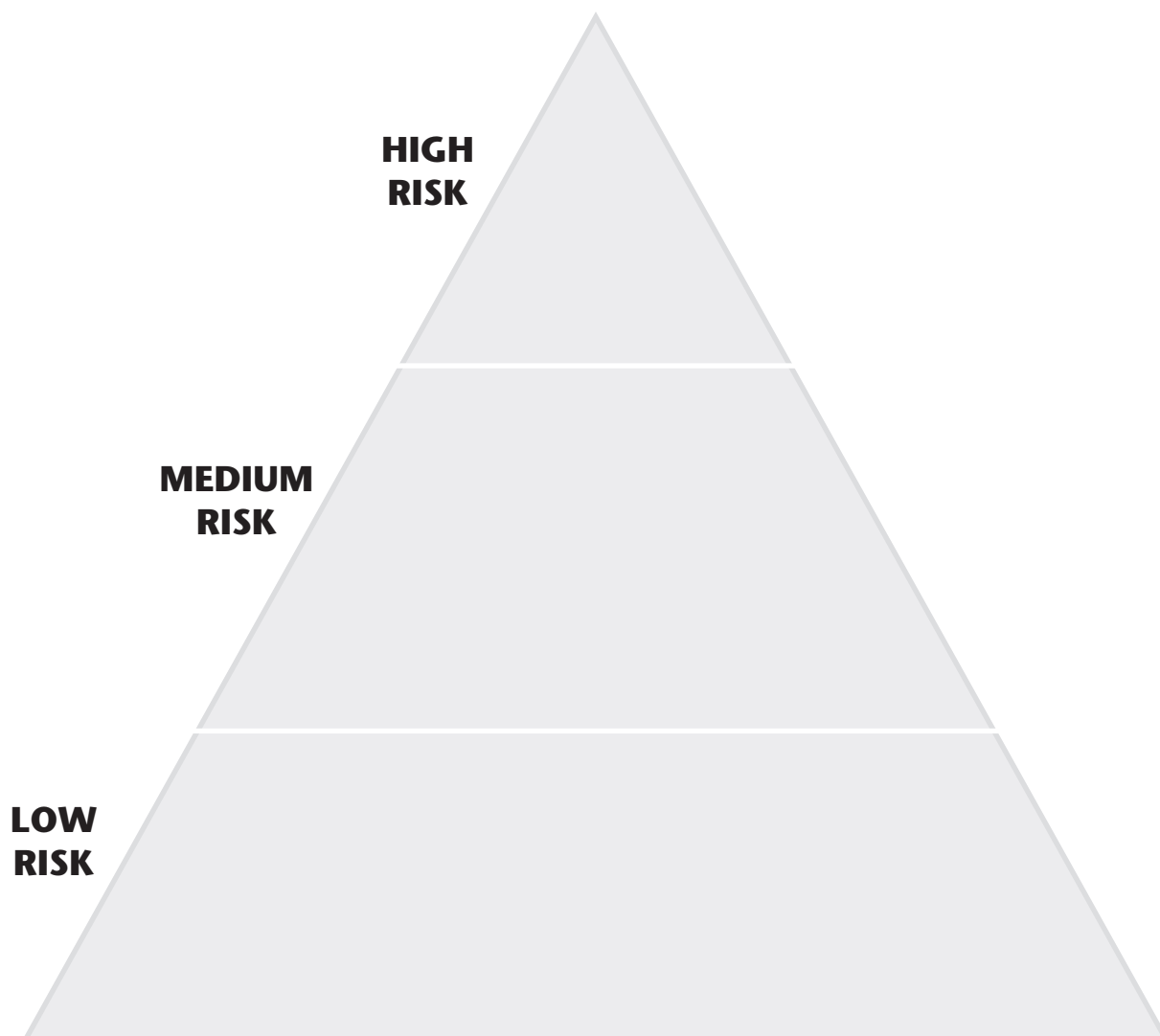
- Find an article in a newspaper or magazine or on the Internet that discusses a high-risk investment that has experienced substantial loss in value in recent months. Write a summary paragraph about the article and discuss why this investment was considered high risk.

Pyramid of Investment Risk



Pyramid of Investment Risk

Place the investment products in the correct location on the pyramid.



- | | | |
|---------------------------------|---------------------------|-----------------------------|
| ■ Aggressive Growth Stocks | ■ Real Estate | ■ High Quality Stocks |
| ■ Corporate Bond | ■ U.S. Savings Bonds | ■ High Quality Mutual Funds |
| ■ Futures | ■ Aggressive Growth Bonds | ■ Money Market Funds |
| ■ Gov't Securities/Bonds | ■ Savings Account | ■ Certificate of Deposit |
| ■ Aggressive Growth Mutual Fund | ■ Cash | ■ Exchange Traded Funds |

Name _____ Date _____

Investment Risk — Quiz

- 1** Bob Smith is saving for the down payment on a new car. If he is very careful with his money, he will have the full down payment in six months. Because his time frame is short, he is deciding between a low-risk saving option and a moderate-risk investment account. What would you recommend for Bob in these circumstances and why?

- 2** Jinhee Lee just graduated from college and began her first job. She has always wanted to buy a condo and believes that she could save enough for the down payment in three to five years. Would you recommend Jinhee place her money in a low- or moderate-risk investment vehicle? Why do you recommend this choice?

- 3** Juanita Romero is 16 and has earned some extra money at her summer job. She decides to invest it and let it grow until retirement. She has 49 years until retirement and realizes she can accept some risk. She's deciding between an investment that has moderate risk and one that has a slightly higher risk and the possibility of a higher return. What would you recommend Juanita choose and why?

- 4** Raemon and Keesha Wilson have a two-month-old baby girl and they are already planning for her college costs. They deposited a small amount into a savings account but are looking at several different investment options. Do you recommend that the Wilson's look mainly at low-, moderate-, or high-risk investments?

Name _____ Date _____

Investment Risk — Answer Key

Some learners may have answers that differ from those below. Instructors may choose to correct this quiz on a case-by-case basis if a learner properly defends his or her answer.

- 1** Low risk because of the short time frame.
- 2** Moderate risk because of the moderate time frame.
- 3** Moderate or moderately high risk because of the long time frame.
- 4** Moderate risk because of the moderate to long time frame.

Time Value of Money

Investor A invests \$2,000 a year for 10 years, beginning at age 25. Investor B waits 10 years, then invests \$2,000 a year for 31 years. Compare the total contributions and the total value at retirement of the two investments.

Investor A				Investor B			
			Year-End				Year-End
Age	Years	Contributions	Year End Value	Age	Years	Contributions	Year End Value
25	1	\$2,000	\$002,188	25	1	\$0	\$0
26	2	2,000	4,580	26	2	0	0
27	3	2,000	7,198	27	3	0	0
28	4	2,000	10,061	28	4	0	0
29	5	2,000	13,192	29	5	0	0
30	6	2,000	16,617	30	6	0	0
31	7	2,000	20,363	31	7	0	0
32	8	2,000	24,461	32	8	0	0
33	9	2,000	28,944	33	9	0	0
34	10	2,000	33,846	34	10	0	0
35	11	0	37,021	35	11	2,000	2,188
40	16	0	57,963	40	16	10,000	16,617
45	21	0	90,752	45	21	10,000	39,209
50	26	0	142,089	50	26	10,000	74,580
55	31	0	222,466	55	31	10,000	129,961
60	36	0	348,311	60	36	10,000	216,670
65	41	0	545,344	65	41	10,000	352,427
Value at Retirement			\$545,344	Value at Retirement			\$352,427
Less Total Contributions			(\$20,000)	Less Total Contributions			(\$62,000)
Net Earnings			\$525,344	Net Earnings			\$290,427

Note: Assumes a nine percent fixed rate of return, compounded monthly. All interest is left in the account to allow interest to be earned on interest.

Name _____ Date _____

Time Value of Money

Advantage of Investing Early in Life

Using the handout, “Time Value of Money,” answer the following questions.

1 At \$2,000 a year, how much did Investor A invest in the 10 years between ages 25 and 35?

2 What is the year-end value of Investor A’s investment at the end of 10 years?

3 At \$2,000 a year, how much did Investor B invest over the 31 years?

4 What is the value at retirement of Investor A’s investment?

5 What is the value at retirement of Investor B’s investment?

6 What are Investor B’s net earnings?

7 Summarize in your own words what is meant by “the time value of money.”

Name _____ Date _____

Worksheet: The Rule of 72

The Rule of 72 is a useful tool for investors. With the Rule of 72, you can calculate how long it will take your money to double at a given interest rate, if you reinvest the earnings.

72 Divided by the Percentage Rate of Return

E Q U A L S

The Number of Years Needed to Double Your Money

For example, if you had \$1,000 to invest, it would take nine years at 8% interest rate for the money to reach \$2,000. ($72 \div 8 = 9$). At 10%, it would take 7.2 years for the \$1,000 to double. ($72 \div 10 = 7.2$). How long will it take the following investment to double?

INVESTMENT	Rate of Return	Years to Double
------------	----------------	-----------------

1. CD	3.0%	_____
-------	------	-------

2. U.S. Treasury Note	2.66%	_____
-----------------------	-------	-------

3. Common Stock	10.0%	_____
-----------------	-------	-------

4. Money Market	1.7%	_____
-----------------	------	-------

5. An investment club has a goal of picking stocks that grow 10% a year. How long would it take for such an investment to double in value?

Name _____ Date _____

Unit 1 Test

MATCHING

- | | |
|-----------------------|------------------------------|
| A. Values | F. Budget |
| B. Goals | G. Financial/investment plan |
| C. Decision making | H. Investments |
| D. Pay yourself first | I. Rainy day fund |
| E. Net worth | J. Living expenses |
-
1. _____ Money that is readily available for unexpected expenses
 2. _____ Things that a person considers to be important
 3. _____ An organized process of allocating income and investing to achieve one's financial goals
 4. _____ What you own minus what you owe
 5. _____ The idea that one should regularly set aside money for savings and long term financial goals
 6. _____ An end result toward which effort is directed

TRUE OR FALSE

1. T F People who have low incomes have little need to develop a personal financial/investment plan.
2. T F The time value of money brings additional yields through compound interest.
3. T F "Never put all your eggs in one basket" demonstrates the need for investment diversification
4. T F A financial/investment plan can help eliminate uncertainty and conflict about financial decisions.
5. T F It is against the law for employers to pay into employee savings/investment programs.

MULTIPLE CHOICE

Circle the letter that answers the question correctly.

1. Financial worth is
 - A. liquid assets minus long-term investments
 - B. total assets minus total liabilities
 - C. total investments minus total debt
 - D. the worth of all personal assets
2. Before investing, a person should have all of the following except
 - A. unpaid balances on several credit cards
 - B. sufficient income to exceed current spending needs
 - C. savings to cover typical emergencies
 - D. a financial/investment plan that will be regularly modified
3. "Pay yourself first" suggests that a person should
 - A. avoid creditors and purchase non-essentials with cash
 - B. establish a business and work as its president
 - C. set aside money for regular savings and investing
 - D. pay back a loan you borrowed from yourself

Unit 1 Answer Key

MATCHING

1. I
2. A
3. G
4. E
5. D
6. B

TRUE OR FALSE

1. False
2. True
3. True
4. True
5. False

MULTIPLE CHOICE

1. B
2. A
3. C

The **BASICS** of ▼ **SAVING** and **INVESTING:**

INVESTOR EDUCATION 2020

2 Introduction to
Financial Markets

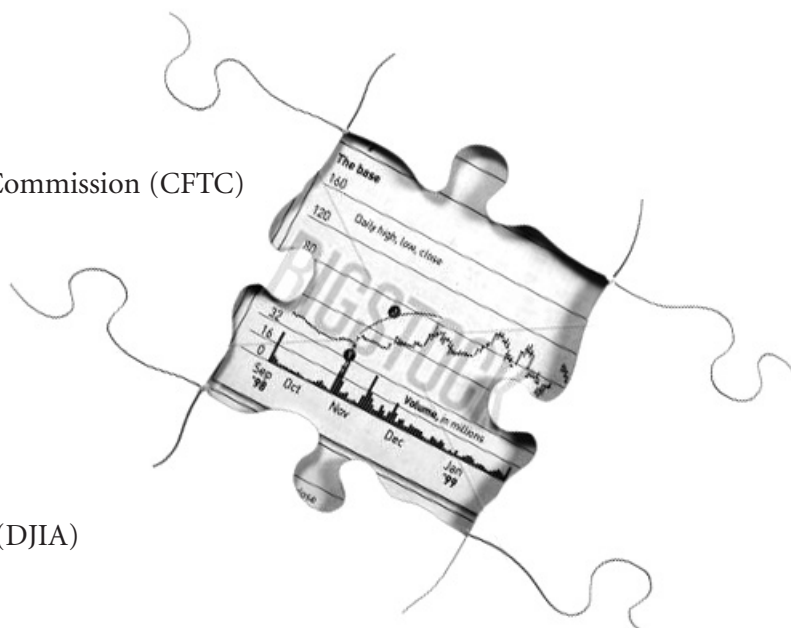
Unit 2: Introduction to Financial Markets



Unit 2: Introduction to Financial Markets

TEACHING STANDARDS/KEY TERMS

- 12(b)-1 fees
- “Blue chip” companies
- Bond market
- Caveat emptor
- Commodity Futures Trading Commission (CFTC)
- Common vs. preferred stock
- Consumer
- Coupon rate
- Dividend
- Dollar cost averaging
- Dow Jones Industrial Average (DJIA)
- Economic growth
- Economic indicators
- Economy
- Exchange
- Financial Industry Regulatory Authority (FINRA)
- Financial markets
- Free enterprise system
- Futures
- Gross domestic product
- Load vs. no-load
- Market economy
- Markets
- Mutual funds



- NASDAQ Stock Market
- Net Asset Value (NAV)
- New York Stock Exchange (NYSE)
- Private vs. public companies
- Prospectus
- Risk tolerance
- Securities and Exchange Commission (SEC)
- State securities regulators
- Stock
- Stock market
- Supply vs. demand

Unit Objectives:

INDIVIDUALS WILL:

- Understand the relationship between risk and reward.
- Learn about U.S. financial markets and investment products.
- Explore conditions that affect market prices.
- Grasp the extent and limits of government regulation of the financial markets.

Unit Teaching Aids:

LESSON 1: Myths Vs. Realities: Risk and Returns (*Handout/Overhead, page 2.17*)

LESSON 2: Market Questionnaire (*Worksheet, page 2.20*)
Company Questionnaire (*Worksheet, page 2.22*)

LESSON 3: Reading Stock Tables (*Handout, page 2.23*)
Evaluating Stock Prices (*Worksheet, page 2.26*)

LESSON 4: Securities Regulation Research Project (*Worksheet, page 2.28*)

UNIT TEST: (*Test page 2.29 & page 2.30; Answer Key, page 2.31*)

For Instructors —

Why Teach This Unit?

Young people today are the investors of tomorrow... or should be. It is important, therefore, that students gain a basic understanding of how the financial markets function. This Unit is designed to help take the mystery out of the financial marketplace by demonstrating its strong presence in students' everyday lives and by providing a basic understanding of how financial markets work.

A person does not have to be rich to start investing. Today, more than half of all American adults are investors. Very few of these people are financial geniuses driving fancy cars and living in mansions. Instead, the vast majority of today's investors are teachers, doctors, carpenters, government employees, lawyers, and so on. Many started out investing very modest amounts of money — as little as \$25 or \$50 a month.

The financial markets will play a major role in the lives of most Americans. How much will gasoline cost? How high will the interest be on your first or next home? Will your job be outsourced to another nation in a global economy where companies seek to maintain the lowest costs? Market forces already affect daily life in many ways and will become only more pronounced in the future.

LESSON 1: Understanding Risk and Return

Investors run the risk of losing their money when they invest, but they stand to gain a **return** — more money — if the investment is profitable. The rule of thumb of the investing world is as follows: The bigger the risk, the bigger the potential payoff.

We learned in Unit 1 that “risk” is the chance one takes that an investment will lose money or earn less than it might otherwise earn. It follows that “**risk tolerance**” is how much risk an individual can afford to take — each person's ability to ride out the ups and downs of the market and the potential of losing what they have invested. Risk tolerances vary from person to person and at different stages in the life cycle. Young adults who invest can withstand market fluctuations to see their investments increase in value over the years and can afford to take greater investment risks than people who are approaching retirement.

People who can't afford to lose the principal of their investment should select savings and investments with less risk. On the other hand, investments that guarantee the safety of principal may not maintain purchasing power in times of high inflation.

Students should learn the six major types of investment risk:

- **Interest rate risk** is the risk that the value of an investment will decrease due to a rise in interest rates. The value of a fixed-return investment decreases when interest rates increase and increases when interest rates go down.
- **Business failure risk** is the risk that the business will fail and the investment will be worthless or that the business will be less profitable than expected. How well will the business do in both good and bad economic times?
- **Market price risk** is the risk that the price of an investment will go down. Many factors influence whether the price of an investment will go up or down. Few investors can consistently predict the ups and downs of the market. Investors may experience a loss if they must sell when the market price is down.
- **Inflation risk** is the risk that the financial return on an investment will lose purchasing power due to a general rise in prices of goods and services. Investment returns must be more than what the rate of inflation is in order to truly increase in value.
- **Political risk** is the risk that government actions such as trade restrictions or increased taxes will negatively affect business profits and investment returns.
- **Fraud risk** is the risk that the investment is designed to deceive and misrepresent facts. In every case of investment fraud, the seller wins while the investor loses.

LESSON 2: How Financial Markets Work

Markets are the meeting place where buyers and sellers come together and determine prices. A **financial market** is a place where firms and individuals enter into contracts to buy or sell a specific product such as a stock, bond, or futures contract. Buyers seek to buy at the lowest possible price and sellers seek to sell at the highest possible price. The market for stocks and other investments is similar in concept to a farmer's market where growers display their produce for consumers to buy. Financial markets are where money and people come together with the vibrant energy of free enterprise.

Supply and Demand

In this teaching guide, the focus is on **market economies** — economic systems in which individuals own and operate businesses. All markets comprise two basic participants: the buyer and the seller. In a financial market, the buyer is the investor. The investor may be an individual, organization, or company. A buyer or investor may also be referred to as a **consumer** — one who buys or uses products or resources. The seller is the entity offering the product and may be an individual, company, government agency, or other organization.

Prices for goods or services in any market depend largely on the supply and demand of the product or service. **Demand** is the quantity of goods that consumers purchase in a given time period. The **law of demand** suggests that the demand for a product and the cost of that product

have an inverse relationship. **Supply** is the amount of products or services that a producer is able to make available to consumers at a given time. The **law of supply** suggests that as a product's price increases, the quantity supplied to buyers also tends to rise. If the supply of a product is insufficient to meet the demand, consumers will pay more. On the other hand, if the supply outweighs the demand, the price will remain low. Discuss with your students some current examples of consumers paying more or less because of an imbalance of supply and demand.

An auction is an excellent place to study the effects of supply and demand. In an auction (traditional or Internet-based), goods are sold at the highest offered price. Thus, the relationship between supply and demand is obvious. Consider the following example:

Anthony, who is taking an economics class, and his family attend an auction near their home each month. A discussion in his class about supply and demand prompted Anthony to apply what he had learned about the subject at the next auction. In the first hour, a very old piano sold for \$2,000, while a much newer one sold for only \$150. Why the difference in price? Several people wanted the older piano, but since only one was available for purchase, the potential buyers pushed the price up until only one bidder remained when the bidding reached \$2,000. In contrast, several newer pianos were available; however, only one person was interested in purchasing the newer piano so the price remained low.

Students can see the direct impact of the laws of supply and demand by going to an Internet site such as eBay (<http://www.ebay.com>).

What Is an Exchange?

The financial markets in the United States operate under the same basic economic rules as all other markets. Financial markets are made up of a number of different “exchanges,” which serve as central locations where buyers and sellers meet in person, by telephone, or by computer terminal to trade stocks, bonds, commodities, options, future contracts, and other securities. An **exchange** may be an actual building or a network of computers that serve as a central location where people buy and sell financial products.

Public corporations list their stocks and bonds on an exchange. These listings draw a steady pool of interested buyers and sellers, or investors. Just as a newspaper doesn't own the goods or provide the services it advertises, a stock exchange doesn't own the stocks and bonds it lists.

Today, several exchanges make up what is known as the **stock market** (or the financial markets). However, most stocks in the United States are listed (traded) on these two exchanges: the **New York Stock Exchange (NYSE)** and the **NASDAQ Stock Market**. The NASDAQ is a computer-based trading system, while the NYSE, formerly floor based, is now a hybrid market combining floor-based and electronic trading. A traditional floor-based market operates in a specific building where the investor's agent must be present to trade stocks. To purchase company stock listed on the NYSE, the investor places an order through a stockbroker. The stockbroker relays the purchase to a floor trader who is on the exchange floor. The floor trader then purchases the stock.

A computer-based market, such as the NASDAQ, enables investors to trade stocks through a telecommunications network; they access the market on desktop terminals anywhere they happen to be while a mainframe computer processes the trade.

The vast majority of businesses in this country are private. **Private companies** are owned solely by an individual, a family, or a small group of people, and do not have stocks that are traded on exchanges. Private companies are on every main street in every town and scattered throughout the cities of America. Hair salons, bicycle stores, bowling alleys, restaurants, drycleaners, and other neighborhood shops are just some examples.

Conversely, **publicly-traded companies** are those that offer shares of stock, or partial ownership, to those who wish to buy into that company.

The Markets Meet the Web

The Internet and other new technologies are in many ways transforming how our markets operate. There are clear benefits to these changes, including lower costs and faster access to the markets for investors. The Internet is also used to educate many first-time investors about the basics of investing. It is essential for investors to understand that stock market investing always involves risk. Whether investing online or through more traditional means, consumers must know the following information:

- The investments being purchased.
- The ground rules under which the stock or bond is being bought or sold.
- The level of risk involved with the investment products.

Online investors should remember that it is just as easy (if not easier) to lose money as it is to make money through the click of a button. Every prospective investor needs to know the risks unique to investing online. For example, stock prices can move quickly, so when many investors attempt to purchase (or sell) the same stock at the same time, it affects the price immediately. Just seeing a price on the computer screen doesn't mean the investor always will be able to get that price.

More information about online investing may be found at <http://www.investingonline.org>.

LESSON 3: Savings, Stocks, Bonds, Mutual Funds and Other Investments

What is Saving?

The rates of return and risk for **saving** at a bank are usually lower than other forms of investment. Interest-bearing checking and savings accounts are offered by banks, credit unions, and savings and loan institutions. It pays to shop for the best rates, as interest rates, compounding frequencies and services vary widely among financial institutions.

If the financial institution where an individual has a checking or savings account is insured by a fund of the Federal Deposit Insurance Corporation (FDIC) or the National Credit Union Administration (NCUA), that account is insured up to \$250,000 by the federal government against failure of the financial institutions.

Certificates of deposit, often referred to as “CDs,” are purchased for specific amounts of money at a fixed rate of interest for a specified period of time. CDs may be purchased for as little as \$500 but generally are priced at \$1,000, \$5,000, or \$10,000. An individual may buy a CD for as little as seven days or for as long as several years. The longer the time frame, the higher the interest rate. CDs cashed in before the maturity date incur interest penalties. CDs are insured if the financial institution where they are purchased is a member of the FDIC.

Many savers also consider U.S. Treasury securities including Treasury bills, notes and bonds. These can be purchased through financial institutions for a fee or at the U.S. Treasury with no added cost through <http://www.treasurydirect.gov> or by calling 800-722-2678. T-bills and Treasury bonds have a face value of \$100.

What is a stock?

A **stock** is an investment product that represents partial ownership of a company or corporation. The stock market represents all the companies that sell their shares to the public. It is the primary place for companies to obtain financing for their operations and for investors to profit on the growth of those companies. There is therefore a close relationship between the stock market and the economy as a whole.

Thousands of companies in the United States, known as **public companies**, invite students, their families, friends and neighbors to become part owners. They do this by selling shares of the company. When an investor buys a share of a company, he or she receives a stock certificate or additional documentation that proves stock ownership. If stock shares are purchased through a brokerage firm, the broker holds the stocks in “street name,” which means the brokerage firm maintains the paperwork that proves stock ownership.

It has been said that when it comes to ownership, a public company is the most democratic institution in the world. It is an example of true opportunity. Investing in public companies is the way many people can participate in the growth and prosperity of a company. Selling stock also benefits the company. When a company sells shares, it uses the money to open new stores, build new factories, or upgrade its merchandise so it can sell more products to more customers and increase its profits. As the company becomes larger and more prosperous, its shares become more valuable. There is no guarantee, however, that a publicly-traded company will be successful. A company with a great deal of money raised from the public can suffer serious setbacks or even be forced to close its doors because of a variety of factors.

There are two types of stock shares: common and preferred:

- When investors own a public company's **common stock**, they are entitled to vote in the election of company officers as well as other important matters, and they often receive dividends on their shares. Since common stock is often riskier than preferred stock, it offers greater potential returns and losses.
- Shareholders of **preferred stock** do not usually have voting rights, but they do usually receive a fixed dividend, or share of a company's profits, which is paid to preferred stockholders before common stockholders are paid. However, owners of preferred stock pay for that privilege — usually their dividends wouldn't increase when the company's profits increase. When a company does well, the price of its preferred stock tends to under-perform the common shares. However, when a company fails, its preferred stockholders recoup their investment before common stockholders (assuming they can recoup anything at all).

The **stock price** is the amount an investor pays for one share of a public company's stock at a given moment. Outside events can make the price of a stock rise or fall. For instance, if another company or a big investor wants to buy that company, the share price could rise quickly based on that news. On the other hand, if an investor owns stock in a pharmaceutical company and its competitor wins government approval for a drug similar to one that the shareholder's company manufactures, the company's stock price might tumble. Other forces that can affect stock prices include interest rates, national and international issues or events, foreign exchange rates, financial forecasts, and new technologies. Retail stocks, for example, are subject to declines during recessions.

Dividends are the distribution of a company's profit or earnings to the company's shareholders or stockholders — the people and firms that have purchased that company's stock. Dividends are another way that you can share in a company's growth; they are usually distributed quarterly. Most companies offer a **dividend reinvestment plan**, which means that instead of paying you by check or depositing the money into your account, the amount of the dividend is used to buy more shares of the company's stock in your name. This is a good way to increase your investment in the company over time.

There are different kinds of stocks:

- The terms **large-cap**, **mid-cap**, and **small-cap** refer to the issuing company's **market capitalization**, that is, the overall value of all shares of the company's stock.
- **Growth stocks** are shares of companies exhibiting relatively fast growth in earnings, which generally causes the stock price to go up. Be certain your students understand that growth stocks are the most volatile and can fluctuate rapidly because growth companies are typically in new, or fast-growing, industries such as the high-tech sector. Growth stocks are considered riskier and often pay lower or no dividends, but appeal to investors who will accept more volatility and risk in hopes of greater appreciation in share price over time.

- **Income stocks**, on the other hand, are characterized as those that would pay high and regular dividends. Stable and well-established industries, including utilities and financial institutions, typically produce income stocks.
- **Blue chip** is the name applied to the stock of large, well-known, well-established companies with good reputations.
- **Value stocks** are those considered to be selling at lower prices or “undervalued” because the companies that issue these shares have had business setbacks or are out of favor with investors. Value stocks have been known to outperform growth stocks in slow markets — and vice versa. But there is still a risk with value stocks because not all companies recover from setbacks.

Note: Stocks are often referred to by a combination of the characteristics discussed above, such as shares of a “small-cap value” stock or of a “mid-cap growth” stock.

Students can learn more about investing in individual stocks by visiting such Web sites as Valueline (<http://www.valueline.com>) and the Motley Fool (<http://www.fool.com>). Remind your students to make up their own minds about investing based on what makes sense for them — not solely on the opinion of someone else.

(To help your students have a better understanding of how to read the stock tables in the newspapers, go to the handout on page 2.23.)

What are Bonds?

When investors buy **bonds**, it means they have loaned money to a company or a governmental entity. In return, that company or governmental entity promises to repay the amount borrowed plus interest. Corporate bonds are issued by publicly-owned companies, while municipal bonds are issued by state or local governments.

The price of a bond will fluctuate with interest rates. When interest rates go up, prices of currently trading bonds tend to go down, and vice versa. If the bond is held to maturity, the investor will receive an amount stated on the bond known as the **face value**. For example, if a student buys five corporate bonds at \$1,000 each and the bonds mature in 20 years, even if the value of the bond changes over the period of time they are held, the bonds will be worth a total of \$5,000 at the time of maturity. In addition, the borrower may promise to pay you an interest payment twice a year for 20 years. The declared interest of the bond is called the **coupon rate**.

Bond investors may take advantage of several different marketplaces:

- **Municipal Securities Market** | Municipal securities are a primary way that U.S., state and local governments borrow money to finance their capital investment and cash flow needs. States, cities, counties, and other governmental entities use municipal bonds to raise money to build schools, highways, hospitals, and sewer systems, as well as many other projects for the public good. An important distinguishing characteristic of the municipal securities market is the exemption of interest on municipal bonds from federal income taxes.
- **Treasury Securities Market** | The U.S. Treasury securities market is the largest and most liquid financial market in the world. The U.S. Treasury issues three types of securities: bills, which have a maturity of less than one year; notes, which have a maturity of two to 10 years; and bonds, which have a maturity of greater than 10 years.
- **Federal Agency Securities Market** | Federal agency debt is issued by various government-sponsored enterprises (GSEs) created by Congress to fund loans to borrowers such as homeowners, farmers and students. Among the most active issuers of agency debt securities are: Federal Farm Credit System Banks, Federal Home Loan Banks, Federal Home Loan Mortgage Corporation (Freddie Mac), Federal National Mortgage Association (Fannie Mae), Student Loan Marketing Association (Sallie Mae) and Tennessee Valley Authority (TVA).
- **Corporate Bond Market** | Corporate debt securities are obligations issued by corporations for capital and operating cash flow purposes. Corporate debt is issued by a wide variety of corporations involved in the financial, industrial, and service-related industries.
- **Mortgage Securities Market** | Mortgage securities represent an ownership interest in mortgage loans made by financial institutions (savings and loans, commercial banks, or mortgage companies) to finance the borrower's purchase of a home or other real estate. Mortgage securities are created when these loans are packaged, or "pooled," by issuers or servicers for sale to investors. As the underlying mortgage loans are paid off by the homeowners, the investors receive payments of interest and principal. The majority of mortgage securities are issued and/or guaranteed by an agency of the U.S. Government, the Government National Mortgage Association (Ginnie Mae), or by government-sponsored enterprises such as the Federal National Mortgage Association (Fannie Mae) and the Federal Home Loan Mortgage Corporation (Freddie Mac).

Most individual bonds are bought and sold in the over-the-counter (OTC) market, although some corporate bonds are also listed on the New York Stock Exchange. To purchase a new bond issue, a financial professional will provide the bond's offering statement — the prospectus. It will spell out a bond's key terms and features, as well as the risks involved.

Investors can also buy and sell bonds that have already been issued. This is known as the **secondary market**. Many dealers keep inventories of a variety of outstanding (i.e., previously issued) bonds.

Bonds sold in the over-the-counter market are usually sold in \$5,000 denominations. In the secondary market for outstanding bonds, prices are quoted as if the bond were traded in \$100 increments. Thus, a bond quoted at 98 refers to a bond that is priced at \$98 per \$100 of face value, or at a two percent discount. Individuals can learn more about how bond market investing works at <http://www.investinginbonds.com>.

What is a Mutual Fund?

A **mutual fund** invests the pooled money of its shareholders in various types of investments. The fund manager buys and sells securities for the fund's shareholders. Mutual funds are not risk free. Their values rise and fall along with the securities in the fund. The shares in a mutual fund are priced by dividing the current market value of investments owned by the mutual fund by the number of mutual fund shares. As the value of the securities in the fund goes up or down, the value of each share changes accordingly.

Benefits of mutual funds for the beginning investor include:

- Diversification
- Professional management
- Often low-cost shares
- Liquidity (shares can be bought and sold easily)

More than 8,000 different mutual funds are available on the open market. The investor should learn the objective of the fund, what securities the fund owns, the level of risk, and its earnings record as compared with similar funds. Each mutual fund has an objective that determines the types of securities in which it invests. The fund objectives are stated clearly in the **prospectus**, which is the legal document describing the fund. For example, the fund objective may be “growth and income.” This growth and income fund might own common stock of emerging companies and common and preferred stocks and bonds of large, well-known “blue-chip” companies. The prospectus is available online or by mail from the investment company that manages your mutual fund.

Most mutual funds require a minimum initial investment, sometimes as low as \$250, but often quite a bit higher. Mutual fund shares trade very much like stocks, rising and falling in price depending on investor interest and the performance of stocks in the fund. **The Net Asset Value (NAV)** of a mutual fund indicates its value or price per share. Like stocks, mutual funds are liquid, which means they can be easily bought and sold.

The two most common types of mutual funds are **equity funds** that invest primarily in common stocks and **fixed-income funds** or “**bond funds**” that typically invest in bonds or money market securities. Investors can find a hybrid in “**balanced funds**” that invest in both equities and bonds.

Also popular are **index funds**. These are relatively simple funds that aim to track indexes, or broad baskets, of different securities. Their goal is to match a particular market index such as Standard & Poor's 500-stock index, which measures the performance of 500 large U.S. companies.

Before investing in a mutual fund, it is important to know whether it is a load or no-load mutual fund. **Load funds** charge a sales commission; no-load funds don't. When a sales commission is paid upon purchasing a mutual fund, it is called a **front-end load**. A commission paid when you sell is known as a **back-end load**.

In theory, the advantage to “paying a load” for a fund is that there are usually staff members available to explain the fund to potential investors and advise them as to the appropriate time to buy more shares, or to sell. With some **no-load funds**, an employee merely takes your order to buy or sell, or can only offer limited support — the investor is fully responsible for understanding the investment. Even a no-load fund may still charge a “**12(b)-1 fee**” to cover the sales and marketing expenses involved in operating the fund.

One of the best resources for individuals who want to learn more about investing in mutual funds is available at <http://www.morningstar.com>.

Note: One key wealth-building strategy for mutual fund investors is “**dollar cost averaging**” — the technique of investing the same fixed dollar amount in an investment, such as a mutual fund, at regular intervals over a long period of time. The advantage of dollar cost averaging is that the average price per share will be lower because the cost is spread out over time, providing insulation against changes in market price. When employees purchase shares of their employer's stock through regular payroll deductions, they are dollar cost averaging.

Dollar cost averaging helps avoid the problem of buying high and selling low. Investors can make money if they sell the investment at a price higher than the average purchase price over the time that they invested. This can help limit losses during times of declining prices and accelerate profits during times of rising prices.

What are Exchange Traded Funds?

Exchange-traded funds are a cross between mutual fund index funds and stocks. Like index funds, ETFs hold baskets of securities that follow indexes. Unlike mutual funds, which are priced just once a day (at 4 p.m. eastern time), ETFs trade just like stocks throughout the trading day. Because you can buy as little as a single share of an ETF, the minimum investment for owning an ETF is typically far less than for owning a mutual fund (many ETFs trade for \$10 a share or less). Although ongoing fees for ETFs are low, as they are for index funds in general, you will generally have to pay brokerage commissions when you buy or sell an ETF.

What are Futures?

A **futures contract** is a commitment to buy or sell a specific amount of a commodity at a specific future date and price. Futures contracts deal in products ranging from corn, soybeans, wheat and cattle to gold, crude oil, Japanese yen, and U.S. Treasury bonds.

The concept of hedging in the futures marketplace is simple. By buying or selling in the futures market now, individuals and firms are able to establish a known price level for something they intend to buy or sell later. Buyers are thus able to protect themselves against — that is, to hedge against — higher prices while sellers are able to hedge against lower prices. Investors do not actually intend to buy the product in question (e.g., orange juice or beef); they are in the futures marketplace to speculate on future price movements.

Investors who trade in futures contracts or options, either for speculation or price risk management, have their orders to buy or sell communicated through a brokerage firm to the trading floor for execution by a floor broker. If a buyer, the broker will seek a seller at the lowest available price. If a seller, the broker will seek a buyer at the highest available price. That's what the shouting and signaling is about in a futures exchange.

As this explanation suggests, futures are a speculative investment suited only for knowledgeable investors who are willing to take high risk. Futures investors have to be prepared to lose all of their investment — and even more.

Moving Markets

The relationship between a business and a consumer is this: If a business has something the consumer wants and the consumer has the money to buy it, a sale will be generated and the business will profit from that sale. The leading **economic indicators** reported on the news are nothing more than measurements of the buying and selling activities of companies and the spending or saving activities of individuals on a national or international scale.

The stock market is not only affected by these indicators, but is also considered an economic indicator in its own right. The stock market is a primary barometer of the economic health of a nation and a part of the economy most sensitive to what is happening in all other areas. This is because consumer and industrial spending activities drive corporate earnings, which, in turn, drive stock prices.

In any given period, the stock market will rise and fall. Each time it rises or falls, individual stock prices are affected. When a stock rises and falls more than the average stock price, it is considered volatile. During times that stock markets rise, the country is generally experiencing a period of **economic growth**. Economic growth is marked by an increase in jobs, income levels, and goods and services produced and sold.

Experts cannot tell exactly what will happen to a stock or bond's value because many factors affect these changes. Five main factors follow:

- **Investor Actions** | Individual investors, institutional investors (organizations that buy and sell high quantities of securities and have sizable portfolios) and mutual fund managers all affect the price of securities by their actions in buying or selling. For example, when large numbers of individual investors invest in the stock market on the basis of encouraging economic news, the overall market can rise, which, in turn, may “lift” the price of individual stocks.
- **Business conditions** | Profits, volume of sales, and expansion of a corporation's plants all affect investor interest and, consequently, stock prices. Health of the economy, business conditions in general, and the business cycle (i.e., the normal times of high and low sales during the year) also affect stock prices.
- **Government actions** | Government decisions regarding issues such as interest rates, taxes, trade policy, and budget deficits affect stock prices.
- **Economic indicators** | Published measurements of the buying and selling activities of companies and the spending and saving activities of individuals — including measurements of personal income levels, employment, consumer spending patterns, business inventories, and interest rates — affect various industries and subsequently stock, bond, and futures prices. The **gross domestic product** is a key indicator that is calculated by the U.S. Department of Commerce four times a year. It measures the value of goods and services produced throughout the nation in a given quarter.
- **International events and conditions** | Events around the world, such as changes in the currency exchange rates, trade barriers and restrictions, wars, natural disasters, and civil strife also affect stock prices.

When following a stock, it is helpful to graph its closing price on a regular basis. Individuals need to know the stock symbol or stock abbreviation, what exchange the stock is listed on, and the column in the newspaper where the closing price is quoted. Individuals may call the company and ask for the symbol and the exchange in which the stock is listed. Or they may look at the company's Web site for this information. In the financial section of the newspaper, individuals can find that exchange, and then look for the stock symbol. After finding the stock symbol, they should look under the column that lists the closing price. In the *Wall Street Journal*, the closing price is the second to last column, however, stock tables vary from newspaper to newspaper. One way to chart this is to locate the closing price and record it on graph paper with the closing price on the Y-axis and the day on the X-axis.

LESSON 4: Regulation of Financial Markets

The government plays an important role in the licensing and registration of investment professionals and the financial products they sell. With all this regulation, however, it is still the investor's responsibility to make wise choices about the professionals with whom they work and the products in which they invest. Individuals should always heed the advice **caveat emptor**, which means "let the buyer beware." Understanding the basics of state, federal, and industry oversight will help individuals know the extent and limits of consumer protection by these entities.

The Role of the States

State securities regulators have protected investors from fraud for nearly 100 years. Securities markets are global; however, securities are sold locally by professionals who are licensed in every state where they conduct business. State securities regulators work within your state government to protect investors and help maintain the integrity of the securities industry.

A state securities regulator can: verify that a broker-dealer or investment adviser is properly licensed; provide information about a financial professional's educational background, work history, as well as prior run-ins with regulators that led to disciplinary or enforcement actions; provide a computer link or telephone number or address where you can file a complaint. Depending on the size of the investment advisory firm, some will register with state securities regulators and others with the federal government.

For contact information for your State securities regulator, visit the North American Securities Administrators Association (NASAA) Web site at <http://www.nasaa.org> and click on "Contact Your Regulator."

The Role of the Federal Government

Federal securities regulation focuses on the broader issue of how the stock market works on a national and international basis. Important federal securities laws were enacted in the early 1930s. A major impetus behind these new laws was the stock market crash of 1929 and the abusive practices that led to the crash. The *Securities Act of 1933* is known as the "truth in securities" law and has two objectives: to require that investors be provided with information concerning securities offered for public sale; and to prevent misrepresentation, deceit, and other fraud in the sale of securities. As a result of this law, securities must be registered with the Securities and Exchange Commission (SEC). Registration is intended to provide adequate and accurate disclosure of facts concerning the company and the securities it proposes to sell.

Registration of securities does not prevent the sale of stock in risky, poorly managed or unprofitable companies. Nor does the SEC approve or disapprove securities based on their investment quality. While the *Securities Act of 1933* offers some consumer protection, the burden of making sound investment choices remains with the investor. The *Securities Exchange Act of 1934* created the Securities and Exchange Commission and spells out the SEC's licensing and regulatory duties. Their power extends to the over-the-counter markets as well as the stock exchanges.

The *Security Investors Protection Act of 1970* established the Security Investors Protection Corporation (SIPC), which is similar in its operation to the Federal Deposit Insurance Corporation that insures deposits in financial institutions. The SIPC statute provides for the return of certain customer assets in the event of financial failure of a brokerage firm that is an SIPC member. However, SIPC provides no protection for a decline in the value of securities as a result of economic conditions or fraud.

The Commodity Futures Trading Commission (CFTC) is an agency of the federal government that is similar to the SEC. It regulates futures contracts and the trading of commodities on boards of trade, which are similar to stock exchanges.

Self-Regulatory Organizations (SROs)

The SEC delegates significant regulatory authority to a number of self-regulatory organizations (SROs). These SROs include the Financial Industry Regulatory Authority (FINRA), a number of regional stock exchanges, and five options exchanges. The SEC oversees the SROs using the authority it has been granted by the U.S. Congress. All SRO rules and regulations must be approved by the SEC before they can take effect.

Self-regulatory organizations (SROs) are bodies that provide a means for the equities and futures industries to assume part of the responsibility of policing themselves. The two main SROs are FINRA and the National Futures Association (NFA), which are monitored by the SEC and the CFTC, respectively. Among the responsibilities of the SROs are to:

- Establish rules governing trading and other activities.
- Set qualifications for industry professionals.
- Oversee the conduct of their members.
- Impose discipline in instances of unethical or illegal behavior.
- Administer the licensing process, including background investigations and licensing examinations.

Financial/Investment Planning:

Myth and Reality

Myth	Reality
If someone makes money, someone else loses it.	The stock market is not a “zero sum” game. No one has to lose money for someone else to make money. While the founder of a successful corporation can become very wealthy, so too can many others, including investors who contribute the capital that helps get the business off the ground, employees who help make the business a success, and the government, which will be rewarded through the payment of additional taxes. When a public company makes money, lots of people benefit.
The stock market will always go up.	The markets go down as well as up, and individual stocks can and do decrease in value. Taken as a whole, however, the trend in the stock market continues upward. But in the short-term it can be volatile. That is why investors are advised to do their homework, buy stock in solid companies, and then hold onto it for the long term.
The markets are fixed.	A comprehensive system of state and federal regulation and industry self-regulation in the United States has resulted in the fairest and most efficient securities markets in the world. Although fraud still occurs, it is rare in relation to the volume of transactions that take place every day.
Investing is nothing more than gambling.	Investing isn’t gambling or baseless speculation. It is taking reasonable risks to earn steady rewards. Unlike gambling, the odds are in the consumer’s favor when money is invested wisely. Another key difference: A winning strategy in investing is based on knowledge, rather than random chance.

Lesson Outline: How Financial Markets Work

OBJECTIVE	Learners will: ■ Identify markets in which they participate. ■ Discuss the relationship between supply and demand.
MATERIALS	■ Internet access. ■ “Market Questionnaire” worksheet (Page 2.20).
PROCEDURES	Instructor will: ■ Discuss the markets in which students participate on a regular basis (clothing, technology, food, entertainment, etc.). Focus particularly on entertainment, as this will be the emphasis of much of the discussion. ■ Discuss recent local entertainment. Have the class list any concerts or sporting events that have taken place in your state in the past several months. What were the ticket prices for these events? Were the tickets sold out? If yes, were people selling their tickets for higher than the face value? If no, what happened to extra tickets people had — were they able to sell them, and, if so, how much did they receive? What causes people to pay more for a sold-out event than for one that is not sold out? How do consumer actions affect the price of such events? ■ Define and explain auctions (traditional and Internet). Discuss how they operate and how Internet auctions (such as eBay) and traditional auctions differ. What drives the price of an item up or down? How do individual actions affect the price of goods or services? Learners will: ■ Participate in class discussion ■ Visit an Internet auction site to view some of the transactions. (Be cautious students do not bid on items.)

Lesson Outline: How Financial Markets Work

ASSESSMENT	■ Class participation. ■ “Market Questionnaire” worksheet (Page 2.20) may be used as a worksheet, a quiz, or an aid for students as they take notes.
ESTIMATED TIME	■ 45-50 minutes class time, plus outside homework.
BEYOND THE CLASSROOM	■ In a visit to the local mall, students can compare different stores to determine why some are more expensive than others. How do supply and demand affect the price of merchandise?

Name _____ Date _____

Worksheet: Market Questionnaire

1. What is a market?
2. What markets do you participate in regularly?
3. Name a recent local sporting event, concert, or other entertainment event that you or someone you know has attended.
4. Were the tickets sold out? Yes_____ No_____
5. Were tickets sold for more than the original selling price, the same price as the original selling price, or less than the original selling price? Why were people willing to pay more or less for these tickets?
6. Why are some events more expensive than others? (For example, tickets for professional basketball games are more expensive than tickets to a Junior College basketball game.)
7. What is an auction?
8. How are prices set in an auction (Internet-based or traditional)?
9. How can consumers drive up an auction price?
10. What did you learn about auctions and bidding by visiting an Internet-based auction site?

Lesson Outline: How Financial Markets Work

OBJECTIVE	Learners will: ■ Identify companies that do business in their community. ■ Determine which of these are public companies.
MATERIALS	■ Notepad
PROCEDURES	Instructor will: ■ Discuss the differences between a private and public company. ■ Assign students to keep a journal of all the companies they interact with for the next week. ■ Have students organize their lists to reflect which companies are public and which are private. ■ Use the “Company Questionnaire” worksheet to discuss how individuals will determine if a company is public or private (Page 2.22). Learners will: ■ Keep a journal for one week of the food they eat, the clothes they wear, the cars they drive, the stores they shop in, the restaurants they frequent, the movies they see, the books they read, the music they listen to, the toiletries and cosmetics they use, and so on. At the end of the week, they will calculate how many different companies they interact with. ■ Determine which of the companies listed are publicly traded (using the method in the “Company Questionnaire”).
ASSESSMENT	■ Completed list of public and private companies.
ESTIMATED TIME	■ 30 minutes class time, plus outside homework.
BEYOND THE CLASSROOM	■ Ask individuals to choose one of the companies included in their list to research in greater detail. The individuals should learn when the company opened for business; the company’s ticker symbol; the company’s stock performance in the past 10, 15, and 30 years; and the factors that would positively or negatively affect the stock price. Would the individual consider investing in a company like this one — why or why not?

Name _____

Date _____

Worksheet: Company Questionnaire

One of the simplest ways to determine if a company is public or private is to look them up on the Internet. You may do this by visiting the company's Web site or using Internet resources such as Yahoo! Finance at <http://finance.yahoo.com>, Google Finance at <http://www.google.com/finance>, MSN Money at <http://moneycentral.msn.com>, or CNNMoney.com at <http://money.cnn.com>. Individuals may also visit the public library to gather company information from publications such as Moody's Investors Service and Value Line.

1 List the company's address, phone number, and Web site address

Company Name:

Company Address:

Company Phone Number:

Company website:

2 Call the company to ask the following questions or find the company's website on the company's website on the Internet and obtain the following information:

Are you a publicly traded company? ____ Yes ____ No

On which exchange is your company stock traded?

What is your company's stock symbol or stock abbreviation?

How can I learn more about this company?

(Will they send a company report, prospectus, or annual report?)

This questionnaire has been modified from the Motley Fool Investment Workbook, David and Tom Gardner, 2003, Fireside, NY, page 64.

Name _____ Date _____

Reading Stock Tables

52-Week		Stock (DIV)	YLD %	PE	Vol 100s	Close	Net
Hi	Lo						
66.62	38.24	NKE .27	1.63	22.45	49,083	67.60	+1.44
59.45	37.44	KO .44	3.31	17.99	315,483	52.72	-.40
65.75	45.79	MCD .55	3.42	15.51	82,885	63.85	-.53

(Columns 1 and 2) Hi-Lo | During the past year (52 weeks) the highest price paid for a single share of McDonald's (MCD) stock was \$65.75 and the lowest price per share was \$45.79.

(Column 3) Company Name or Symbol and Dividend | The next column is the name (or abbreviation) of the firm issuing the stock, or the ticker symbol of the stock. If dividends are paid, the amount will be immediately next to the stock name. The example above shows that Nike (NKE) paid an annual dividend of \$.27 per share.

(Column 4) Yield | The yield column tells us that at today's price, investors in Coca-Cola Company (KO) receive a return of 3.31% or \$3.31 for every \$100 invested. The yield is derived by dividing the annual dividend by the closing price.

(Column 5) PE | This column is the **price to earnings (P/E) ratio**. The P/E ratio compares the price per share to the earnings per share. It shows how much an investor is willing to pay for \$1 of current earnings per share (EPS). The P/E ratio is calculated by dividing the stock's price by the company's latest 12-month earnings per share (EPS).

(Column 6) Volume | The next column lists the volume of shares (in hundreds) that were traded on this date. In our example, on February 26, 2010, 5,014,0004,908,300 shares of Nike were traded. Volume may give you an indication of the breadth of the market for a company's shares.

(Column 7) Close | The seventh column represents the last price at which a trade was made during the trading day. For example, Coca-Cola (KO) closed at \$52.72 per share on this date.

(Column 8) Net Chg | The final column of the table stands for the change between the closing price for the previous day and the current day. The net change is measured in dollar value. In the example above, McDonald's shares closed at \$.53 lower than it did the day before.

Note: The examples above represent how information for February 26, 2010, regarding NYSE-listed companies might appear in a newspaper. Newspapers vary in the sequence of column headings and some may provide less information (e.g. only providing the closing price and not the high and low for the day). This information is also available free online at Yahoo Finance (<http://finance.yahoo.com/>), Google Finance (<http://finance.google.com/finance>) and many major newspapers' Web sites in the business section. Once individuals are familiar with the headings and the information they represent, they will be able to read the

Lesson Outline:

What Makes Stock Prices Rise and Fall?

OBJECTIVE	Learners will: ■ Identify how current events affect market conditions and stock prices.
MATERIALS	■ If available, Wall Street Journal, Classroom Edition. Found on the Web at http://www.wsjclassroomedition.com (requires a subscription). ■ Internet access. ■ Graph paper. ■ “Evaluating Stock Prices” worksheet. (Page 2.26)
PROCEDURES	Instructor will: ■ Describe financial markets and how they operate. ■ Discuss the factors that affect the price of a stock. ■ List current events or news headlines that have appeared in the past two weeks. Learners will: ■ Use the list of events discussed in class or find a newspaper article that discusses changes in a company or industry. ■ Choose a security that has been affected by these events. For example, if there are fluctuations in oil prices or unrest in oil producing countries, students could watch an oil company stock such as Exxon or British Petroleum. ■ Track and graph the closing price of that company stock.

Lesson Outline:

What Makes Stock Prices Rise and Fall?

ASSESSMENT	■ Completed graph of the stock and completed worksheet, “Evaluating Stock Prices” (Page 2.26).
ESTIMATED TIME	■ 45–60 minutes in class plus outside homework.
BEYOND THE CLASSROOM	■ Students will research the history of the Dow Jones Industrial Average. What does it tell us about the economic history of America? One free resource is the Dow Jones Web site.

Name _____

Date _____

Worksheet: Evaluating Stock Prices

Use the graph of the stock that you followed to answer the following questions.

1 What stock did you follow?

2 Explain the fluctuations in the stock during the time you monitored its price.

3 What were some of the possible causes of this fluctuation (if any)?

Lesson Outline:

The Role of Government in Securities Regulation

OBJECTIVE	Learners will: ■ Research several regulatory organizations to learn about the role each plays in securities regulation.
MATERIALS	■ Internet access. ■ “Securities Regulation Research Project” worksheet. (Page 2.28).
PROCEDURES	Instructor will: ■ Split the class into four or five groups. ■ Assign each group to research one regulatory organization. Learners will: ■ Work in groups to research their assigned regulatory organization. ■ Use the “Securities Regulation Research Project” worksheet in their groups to gather information concerning their organization. ■ Plan and deliver, as a group, a class presentation outlining the assigned organization.
ASSESSMENT	■ Involvement of each group member in a 5- to 10-minute oral presentation about the organization it has been assigned to research.
ESTIMATED TIME	■ 60 minutes in class plus out-of-class research.
BEYOND THE CLASSROOM	■ Individuals will search the Internet to find cases that a State securities agency or the SEC has brought against a broker, dealer, or securities firm.

Name _____ Date _____

Worksheet:

Securities Regulation Research Project

Instructions: Use the sites below to begin your research. Each presentation should answer the questions below.

U.S. Securities and Exchange Commission
www.sec.gov

Financial Industry Regulatory Authority
www.finra.org

National Futures Association
www.nfa.futures.org

Visit the North American Securities Administrators Association Web site to locate your state securities agency information
www.nasaa.org

NYSE Euronext
www.nyse.com

- 1** When and how was this organization established?

- 2** What are the primary regulatory responsibilities of this organization?

- 3** What information does this organization require one to complete in order to file a complaint? How can a consumer obtain this information (Internet, phone, fax, mail)?

- 4** Where is the closest office located?

Name _____ Date _____

Unit 2 Test

MATCHING

- | | |
|--------------------|-----------------|
| A. Diversification | G. Securities |
| B. Dividend | H. Tax-exempt |
| C. Liquid | I. Bond |
| D. Stock | J. Appreciation |
| E. Prospectus | K. Mutual fund |
| F. The return | L. No-load |

1. _____ Free of tax considerations
2. _____ Investment instruments such as stocks and bonds
3. _____ Where individuals “pool” investment money
4. _____ Ownership interest in a company
5. _____ Can easily be converted into cash
6. _____ Spreading investment money among different instruments and industries
7. _____ Legal document describing an investment offered for sale
8. _____ Amount gained or lost from an investment
9. _____ An increase in the basic value of an investment
10. _____ Certificate representing a loan
11. _____ A mutual fund which has no up-front or back-end fee

TRUE OR FALSE

1. T F A savings account can be a building block for future investing.
2. T F Liquid investments can be easily converted into cash.
3. T F Risk tolerance refers to the amount of money you place in your no-risk savings account.
4. T F As a general rule, the greater the risk, the higher the potential rate of return.
5. T F Dividends are bonus payments made to company executives.
6. T F Municipal bonds are issued by publicly-held companies.
7. T F Load and no-load mutual funds have annual management fees.

Unit 2 Answer Key

MATCHING

1. H
2. G
3. K
4. D
5. C
6. A
7. E
8. F
9. J
10. I
11. L

TRUE OR FALSE

1. True
2. True
3. False
4. True
5. False
6. False
7. True

The **BASICS** of **SAVING** and **INVESTING**:

INVESTOR EDUCATION 2020

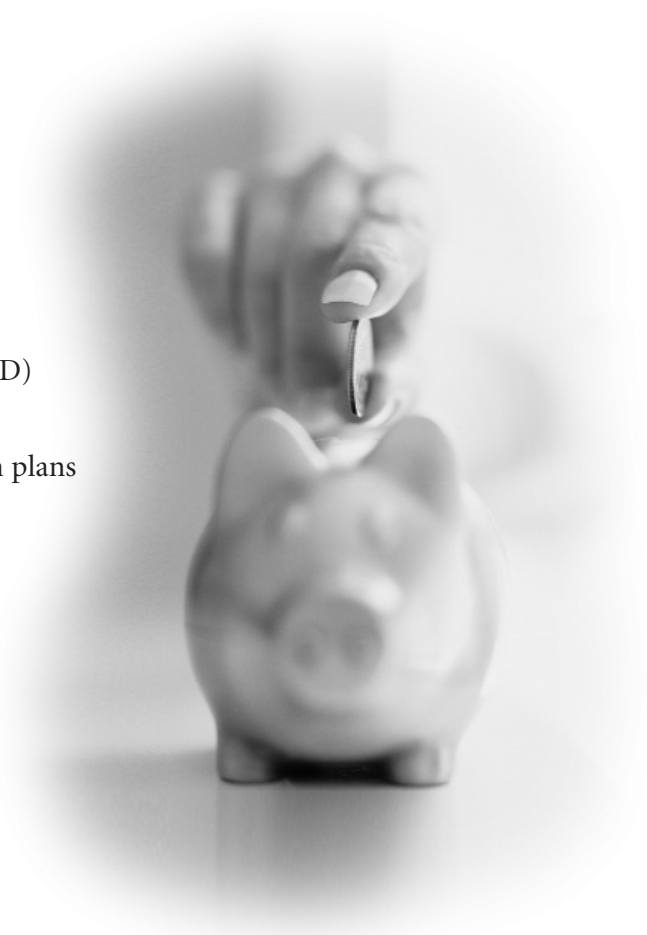
Unit 3: Making a Financial/Investment Plan



Unit 3: Getting Started

TEACHING STANDARDS/KEY TERMS

- 401(k) plan
- 403(b) plan
- Annuity
- Assets
- Asset allocation
- Compound interest
- Central Registration Depository (CRD)
- Decision making
- Defined benefit/defined contribution plans
- Diversification
- Expenses
- Financial adviser
- Financial plan
- Goal
- Incentive
- Income
- Investment plan
- IRAs
- Liability
- Matching contribution
- Net worth statement
- Roth IRA



Unit Objectives:

INDIVIDUALS WILL:

- Learn the benefits of financial planning.
- Consider factors that go into financial planning and investment decisions.
- Design a personal financial/investment plan.
- Consider how to select a stockbroker or investment adviser.

Unit Teaching Aids:

LESSON 1: Myth Vs. Reality (*Handout/Overhead, page 3.12*)

LESSON 2: Financial Planning Process (*Handout/Overhead, page 3.14*)
Personal Net Worth Statement (*Worksheet, page 3.16*)
If Expenses Exceed Income (*Handout/Overhead, page 3.19*)
If Income Exceeds Expenses (*Handout/Overhead, page 3.20*)
Income and Expense Statement (*Worksheet, page 3.21*)
Financial Case Study (*Handout/Worksheet, page 3.24–3.26*)
Employer-Sponsored Retirement Plans (*Worksheets, page 3.29–3.31*)

UNIT TEST: (*Test, page 3.32; Answer Key, page 3.33*)

For Instructors —

Why Teach This Unit?

Today's young people will face more financial decisions at an earlier age than previous generations.

Young people today will face decisions while still in their twenties about employer-based retirement savings plans. Some young people make the mistake of not participating in such plans. As a result, they lose out on the matching funds offered by employers, the advantages of saving on taxes, and the time value of money. Some who do take advantage of savings plans at work may not be aware of the importance of asset allocation, a strategy for selecting various investment vehicles to spread risk among stocks, bonds and cash reserves, such as money market funds and certificates of deposit. The decisions young people make about employer-based retirement plans early in their careers can have a tremendous impact on their future financial security and retirement.

Individuals who plan their finances are likely to have more positive choices to make in later life.

Financial planning is all about taking charge of one's circumstances. For most people, it takes more than luck to get what they want out of life — they have to know what they want and then commit to a plan to meet their goals. People sometimes miss out on becoming financially independent in early and later life because they fail to plan. They may not know what action to take or they may simply procrastinate... without knowing the long-term costs of such delays.

LESSON 1:

Introduction to Financial Planning/Investing Concepts

Individuals can successfully manage their money if they have the know-how and the will to set aside some of today's income for the things they will want and need in the future. A financial /investment plan is a personal blueprint that helps a person:

- Live within their income.
- Identify financial priorities.
- Allocate funds to meet expenses.
- Meet financial emergencies.
- Reduce uncertainty and conflict about financial affairs.
- Achieve a sense of financial independence and control.
- Save and invest to reach financial goals.

A financial plan is a tool to get what one wants out of life. Encourage your class to think of a financial plan as a road map. A road map helps plan a trip to an unfamiliar destination. It is a necessary tool travelers need to arrive successfully at the right destination. Many people are unfamiliar with how to arrive at financial security... with the road map of a financial/investment plan they can figure out how to get to their destination.

A financial plan works best if it is simple, uses realistic income and expense estimates, is reviewed annually (or even more frequently), and adjusted to reflect changing conditions and goals. A common mistake people make is to prepare a financial plan and then fail to follow it or adjust it when necessary.

Throughout the entire financial planning process, individuals will make decisions about how to distribute their income to meet their most important expenses. These decisions will be influenced by many factors, including personal values, goals, wants, and needs.

Individuals will need to ask themselves the following questions to begin the process of framing a financial plan:

- What are my short-term, medium-term and long-term goals?
- What is my total income after taxes and deductions?
- What are my current living expenses?
- What changes in living expenses do I expect?
- How much can I realistically save and invest each month for future goals such as college expenses or a down payment on a car?
- How can I protect against inflation?
- How can I develop a plan for retirement?

LESSON 2:

Framing a Plan to Meet Individual's Investment Goals

There are four key phases in the financial planning process:

- 1 Identify financial goals.
- 2 Determine net worth.
- 3 Estimate and balance income and expenses.
- 4 Implement and modify the financial plan:
 - A. Review personal debt situation.
 - B. Allocate savings and investments to reach goals.
 - C. Modify as needed.

PHASE 1: Financial Goals

The first phase in designing a financial/investment plan is to identify individual **goals**. Saving and investing is easier with specific goals in mind. Goals can be divided among different categories, including short-term, medium-term and long-term **needs** and **wants**:

- **Needs** are short-, medium- or long-term goals that must be met. Examples are paying off a credit card, paying for a college education, and saving for retirement.
- **Wants** are short-, medium- or long-term goals that are not absolutely necessary. Examples are saving to buy a new TV or for a special vacation, and even saving for a down payment on a house.

It is extremely important to set a manageable number of goals that are attainable rather than an overwhelming number that are unrealistic. The first step in Phase 1 is to make a list of all goals and then prioritize them according to importance and the time it will take to reach them:

- **Short-term goals** are those to be reached within a year. Examples of short-term financial goals may include building an emergency fund, saving to buy a new TV, paying off a credit card, or establishing a holiday gift fund.
- **Medium-term goals** may be in the one- to five-year range, such as saving and investing for a first home, college expenses, and starting a family.
- **Long-term goals** are those that may not be reached for five-10 or more years. Examples of typical long-term goals are financing a new business and investing for a comfortable retirement.

After identifying personal goals, the next steps are to determine the cost of these goals.

- Set a date for completing each goal.
- Estimate how much will have to be saved and/or invested each month to reach each goal.

PHASE 2: Net Worth Statement

Individuals now know what they want to achieve with a financial/investment plan, so it is time to determine where each of them actually stands. To do this, individuals will prepare a net worth statement (and be prepared to modify it annually). A net worth statement — or personal balance sheet — is a comparison of what each of us owns (assets) and owes (liabilities) at a specific time. It is like a snapshot of an individual's or household's financial condition at a certain point in time. Follow these steps to determine personal net worth:

- List the market or resale value of all assets.
- List all liabilities or money owed to others.
- Determine total assets and total liabilities.
- Subtract total liabilities from total assets.
- Determine if there is a positive or negative net worth.

Many young adults will have a low or negative net worth as they incur debt for schooling and other large expenses. The most recent U.S. Census data (from 2002) found that 15 percent of households have a zero or negative net worth, while 10.1 percent of households have a net worth of a quarter million dollars or more. Like income, wealth tends to rise with educational level and is higher for homeowners and married couples.

PHASE 3: Income and Expense Statement

An income and expense statement, sometimes called a cash flow statement, lists and categorizes the money an individual receives and spends. It is a financial planning tool that helps individuals to determine the following aspects of their financial picture:

- The amount of money to be set aside for future goals.
- The extent of personal debt.
- The amount of interest being paid.
- How to pay off debt faster while still saving and investing for future goals.

The income and expense statement is usually prepared on a bi-weekly or monthly basis. The statement comprises an income component and an expense component. Income is payment received as a result of investments, interest, or work.

Have your class take the following step to create the income component of this statement: Record all money that they expect to receive during the coming year. Begin with regular income, such as wages, gifts, interest, and dividends, and then add any other money that may come in. List the amounts and total them to determine how much money will be received.

An expense is an outflow of money. Because saving money is simply withholding it from current spending, it is considered an expense. The following step will create the expense component of

this statement: Use old records, receipts, bills, and canceled checks to estimate future expenses. It is helpful to keep records for two or three months to see where money is being spent. Periodic expenses such as car insurance can be broken down into monthly amounts in the budget. List the expenses and determine how much money was spent during the previous 1–3 months.

After the students have completed the income and expense statement, ask them to consider areas that can be cut back and areas that should be increased. There are several options to consider if the income or the expenses exceed each other. For example, if the income is greater than the expenses, increasing savings and investments may be an option. However, if the expenses are greater than income, it is wise to postpone some purchases, cut expenses, or identify additional sources of income.

Consider the following if expenses exceed income:

- What expenses can be reduced?
- Which expenditures can be postponed?
- How can income be increased?

Consider the following if your income exceeds expenses:

- Increase savings or investing for goals. This should be your top priority.
- Satisfy more immediate wants.
- Increase giving to worthy causes.

The challenge here is to balance income and expenses to live comfortably now while saving for future goals. In the long run, people who live within their income are more likely to enjoy the freedom that comes with being financially independent.

PHASE 4: Implement and Modify the Plan

The final phase in developing a personal financial/investment plan is to implement and modify the plan. This includes several steps:

- 1 Review Personal Debt Situation:** Credit allows individuals to have and enjoy things now and pay for them later. It is convenient and can be a cushion in emergencies. But credit costs money (this is especially true for young people who have no track record of repayment of debt) and can encourage overspending. People who do not pay their debts in a timely manner will soon have an unfavorable credit report, which can influence their ability to obtain new credit for years to come.

How much debt is affordable and realistic? One rule of thumb is that no more than 20 percent of a household's take-home pay should be committed to consumer installment and credit card debt. Paying cash is almost always less expensive than using credit. When credit is used, it is best to borrow as little as possible, seek the lowest finance charge, and pay off the loan as soon as possible.

2 Allocate Savings and Investments to Reach Goals: The best way to take care of financial needs is to “pay yourself first.” That is, establish a set amount to save and invest each payday rather than immediately spending it on wants. The habit of saving regularly for future goals is a powerful financial tool, even if the amount saved each payday is small. People living at low income levels may find it difficult to save money because most of their current income is needed for living expenses; however, even a few dollars a month can grow and contribute to improved financial security.

3 Implement the Plan: There is more information about different saving and investment alternatives available in Unit 2 of this teaching guide. Individuals should understand that there is nothing embarrassing about using a financial professional to help select specific investment products. There also are numerous resources at their fingertips to help them make decisions. They should be conscious, however, of the need to check out their financial professional just as diligently as they would research picking a stock or a mutual fund. (See Lesson 3.) The key things they will need to consider when it comes to setting up an investing plan are:

- **Risk tolerance** | Younger people have more time to invest, so they can take more risks and look at more aggressive investment alternatives. (See Units 1 and 2.) The greater the risk one is willing (and financially able) to assume to make money, the more money can be made. Key factors that determine your risk factor are age, income, and investing experience. Risk is the chance one takes that an investment will lose money or will earn less from one investment than another. If someone can’t reasonably expect to do better than that for the risk being taken, there’s no sense in taking the risk.
- **Time horizon** | The number of years one has to invest — and how long one has to achieve one’s key short-, medium-, and long-term goals — will be one of the major ways to choose investment products. For example, if an individual will need money in five years, he or she wouldn’t want to invest in a bond that tied up funds for 20 years (unless one is willing to pay a hefty premium). Similarly, individuals could consider an aggressive growth mutual fund if they have 20 or 30 years to reach their key goal. Investment products are like tools — when the “right tool” for the job is used, investors get the best result.
- **Diversification** | Investors shouldn’t put all of their eggs in just one or even two baskets. Buying an investment product — such as a mutual fund — that involves multiple investments reduces one’s overall level of risk and increases long-term potential for making a profit — this is **diversification** of investments. Investors seek the dual goals of growth and safety by distributing their investments among the three major asset classes: stocks, bonds and cash or cash equivalents. Between 1926 and 2008 the average annual market return of stocks (9.62 percent), bonds (5.9 percent), and cash (3.7 percent) differed substantially, according to Ibbotson Associates. Investing in all three categories helps shelter against major losses. This is true because stocks, bonds, and cash investments not only produce returns in different

ways; they also tend to provide their strongest returns at different times. In most time periods, if one asset class is performing poorly, the other two are doing better.

- **Asset allocation** | Financial/investing plans are like fingerprints. Every person needs a financial plan that is suited to his or her specific needs. The right mix of stocks, bonds, and cash (*see Unit 2 for descriptions*) is the ideal asset allocation scheme. How this customized approach is put together can have major implications for return on investments. Individuals should recognize that asset allocation is a two-step process: First, they assign a percentage of their entire portfolio to each asset class — stocks, bonds and cash. Second, they select a variety of investments within each of the three classes to make up that percentage. Their personal situation will determine what percentage of their portfolio is assigned (or “allocated”) to each class. The best approach for each of them might be aggressive, moderate, or conservative. Aggressive investors seek growth by investing heavily in stock and stock mutual funds. Moderate investors might put 40-60 percent of their portfolios in stock or stock funds and the balance in bonds and bond funds. Conservative investors seek to hold on to what they have and, as a result, put the emphasis on cash investments and certain bonds.
- **Review and Modify the Plan As Needed** | A financial/investment plan is an ongoing process. It is a tool to help individuals reach their financial goals. Reviewing and modifying the plan is essential to the effectiveness of the overall plan. An important goal of a financial plan is to protect against financial risk.

About Employer-Sponsored Retirement Plans and IRAs

Employer-sponsored retirement plans are saving and investment plans that allow employees to place funds in a tax-sheltered account for the purpose of funding all or part of their retirement. One example of an employer-sponsored retirement plan is a **401(k) plan**, a **tax-deferred** retirement plan that allows an employer to “match” employee deposits into the account up to a certain amount. Tax-deferred retirement savings plans for employees of government agencies or nonprofit organizations are known as 403(b) plans or 457 plans.

Matching contributions, or combining an employee’s contribution with that provided by employers, is a very powerful **incentive**, or motivator, for encouraging participation in employer-sponsored retirement savings plans. It is essentially free money. In these plans, employees choose how to distribute their investments among the many different investment products.

Employer-sponsored retirement plans are generally grouped into two major categories: **defined benefit (DB)** and **defined contribution (DC)**. In a defined-benefit plan (often referred to as a “pension”), the employer promises to pay a defined amount to retirees who meet certain eligibility criteria. The employer pays a lifetime monthly benefit to retirees who fulfill specific age and service requirements. Benefits are usually linked to the number of years of service and salary level.

However, due to rising costs of defined benefit plans, fewer and fewer employers offer defined-benefit plans today.

An alternative to a defined-benefit plan is a defined contribution plan which defines the contributions that an employer can make, not the benefit that will be received at retirement. The employee receives the proceeds in either a lump sum or an **annuity** paid at various intervals. Since the benefit is not defined, the retirement outcomes depend on how well the employee does investing the money. In 1978, the *Internal Revenue Code* was modified to create 401(k) plans, authorizing the use of a new type of defined contribution plan that allows employees to make pre-tax contributions to a retirement plan.

Employee 401(k) contributions are automatically deducted from their paycheck each pay period. This money is taken out before the paycheck is taxed. Contributions are invested at each employee's direction into one or more of the mutual-fund-like options defined in the 401(k) plan. Employers often match employee contributions, but are not required to do so.

An advantage of these types of retirement plans is that employees can choose investment products that match their personal investment goals. One drawback is that many employees do not have a basic understanding of investments, and as a result, invest in products that do not match their investment goals or their risk comfort level. With proper education, employees will become comfortable with their investment choices and feel confident about their retirement preparations. Because most young people will likely be required to fund a substantial part of their retirement, it is necessary to begin learning about investing early in life.

Even if future workers don't have a 401(k) at work, they can set up their own **Individual Retirement Account (IRA)**. Under an IRA, they can put aside up to \$5,000 of earnings yearly. The amount is adjusted for inflation in increments of \$500. The real beauty of the IRA is that earnings accumulate on a tax-deferred basis increasing the already powerful effect of compound interest. A yearly \$5,000 non-deductible IRA contribution earning at a rate of 10 percent per year compounded annually over a 20-year period will grow to about \$315,000. If the earnings were taxed annually in the 25 percent bracket, the account would grow to only about \$232,700. Powerful stuff for those who want to invest in themselves!

The IRA alternative can be very attractive to young people and their parents and grandparents. An IRA can be used to pay for certain college and home-buying expenses. Qualified expenses include tuition, fees, books, supplies, and required equipment. For individuals attending college at least half time, room and board also qualifies. If individuals withdraw up to a total of \$10,000 to buy or build a first home, they will escape the penalty. However, they will owe income tax on the withdrawal in both cases.

On the other hand, the **Roth IRA** has no deduction for contributions, but instead provides a benefit that isn't available for any other form of retirement savings: if you meet certain requirements, all earnings are free of taxes when you or your beneficiary withdraws them.

The opportunities for investing in IRAs are almost unlimited. Individuals can find sponsored IRAs in many institutions — banks, savings and loans, credit unions, mutual funds, insurance

companies — offering almost every imaginable investment. If investors prefer to put together their own portfolio rather than rely on mutual fund managers, they can do it through what is called a “self-directed IRA.”

These accounts, usually set up through brokers, let investors choose what they want to invest in, such as stocks and bonds of individual companies. They decide what and when to buy and sell. But if they wheel and deal too much, commissions can eat up a good portion of a nest egg. The fees attached to this type of account demand close attention, especially in the early years of an IRA, when it holds a relatively modest amount.

A **Roth 401(k)** combines some characteristics of Roth IRAs and 401(k)s. Pay-ins do not reduce taxable income because they are made with after-tax dollars. Withdrawals from them are tax free, including earnings on the account, if an investor takes withdrawals after participating in the plan for more than five years and after they reach age 59½. The Roth 401(k) pay-in cap will be higher than for a Roth IRA. The standard 401(k) limits will apply per IRS Pension Plan Limitations plus additional catch-up provisions for participants older than age 50.

LESSON 3: Selecting Financial Professionals

If an individual decides to branch out beyond a retirement plan into the wider world of investing, he or she may end up needing the help of a **stockbroker** or **investment adviser** (sometimes called a “financial planner”). It is important to recognize that most financial professionals are salespeople who make most of their money on commission — which means they get part of what they sell you, just like a real estate agent or car salesman. Some investment advisers are paid on a salary basis or a percentage of the assets they manage, rather than for selling individual products.

Brokers make recommendations about specific investments like stocks, bonds, or mutual funds. While taking into account a client’s overall financial goals, brokers generally do not give a detailed financial plan. Brokers are paid commissions when their clients buy or sell securities through them.

Investment advisers help to develop a financial/investing plan. Some investment advisers also work on a commission basis and sell the products that go into a financial plan. Others are “fee-only planners” who get paid a fee to develop a plan, but do not implement it. As with brokers, investment advisers who get a commission for selling products may have an incentive to steer individuals to certain investments that are more lucrative for them.

Remember: **There is no such thing as a free lunch.** Financial professionals get paid for the work they do — just like any other professional. Some of their fees are easier to see than others. But, in all cases, investors should always ask the method and amount an adviser is being paid. If the fee is quoted as a percentage, it is critical to understand how that translates into actual dollars. Investors should press financial professionals to explain why a recommended investment strategy or product is right for them. A good rule of thumb for all consumers is to invest only in those products and strategies that they fully understand.

Federal or state securities laws require brokers, advisers, and their firms to be licensed, or registered, and to make important information public. But it's up to the individual to find that information and use it to protect his or her investment dollars. The good news is this information is easy to get, and one phone call or Web search may save people from sending their money to a con artist, a bad broker, or disreputable firm. This is important because investors who do business with an unlicensed securities broker or a firm that later goes out of business are unprotected and there may be no way for them to recover their money.

Investigating Stockbrokers

The Central Registration Depository (or "CRD") is a computerized database that contains information about most brokers, their representatives, and the firms for whom they work. For instance, anyone can find out if brokers are properly licensed in his or her state and if they have had run-ins with regulators or have received serious complaints from investors. Information is also available regarding brokers' educational backgrounds and their employment history.

Investors can get information from the CRD or from either the office of their State Securities Regulator or FINRA. State Securities Regulators may provide more information from the CRD than FINRA, especially regarding investor complaints, so it's a good idea to check with them first. Contact information for State securities regulators is on the North American Securities Administrators Association (NASAA) Web site at <http://www.nasaa.org>. To use FINRA's BrokerCheck (CRD) service, go online to <http://www.finra.org>, or call 1-800-289-9999.

Investigating Investment Advisers

Any individual who gives investment advice for compensation, as well as the firm with whom they are employed, is required to be registered with either the U.S. Securities and Exchange Commission (SEC) or the State Securities Regulator(s) in those states in which they conduct business. Investment advisers who manage \$25 million or more in client assets generally must register with the SEC. Those who manage less than \$25 million usually register with the State Securities Regulator.

To find out if advisers are properly registered, read their registration forms. This form, Form ADV, has two parts: Part 1 has information about the adviser's business and if they have had problems with regulators or clients; Part 2 outlines the adviser's services, fees, and strategies. Always ask for and carefully read both parts of the ADV before hiring an investment adviser. Investment advisers' most recent Form ADV can be found online at <http://www.adviserinfo.sec.gov>.

The database currently contains only those Forms ADV filed by investment adviser firms that register electronically using the Investment Adviser Registration Depository, but will eventually expand to encompass all registered investment advisers as well as their firms. Copies of Form ADV for individual advisers and firms are available from State securities regulators or the SEC, depending on the size of the adviser. To contact the State securities regulator, go online to <http://www.nasaa.org>. If the SEC registers the investment adviser, the Form ADV is available for a modest fee plus postage from the SEC.

FINANCIAL/INVESTMENT PLANNING:

Myth vs. Reality

Myth	Reality
I don't earn enough money to need a financial plan.	A financial plan is a tool that helps people to live within their income. It also allows them to make better use of their money.
Investing is just for people with a lot of money.	Investing is for all income levels. People don't have to be rich to begin investing; however, they must have an understanding of basic investment products and their risks and rewards. Investing provides the opportunity for anyone to build wealth.
Young people don't need to think about saving for retirement.	Today's young people can expect to live 20 or more years in retirement. Those who begin early to contribute to a retirement savings plan are more likely to have money for a comfortable retirement because of time and compound interest. Saving small amounts of money over a long time makes use of the magic of compounding. Employer-based savings programs are tax-deferred, and the employer may contribute to your account as well. That's free money.
Social Security is a business-funded program to provide financial aid to people who are retired.	Social Security is an employer and employee funded government program that provides a base-level retirement income. It is not intended to be the sole source of retirement income. Individuals are responsible for filling the gap between income they will need in retirement and the money provided by Social Security. The additional funds can come from employer-based retirement savings plans, personal savings, and Individual Retirement Accounts (IRAs).

Lesson Outline: Financial Planning Phase 1

— Financial Goals

OBJECTIVE	Learners will: ■ Create a set of personal financial goals, ranked in order of importance.
MATERIALS	■ 3"x 5" index cards for listing and ordering financial goals.
PROCEDURES	Instructor will: ■ Lead a discussion using the following statements: • “It takes more than luck to get what you want out of life.” • “You have to know what you want, then create a plan to reach your goals.” • Explain the process of creating a financial plan. • Use 3"x 5" cards for students to list financial goals. Learners will: ■ List three to five of their most important goals and estimate the cost of each (one goal per 3"x 5" card). Rank goals in order of importance. Individuals may modify or eliminate unattainable goals.
ASSESSMENT	■ 3"x 5" goal cards, ranked.
ESTIMATED TIME	■ 45–50 minutes of class time.
BEYOND THE CLASSROOM	■ Learners will describe the specific steps they will take to accomplish one or more of the goals indicated in this lesson.

FINANCIAL PLANNING PROCESS

- Identify financial goals
- Determine net worth
- Estimate and balance income and expenses
- Implement and modify the plan
 - Review personal debt situation
 - Allocate savings and investments to reach goals
 - Review the plan annually or as circumstances change
 - Modify the plan as needed

Lesson Outline: Financial Planning Phase 2

— Net Worth Statement

OBJECTIVE	Learners will: ■ Create a personal net worth statement
MATERIALS	■ “Net Worth Statement” worksheet.
PROCEDURES	Instructor will: ■ Lead a discussion about the key elements of a net worth statement: assets and liabilities. ■ Discuss valuation of assets (resale value, not the purchase price). Learners will: ■ Take the “Net Worth Statement” worksheet home and look at all their possessions. ■ Estimate the resale value to determine assets. ■ Determine liabilities. Do they owe any friends or family members money? Are they paying back a loan such as an auto loan?
ASSESSMENT	■ “Net Worth Statement” worksheet.
ESTIMATED TIME	■ 30 minutes of in-class discussion plus outside homework.
BEYOND THE CLASSROOM	■ Help friends or family members create a Net Worth Statement of their own.

Name _____ Date _____

Personal Net Worth Statement

Assets — What You Own	
Cash on hand	\$ _____
Checking account	\$ _____
Savings (CDs, U.S. Savings Bonds, etc.)	\$ _____
Cash value of life insurance	\$ _____
Personal property	\$ _____
Money owed to you	\$ _____
Investments (market value of stocks, bonds, mutual funds, etc)	\$ _____
Other:	\$ _____
Total Assets:	\$ _____
Liabilities — What You Owe	
Personal loans (parents, siblings, friends)	\$ _____
Credit card balances	\$ _____
Installment loans (auto, furniture, bank loan, etc.)	\$ _____
Mortgage balance	\$ _____
Educational loan balances	\$ _____
Other:	\$ _____
Total Liabilities	\$ _____
Net Worth = Total Assets — Total Liabilities \$ _____ = \$ _____ — \$ _____	

Lesson Outline: Financial Planning Phase 3 — Income and Expense Statement

OBJECTIVE	Learners will: ■ Create a personal income and expense statement.
MATERIALS	■ “Income and Expense Statement” worksheet. ■ “If Expenses Exceed Income” overhead. ■ “If Income Exceeds Expenses” overhead.
PROCEDURES	Instructor will: ■ Lead a discussion using the following statements: • “The best way to get ahead financially in life is...” • “There’s no need to keep track of what you spend, just be careful and everything will work out fine.” ■ Discuss key elements of an income and expense statement. ■ Distribute the “Income and Expense Statement” worksheet and have the learners estimate how much they spend and how much they earn each month. ■ Collect the worksheets and hold them for one month. During this month, individuals will track all their expenses. ■ At the end of the month, pass out a second income and expense statement and have individuals complete it with their actual figures. Return their first income and expense statement and have them compare the amounts on both statements. How accurate were their estimates? ■ Discuss alternatives if expenses exceed income or income exceeds expenses. ■ Ask: Did the month’s income exceed the expenses or vice versa? How? What items were underestimated or overestimated? Use overheads on pages 3.19 and 3.20.

Lesson Outline: Financial Planning Phase 3 — Income and Expense Statement

PROCEDURES	Learners will: ■ Complete the “Income and Expense Statement” worksheet in class and turn it in. ■ Record each time they spend money and receive any type of income for the next month. ■ Fill out a second “Income and Expense Statement” worksheet at the end of the month with the actual amount spent to compare with the first statement. ■ Describe the differences between their first and second income and expense statements. ■ Discuss the importance of living within their income to achieve financial independence.
ASSESSMENT	■ Two “Income and Expense Statement” worksheets
ESTIMATED TIME	■ 45–60 minutes in class and outside homework.
BEYOND THE CLASSROOM	■ Interview people from several generations (depression era, baby boomer era, the sixties/seventies, etc.) about different methods they have used to track their income and expenses and organize their finances. Ask how they budget their money and what they have done to reduce expenses and make ends meet.

IF EXPENSES EXCEED INCOME...

- Determine where overspending occurs
- Cut back on expenses
- Postpone some expenditures
- Increase income

IF INCOME EXCEEDS EXPENSES...

- Increase savings and investments for future goals
- Satisfy more immediate wants
- Increase giving to worthy causes

Name _____ Date _____

Income and Expense Statement

Income Source		Expense	
Wage from primary job	\$	LIVING	
Wage from 2nd job	\$	Rent/Mortgage	\$
Gifts	\$	Housing bills	\$
Interest on savings	\$	Food	\$
Interest on earning	\$	Clothing	\$
Other	\$	Laundry/Cleaning	\$
		Other	\$
		TRANSPORTATION	
		Car payment	\$
		Public transportation	\$
		Gas	\$
		Maintenance	\$
		Insurance (auto, etc.)	\$
		Other	\$
		OTHER	
		Entertainment	\$
		Medical	\$
		Emergency fund	\$
		Savings	\$
		Personal care	\$
		Gifts	\$
		DEBT	
		Credit/Loan payments	\$
		Other	\$
Total	\$	Total	\$

Discretionary income is what is left after all bills and regular monthly expenses are paid.
What is your discretionary income?

Net Worth = **Total Assets** — **Total Liabilities**
\$_____ = **\$**_____ — **\$**_____

Lesson Outline: Financial Planning Phase 4 — Income and Expense Statement

OBJECTIVE	Learners will: ■ Identify markets they participate in. ■ Discuss the relationship between supply and demand.
MATERIALS	■ Internet access. ■ “Market Questionnaire” worksheet (Page 2.20).
PROCEDURES	Instructor will: ■ Discuss the markets in which students participate on a regular basis (clothing, technology, food, entertainment, etc.). Focus particularly on entertainment, as this will be the emphasis of much of the discussion. ■ Discuss recent local entertainment. Have the class list any concerts or sporting events that have taken place in your state in the past several months. What were the ticket prices for these events? Were the tickets sold out? If yes, were people selling their tickets for higher than the face value? If no, what happened to extra tickets people had—were they able to sell them, and, if so, how much did they receive? What causes people to pay more for a sold-out event than for one that is not sold out? How do consumer actions affect the price of such events? ■ Define and explain auctions (traditional and Internet). Discuss how they operate and how Internet auctions (such as eBay) and traditional auctions differ. What drives the price of an item up or down? How do individual actions affect the price of goods or services? Learners will: ■ Participate in class discussion ■ Visit an Internet auction site to view some of the transactions. (Be cautious students do not bid on items.)

Lesson Outline: Financial Planning Phase 4 — Income and Expense Statement

ASSESSMENT	■ Class participation. ■ “Market Questionnaire” worksheet (Page 2.20) may be used as a worksheet, a quiz, or an aid for students as they take notes.
ESTIMATED TIME	■ 45–50 minutes class time, plus outside homework.
BEYOND THE CLASSROOM	■ In a visit to the local mall, students can compare different stores to determine why some are more expensive than others. How does supply and demand affect the price of merchandise?

Name _____ Date _____

Financial Case Study: Maria Lopez

Net Worth Statement

Maria is 22 years old. She works as a _____
 _____ in (City) _____

Maria's Assets | Maria owns a used car valued at \$6,000. She has \$200 cash in her apartment and \$900 in a bank checking account. She owns jewelry valued at \$400, a TV valued at \$800, and a computer valued at \$1,200.

Personal items such as clothes, books, luggage, a bicycle, furniture, and dishes are valued at \$1,100. Maria did not purchase the optional term life insurance policy available through her employer because she has no dependents.

Maria owns a stock mutual fund with a current value of \$1,500.

Maria's Liabilities | Maria owes \$4,000 on her car and \$6,000 on a student loan. Her credit card balance due is \$850. The credit card purchases were for furniture for the apartment and clothes for work.

Car	\$6,000
Cash	\$200
Bank	\$900
Jewelry	\$400
CD System	\$300
Computer	\$1,200
Personal	\$1,100
Mutual Fund	\$1,500
Total Assets	\$ _____
Car	\$4,000
Student Loan	\$6,000
Credit Card	\$850
Total Liabilities	\$ _____
NET WORTH	\$ _____

Maria's Financial Goals | Maria would like to pay off her student loan, reduce her credit card debt, and increase her savings. She wants to buy a washer and dryer and continue to upgrade her wardrobe for work. A summer trip with friends would also be nice.

Maria wants to begin contributing to her employer-based retirement savings plan at work. It is called a 401(k) plan, and her employer matches her contribution. This is a salary reduction plan, so Maria would not pay income tax on the contributions and earnings are tax-deferred.

Calculate Maria's Net Worth: Total Assets

— Total Liabilities _____

Maria's Income

Maria's annual salary is _____. After taxes, her take-home pay is approximately _____, which is automatically deposited into her bank checking account. In addition, Maria receives an annual cash gift of \$1,000 from her grandparents. Maria reinvests her earnings in her mutual fund account. She expects no other income this year.

Maria's Expenses

Housing | Maria pays monthly rent of _____ and her electrical bill is _____. Monthly telephone and Internet costs are _____ and the gas bill is _____.

Food and Clothing | Maria's food at home averages _____ per month. Her food away from home averages _____. She spends about _____ a month on clothing and _____ on laundry and cleaning.

Salary	\$
Take-home pay	\$
Gifts	\$
Rent	\$
Electrical	\$
Telephone	\$
Internet	\$
Gas	\$
Food Home	\$
Food Away	\$
Clothing	\$
Laundry/Clean	\$
Gasoline	\$
Car Maintenance	\$
Parking	\$
License	\$
Car Loan	\$
Student Loan	\$
Credit Balance	\$

Car | Maria is beginning to think that her car is an expensive convenience because public transportation is good and she lives near a shopping center. Gasoline averages _____ per month. Maintenance costs average _____. Parking fees are _____ per month and license costs are _____ per year.

Loans | Maria's monthly car payment is _____ and her student loan payment is _____. She pays \$50 a month on her credit card balance.

Insurance | Maria's auto insurance costs _____ per year. She does not own life or renter's insurance. Her medical, dental, and disability insurance are paid by her employer.

Recreation | Maria spends _____ on health club dues and _____ on movies. She enjoys reading, hiking, and swimming.

Other | Maria spends about _____ a month on haircuts and personal care. She contributes _____ a month to a charitable organization and spends about _____ a year on gifts for family and friends.

Savings and Investments | Maria knows that saving regularly is important so she sets saving as a regular monthly expense.

Her emergency fund is the \$900 in her checking account. She would like to increase it to an amount equal to three months' living expenses. She authorized the bank to automatically deposit \$50 each month from her checking account into her mutual fund account. She also plans to contribute to the 401(k) plan at work.

Auto Insurance

\$

Health Club

\$

Movies

\$

Personal

\$

Gifts

\$

Savings

\$

Emergency

\$

Mutual Fund

\$

401(k)

\$

Lesson Outline:

Employer-Sponsored Retirement Plans

OBJECTIVE	Learners will: ■ Analyze a young investor's plan for dividing savings among stocks, bonds, and cash reserves in an employer-sponsored retirement saving/investing plan.
MATERIALS	■ "Employer-Sponsored Retirement Plans" worksheets.
PROCEDURES	Instructor will: ■ Review the relative risks and returns that might be expected from stocks, bonds and cash reserves using "Pyramid of Investment Risks" from Unit 1. ■ Ask individuals to explain the difference between a stock and a bond. Give examples of cash reserves. Historically, which categories of investments have yielded the greatest long-term return — stocks, bonds, or cash reserves? ■ Define and discuss time value of money, diversification, and asset allocation. ■ Have individuals complete the "Employer-Sponsored Retirement Plan" worksheet. ■ Debrief the activity by having individuals discuss why they chose the option (aggressive growth, growth, moderate growth, or conservative growth). Learners will: ■ Participate in the class discussion. ■ Complete the "Employer-Sponsored Retirement Plan" worksheet.

Lesson Outline:

Employer-Sponsored Retirement Plans

ASSESSMENT	■ From the completed worksheets and class discussion, determine whether the individuals grasped the concepts of saving, investing, risk, time value of money, and diversification as applied to asset allocation decisions.
ESTIMATED TIME	■ 45–60 minutes of class time.
BEYOND THE CLASSROOM	■ Learners will interview someone who has retired about retirement preparation. Among other questions they may ask, “What would you do differently about saving for retirement if you were young again?” ■ Learners will interview local high school graduates about their experiences regarding saving part of their income through employer-sponsored saving/investing plans.

Name _____ Date _____

Employer-Sponsored Retirement Plans

Jim and Tina recently graduated from college and are beginning their careers. Prior to their marriage, they discussed their knowledge and feelings about money. One financial issue they are currently exploring is their employer-sponsored retirement programs. They studied information from their employee benefits offices and also checked the Internet for information on 401(k) plans and asset allocation options. Finally, they spoke with parents and friends who had experience with employer-based savings programs. Below are some of the questions they asked.

QUESTION: Should we join the employer-sponsored program?

Contributing to 401(k) plans can help employees prepare for a financially secure future, especially since some employers often match employee contributions. It's never too soon to start a regular investing plan to take advantage of the tax-deferral and compounding that 401(k) plans offer.

QUESTION: How should we divide our contributions among stocks, bonds, and cash reserves?

There are no easy answers here. Decisions on how to divide Jim and Tina's retirement contributions are dependent on their risk tolerance, the number of years until retirement, and the options provided in their employer-sponsored plans. Here are some ideas Jim and Tina can use:

- Diversify to reduce risk.
- Time is on their side so they can assume greater risk.
- Other investment advisors say that young people who have 30 to 40 years before retirement can afford to be much more aggressive with stocks because they have more time to ride out the market and make up for losses. Historically, stocks have outperformed bonds significantly, but there are no guarantees of future performance.
- Individuals must determine their preferences and understand the trade-offs of both options.

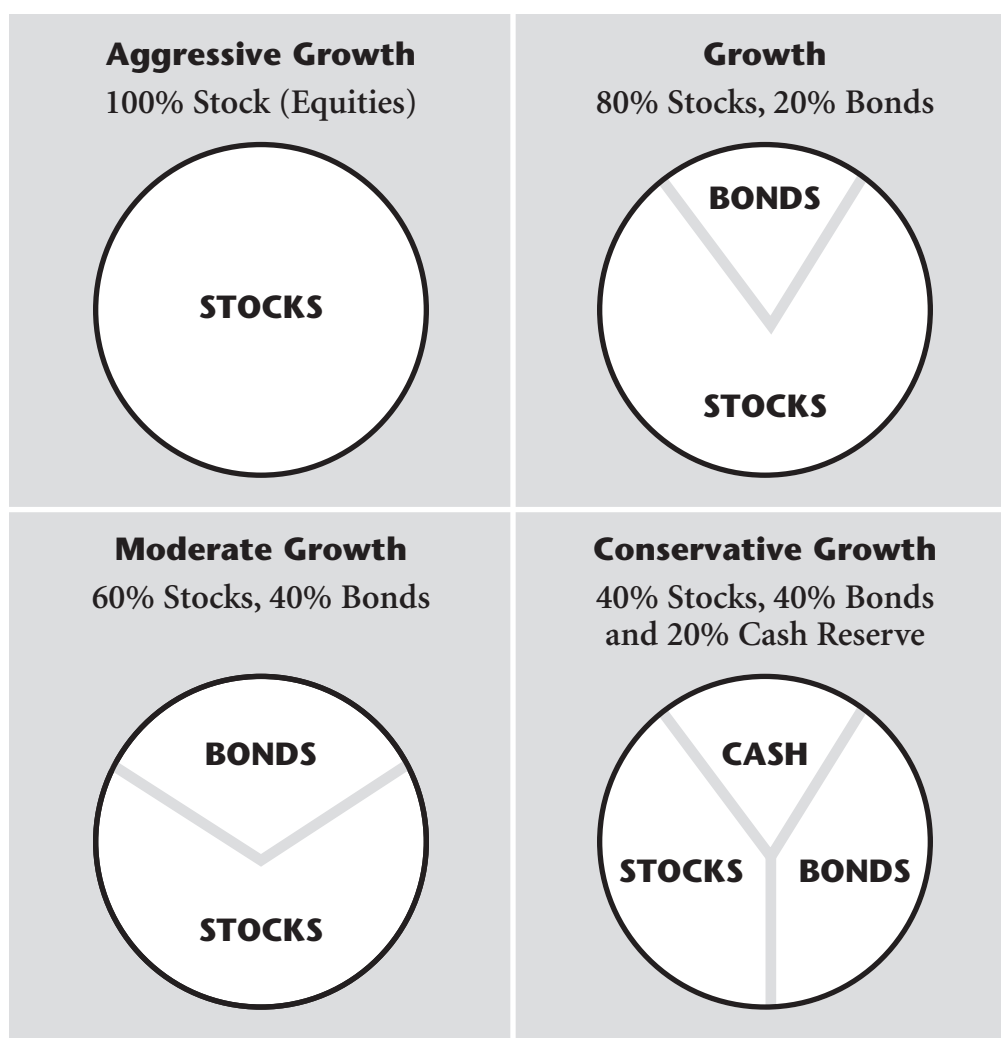
Name _____ Date _____

QUESTION: Can we use the money in our employer-based savings plans for emergencies before we retire?

Yes, Jim and Tina can borrow from their retirement savings plan, but they will not borrow unless absolutely necessary. Borrowing will reduce earnings because the principal has decreased and may trigger income taxes and penalties. As an alternative, Jim and Tina decide to seek other loan options.

Decision Time — Initial Asset Allocation

Jim and Tina have narrowed their allocation choices to four options.



Name _____ Date _____

Which plan would you recommend for Jim and Tina? Give reasons for your answer.

Jim and Tina know that their 401(k) plans give them the option to alter their allocations if their goals change or if they find the allocation too conservative or too risky. What might be the reason(s) to do this?

Name _____ Date _____

Unit 3 Test

MULTIPLE CHOICE

1. A _____ is a road map to help you plan your future.
2. Saving \$20 a week to buy a new TV is an example of a _____ financial goal.
3. _____ refers to the mix of stocks, bonds and other investment vehicles individuals develop as part of their financial/investment plan.
4. “Don’t put all your eggs in one basket” is an example of _____ in your financial /investment plan.
5. The securities agency regulates _____ in your state.
6. Background information on individual financial professionals is available from the _____.

Diversification | Financial/Investment plan | Investment advisers
Asset allocation | Short term | Central Registration Depository

TRUE OR FALSE

1. T F Financial/investment plans, once developed, should not be modified.
2. T F Since young people have more time to invest, they can afford to take more risks in their investments.
3. T F Having a combination of varied investments in your portfolio reduces your overall risk to loss.
4. T F An employer match is a strong disincentive for employees to contribute to 401 (k) plans.
5. T F Investing in mutual funds is a good way to achieve diversification.
6. T F The ADV form will help you check the experience and services of investment advisers you may be considering hiring.

Unit 3 Answer Key

MULTIPLE CHOICE

1. Financial/Investment plan
2. Short range
3. Asset allocation
4. Diversification
5. Investment advisers
6. Central Registration Depository

TRUE OR FALSE

1. False
2. True
3. True
4. False
5. True
6. True

The **BASICS** of **SAVING** and **INVESTING**:

INVESTOR EDUCATION 2020

Unit 4: Investment Fraud



Unit 4: Investment Fraud

TEACHING STANDARDS/KEY TERMS

- Affinity fraud
- Boiler room
- Critical-thinking skills
- Fraud
- Ponzi and pyramid schemes
- Precious metals
- State securities regulators
- Telemarketing fraud



Unit Objectives:

INDIVIDUALS WILL:

- Understand how investment fraud works.
- Learn the warning signs of investment scams.
- Engage in a role-playing exercise to experience an actual fraudulent investment sales pitch.
- Understand the duty to report investment scams.
- Examine how government regulators work to stop investment fraud and help victims

Unit Teaching Aids:

LESSON 1: Investment Fraud: Myth and Reality (*Handout, page 4.10*)
Investment Scams (*Overhead, page 4.12*)

LESSON 2: How Telemarketing Fraud Works (*Handout, pages 4.13–4.14*)

LESSON 3: Investment Fraud Script (*Classroom exercise, pages 4.17–4.19*)
Investment Fraud Simulation (*Worksheet, page 4.20; Answer Key, page 4.21*)
Victim-Proof Yourself (*Overhead, page 4.22*)

UNIT TEST: (*Test, page 4.23; Answer Key, page 4.24*)

For Instructors —

Why Teach This Unit?

The best defense against investment fraud is a smart investor. Individuals who do not know how to make sound economic decisions about investing may become victims of investment fraud. On the microeconomic level, the unwary victims of investment fraud often suffer catastrophic financial consequences. At the macroeconomic level, the consequences include lost confidence in legitimate marketplaces and the vanishing of productive capital that might otherwise generate jobs, tax revenues, and other important products.

Spotting and avoiding investment fraud will sharpen critical-thinking skills that can be used by individuals in other situations. Although there are many types of investment swindles, the tactics of con artists do not differ from scheme to scheme. Contemplating the individual economic consequences of fraud allows individuals to see vividly why and how ethical behavior should guide their conduct.

LESSON 1:

Introduction to Investment Scams, Schemes, and Swindles

Fraud involves deceiving a person by misrepresenting the truth in order to deprive them of something, such as their hard-earned savings. However, for the victims, investment fraud is all risk and no return. State and federal officials estimate that financial swindles cost American consumers \$40 billion a year.

Government regulators have limited resources to fight financial fraud. Experts warn that no one is completely immune to the seductive pitch of the investment con artist who will tell potential victims exactly what they want to hear. Victims range from the rich to lower-income, blue-collar workers. Celebrities, college presidents, accountants, teachers, manual laborers, and high school students are among those who have been swindled out of all or part of their hard-earned savings. Even if swindlers are caught and prosecuted, many investors never get a penny of their money back.

The best protection against investment fraud is to learn how to spot and avoid the various types of scams. Con artists appeal to the greed of some victims and in other cases, fears such as the inability to accumulate enough money to meet catastrophic medical bills, send children to college, or fund retirement. Keeping in mind that no group of investors is immune to con artists, does the average person stand a chance with a swindler? Yes, but only if he or she allows critical thinking to guide the decision-making process. When greed or fear are the deciding factors, financial disaster is all too likely to follow.

Major Types of Investment Fraud

Investment con artists or swindlers know what it takes to get a consumer's money. Some swindlers focus on specific groups such as church groups, African Americans, Latinos, doctors, or the elderly, and offer pitches tailor-made to their needs and concerns. Others take advantage of economic downturns and employment uncertainty with glowing reports on the earnings of those who buy a franchise or invest in a business opportunity. Swindlers now can take advantage of Internet access and other technological channels to solicit fraud. It is therefore important to be familiar with the common types of investment fraud and the key warning signs for each type. There are seven main types of investment scams consumers are likely to encounter:

- Pyramid schemes
- Ponzi schemes
- Precious metals fraud
- Stock swindles
- Phony international investments
- Affinity fraud
- Bogus franchise and business opportunities

Pyramid Schemes operate on the principle that each member of a group will receive a profit or a cut for recruiting new members to join the scheme. One popular pyramid scheme is the “airplane game” in which new recruits buy in as passengers for \$100 and are then told that if they bring in new investors they will be able to move up to flight crew, co-pilot, and finally pilot. As pilots, they will receive \$1,000 or more. In another variation on the pyramid scheme, investors buy one gold coin for \$50 and are told that when they reach the top of the pyramid, they will get five gold coins, a \$250 value.

Pyramid investment scams are different from legitimate sales organizations that recruit individuals to expand their sales staff. Legitimate sales firms recruit new salespeople to sell tangible products. Illegal pyramid schemes offer participants payment for recruiting new members into the sales force rather than for selling products.

The problem with pyramid schemes can be explained simply: There are not enough potential participants in the whole world to keep pyramids growing steadily for even a few months. Warning signs of pyramid scams include:

- Sky-high profits are promised for a small amount of effort.
- Sellers and buyers are expected to recruit new sellers and buyers to keep the pyramid growing.
- People must pay a membership fee to participate in the scheme.
- If products are offered, they will cost more than similar products.
- Unrealistic claims are made about product quality or performance.
- Participants are paid for recruiting others.

Ponzi schemes are a type of pyramid scheme named for Charles Ponzi who duped thousands of New England residents into investing in a postage stamp speculation scheme. Ponzi determined that it was possible to take advantage of differences between U.S. and foreign currencies to buy and sell international mail coupons.

Ponzi told investors that he could provide a 40 percent return in just 90 days compared to five percent for bank savings accounts. Ponzi was deluged with funds from investors, taking in \$1 million during a single three-hour period. Although he paid a few early investors in order to make the scheme look legitimate, an investigation found that Ponzi had purchased only about \$30 worth of the international mail coupons.

Ponzi worked in the 1920s; however, even today Ponzi schemers continue to work on the “rob-Peter-to-pay-Paul” principle; money from new investors is used to pay off earlier investors until the whole scheme collapses. Bernard “Bernie” Madoff admitted he was the operator of what has been described as the largest Ponzi scheme in history and pleaded guilty to 11 felonies in 2009. He defrauded thousands of investors of billions of dollars.

Ponzi schemes often have the following characteristics:

- Promises of very large returns on an investment, such as “double your money in 60 to 90 days.”
- A “can’t lose” scheme for making money that others have overlooked.
- Payments are made to a few early investors to prove that the investment isn’t crooked. These fortunate few are known as “songbirds,” because they sing the praises of the scam to others, thus bringing in new victims.
- The Ponzi scheme collapses when the number of previous investors seeking a return exceeds the number of new investors bringing in additional money.

Precious metals have always attracted investors. They include tangibles such as gold and silver and seem particularly appealing to investors during uncertain times. Con artists urge jittery investors to put their savings into something they can hold on to rather than paper investments such as stocks and bonds. There are several examples of precious metals schemes:

- **Coin swindles** | Swindlers may sell consumers low-quality coins that they claim are valuable. These coins often arrive in poor condition or are never sent at all.
- **Gold mining schemes** | How does buying gold, silver or platinum at dirt-cheap prices sound? That is the promise of swindlers who claim to be able to sell precious metals directly from mines using a new technology to recover trace amounts that other mining firms have not been able to retrieve. Securities regulators sometimes refer to these schemes as “dirt pile” swindles involving promises of “no-see-um” gold because investors never see the promised precious metals. All they get for their money is dirt.

- **Bullion deals** | How can swindlers avoid delivering promised goods, such as gold bars? One popular tactic is to stall by offering bullion storage services so that a consumer who supposedly buys precious metals in bullion form can have them stored in a vault. The investor never even sees the product, in this case, gold bars — an open invitation to fraud. In one major scam, con artists pocketed millions of dollars of investor funds and never bothered to buy the gold.

Stock swindles pose a major threat to consumers. In the late 1980s, small investors lost \$2 billion in scams involving penny stocks, so named because the shares sell for less than \$3. In the late 1990s, investors were victimized in the systematic manipulation of “micro-cap” stocks, which are little-known company stocks with relatively small numbers of shares that can be easily manipulated. A stock swindler may claim that a company has developed a cure for AIDS or is about to announce a business deal that will cause its stock to double or triple in value. In a penny stock example, con artists convinced investors to put millions of dollars into a non-existent company supposedly developing a self-chilling beverage can that would eliminate the need to refrigerate soda and other liquids. The deal failed and investors saw their money go down the drain.

To see how investment swindles use e-mail to hype investors, go to <http://www.investingonline.org/isc/index.html> and go through the “Don’t Get Burned” simulation. (Flash required.)

Phony international investments are a fast-growing area of interest for U.S. investors. With the rapid pace of political and economic changes overseas and the strong performance of some foreign stock markets, many American consumers are investing funds abroad. Con artists have responded by offering scams with an international flair. In one recent case, a Washington State con artist fleeced 400 investors out of \$7 million by promising 30 to 40 percent returns on certificates of deposit and other investments through a bank in the Marshall Islands. After the swindler fled the United States, investigators found that the bank existed only on paper and that its sole officer was a Marshall Islands gas station attendant who was instructed to go to the post office, pick up investors’ checks, and then mail them back to the con artist.

Even when U.S. investors deal with legitimate investment opportunities overseas, they remain vulnerable to such factors as loose or nonexistent investor protection regulation, currency fluctuations, limited opportunities to pursue grievances, and political instability in some nations.

Affinity fraud describes investment schemes that prey upon members of identifiable groups. Con artists promote affinity scams that exploit the sense of trust and friendship that exist in groups of people who have something in common. For example, one thousand immigrants from El Salvador recently lost \$6 million of their savings in a phony investment bank that promoted itself exclusively to Latinos in the Washington, D.C. area.

Con artists recognize that the tight-knit structure of many groups makes it less likely that a scam will be detected by regulators and law enforcement officials and that those who become victims will be more likely to forgive one of their own. Affinity fraud is also dangerous because the usual

warnings about investment schemes promoted by strangers don't apply. In these cases, a friend, colleague, or someone else who inspires trust may introduce the investor to the scheme.

Affinity fraud swindlers will enlist respected leaders within a community or group to spread the word about an investment deal. The key to avoiding affinity fraud is to check out everything, no matter how trustworthy the person may be who presents the investment opportunity.

Bogus Franchise and Business Opportunities appeal to the dream of being your own boss. In fact, legitimate franchise operations may soon account for a majority of all retail sales made in the United States. Unfortunately, con artists realize that the desire of many Americans to own their own business may make them less cautious when it comes to evaluating franchises and business opportunity deals. Such investments may be promoted on the basis of the fear of losing a job or general uneasiness about the economic situation.

Ads for fraudulent business opportunity schemes may appear in otherwise reputable television programs, newspapers, and magazines. Investors incorrectly assume that because the media outlet is reputable the advertisers are as well, not realizing that the media outlet may not screen its advertisers. Ads for frauds often offer high income to the person who will invest enough to cover individual start-up costs, ranging from \$50 to several thousand dollars. The only people who make money are the swindlers who receive the start-up investment money. Fraudulent business opportunity ads frequently appeal to people who have few job skills and are desperate for money. Examples include work-at-home and animal-raising schemes.

LESSON 2:

How Telemarketing Works — Inside the Boiler “Room”

E-mail and Web sites are the newest friends of scam artists and Internet-based scams are growing at a rapid pace; however, the telephone remains the swindler's weapon of choice. A phone scammer can use the telephone to contact 100 or more potential victims in a single day. These swindlers use the phone as a weapon in much the same way that a mugger uses a weapon. Databases are used to generate special lists of people who may be more likely than others to fall into the trap of a particular investment scam. Con artists who operate by phone are often said to be engaging in “boiler room” operations. This term for the calling center is used because it is where swindlers “turn up the heat” on their potential victims.

Fraudulent sales callers have one thing in common: They are skilled liars and experts at deceit. Their success depends on it. Many are coached to say whatever it takes to get the victim's money. The callers make hundreds of repetitious calls, hour after hour.

How can one tell a legitimate telemarketing call from the seductive sales pitch of a swindler? There is no way to determine whether a sales call is honest simply by talking with someone on the phone. No matter what questions are asked, skilled swindlers will have ready answers. That's why sales calls from unknown persons should always be thoroughly researched before investing.

Phone swindlers are likely to know more about their potential victims than will be known about them. Con artists may know all about the people they call: age and income, health and hobbies, occupation and marital status, education, the cost of their home, what magazines are subscribed to, and whether they have bought by phone in the past. They assume that everyone wants more income, are receptive to a bargain, and will be reluctant to be discourteous to someone on the phone.

Phone swindlers are extremely good at sounding as though they represent legitimate businesses. They offer investments, describe employment opportunities — the list goes on. One can never assume they will immediately recognize a phone scam. Innovative swindlers constantly devise new schemes.

Here are the hallmarks of phone-based investment scams:

- **Sales pitches with slick talk about little or no risk, secret tips, and an unrealistically high rate of return** | The rate is usually much greater than that from more traditional investment opportunities.
- **Demand for immediate action** | The last thing a phone swindler wants is for a potential victim to have time to reflect upon the phony investment or, even worse, seek the advice of a trusted, knowledgeable third-party, such as an accountant, broker, securities regulator or banker. Swindlers often push victims to send money immediately or offer to pick it up by courier or delivery service.
- **No disclosure of the street address of the boiler room operation** | Instead, con artists will frequently use a mail drop. This decreases the chances of being caught by local law enforcement officials.
- **No use of the U.S. mail system** | Many con artists fear that federal mail fraud statutes will be invoked against them as a result of their schemes, so they commonly resort to alternate delivery methods, including overnight delivery services and couriers to pick up the money.
- **Stalling suspicious investors who suspect that they have been defrauded** | This process may involve lull letters, in which the promoter of the scam blames the temporary delay in the promised high returns on various factors, including weather, union problems, delayed equipment delivery, labor problems, government red tape, and so on. Such excuses may provide the con artist with valuable additional weeks or months in which to swindle hundreds of additional victims.
- **Pulling a vanishing act** | When the heat is on, telephone con artists move on to the next city or state. Very often, this will also involve a switch in scams, so someone who is a precious metals salesperson today may be selling \$99 round trips to Hawaii next week.

LESSON 3: Teach Individuals to Become “Victim Proof” — Self Defense Tips Against Fraud

Investment con artists do not break into homes. They do not pull a gun on their victims and demand their money. Instead, they get people to *give* them their money... voluntarily! Most investors are at risk of victimization simply because they lack information about investment choices and are unaware of how to evaluate investment opportunities. The following four key steps will help individuals protect their money:

- **Stop and think before acting** | Never invest merely on the basis of a sales pitch. Get written information and evaluate it. Remember that the person on the other end of the phone is a salesperson even if he or she is a stockbroker, investment adviser, or has an impressive title. The first priority of people who sell investments is to make money for themselves and their employers, it is not to ensure the investor's financial future. That does not mean that all people who promote investments are dishonest, it just means that their goals may not be the same as the investor's.
- **Study the deal — and get input** | Read the material about the investment to determine how it is supposed to make money. Seek the counsel of someone such as a trusted broker, accountant, banker or an experienced investor who is more knowledgeable. Never provide personal or financial information like bank accounts or credit card numbers to investment telemarketers even if they pressure for it. If the caller is legitimate, the deal will still be available after thoroughly checking it out.
- **Stick to what is clearly understood** | Consumers need to stick with investments they understand, particularly when it comes to the potential risks or rewards. They shouldn't get caught in the trap of trusting a salesperson who claims to understand it all and promises to take care of them. It's important to not sign papers before reading and understanding them — a lawyer or another investment professional should answer any questions concerning the agreement before signing.
- **Apply critical-thinking skills** | Students should ask themselves: Does what I am being promised really make sense? Although there are government and industry regulatory offices that actively oversee the investment marketplace, the best forms of protection are good critical-thinking skills and a sound decision-making model to determine the legitimacy of any investment opportunity. Ask common sense questions about the nature of the investment: Where exactly is the money going?; How much will the salesperson get in fees or commissions?; What is the track record of the investment? Don't sit still for mumbo-jumbo or double-talk. When it comes to financial assets, the only dumb questions are the ones not asked.

LESSON 4: How Regulators Help to Protect Investors

State and federal agencies and self-regulatory organizations devote millions of dollars and many hours each year to stopping investment fraud. However, one of the biggest obstacles to stopping investment fraud are the embarrassed individuals who would rather suffer their losses in silence than admit that they have been cheated.

Consumers who are approached by a con artist, or have been victimized by such a person, should report it to the proper authorities. The longer a con artist goes unreported, the more money victims will lose. Enforcement authorities, such as the state securities regulator, the Financial Industry Regulatory Authority, and the U.S. Securities and Exchange Commission will prosecute scam artists, but they cannot carry out their responsibility without the public's help. For information about how to report investment fraud schemes, go to the following Web sites:

North American Securities Administrators Association

<http://www.nasaa.org>

U.S. Securities and Exchange Commission

<http://www.sec.gov>

Financial Industry Regulatory Authority (FINRA)

<http://www.finra.org>

Most of the investment marketplace is run on the “up and up.” But there are bad guys out there. Considerable state, federal and self-regulatory agency resources are spent to combat investment fraud. However, crooks invent scams that fall between the various laws and remain out of the reach of regulators. The quick and easy portability of a swindling operation severely limits the effectiveness of the law enforcement response. Often, by the time the rip-off is discovered, the crooks have closed up shop, moved down the road and reopened under a new name. The problem is so massive that even vigorous, well-staffed, well-coordinated law enforcement efforts can only make a dent in the problem. On the other hand, regulators can, and do, cooperate with each other to stop some scams. In one recent fraud case, a swindler was caught and jailed by a cooperative posse of local authorities, state securities regulators, members of the U.S. Office of the Attorney General, the U.S. Postal Service, and the Internal Revenue Service.

Although many regulations have been enacted and institutions established to protect consumers in their investment activities, the principle of caveat emptor — let the buyer beware — remains the investor's best protection. Legal protections are limited, fraudulent activities flourish, and once money is invested in a fraudulent scheme, the chances of getting it back are extremely small. You shouldn't be afraid to invest — but you should be on your guard against being swindled.

Investment Fraud: Myth and Reality

Myth	Reality
There are investments that offer extremely high reward with little or no risk.	The rule of thumb in investing is that a well-above average rate of return almost certainly means more risk. Otherwise no one would put money into investments of equal risk with much lower potential for return. The “high return/low or no risk” offer is almost always a sure tip-off that an investor is being deceived.
I’m too smart to be a victim.	Investment swindlers are sometimes referred to as “con artists,” short for confidence artists. That term describes how swindlers establish and build up the confidence of potential victims before taking advantage of them. A con artist can take the few things that he knows about potential victims and use them to gain their confidence. For example, if you are facing major medical bills, the swindler may promise you investment returns that will get you in and out of the hospital with money to spare. Con artists may also play on an investor’s desire to make money quickly. The con artist determines what “buttons” to push to convince the victim that the investment scheme is legitimate.

Lesson Outline: Financial Investment Planning

OBJECTIVE	Learners will: ■ Discuss common types of investment fraud. ■ Recognize key indicators of investment schemes.
MATERIALS	■ Access to Internet or newspapers.
PROCEDURES	Instructor will: ■ Lead a discussion using the following statements: Learners will: ■ Work in groups of three to five (depending on computer access or the number of newspapers).. ■ Identify articles that describe an investment fraud. ■ List the fraud indicators that consumers could have recognized and avoided.
ASSESSMENT	■ Groups will turn in a copy of the article they reviewed as well as their list of fraud indicators.
ESTIMATED TIME	■ 45–60 minutes of class time.
BEYOND THE CLASSROOM	■ Invite a guest from your state securities agency to discuss fraud protection. ■ Teams of individuals go through local classified newspaper sections to identify investment-related advertisements that they think may be fraudulent. Many con artists use classified ads to lure consumers. Individuals should compile a grid that shows the warning signs they associate with the suspect ads and the list of questions they would want to have answered before they invest.

INVESTMENT SCAMS

- Pyramid schemes
- Ponzi schemes
- Precious metals fraud
- Stock swindles
- Phony international investments
- Affinity fraud
- Bogus franchise and business opportunities

HOW TELEMARKETING FRAUD WORKS

What the con artist says...	The truth of the matter...
“You can make 30, 50, or even 100 percent in just three to six months.”	If a stranger calls and offers you a way to double or triple your money in no time at all, there is zero chance that you are being approached with a legitimate business opportunity. Why would anyone be doing you this favor? Why wouldn't this wonderful investment opportunity already be snapped up by investment professionals long before you ever got a chance to see it? If this was a legitimate opportunity, doesn't it seem likely that the demand from investors would have dried up the supply of opportunities long before your name came up?
“The good news doesn't stop there. Not only can you get a way above average rate of return, but there is no risk to your capital.”	Ask yourself: Is this a reasonable risk-reward statement? The rule of thumb is simple: As the potential for profit (or reward) rises, so too does the element of risk. The suggestion that sky-high returns can come with no risk is a sure tip-off to a scam.
“You must act now to take advantage of this incredible opportunity.”	While it is true that some investment opportunities are fast moving and change from day to day or even hour to hour, a stranger pressuring you to act immediately is a major warning sign of an investment scam. Take the time to learn about any investment and the person promoting it. Consult first with someone — such as a trusted accountant, banker or lawyer — who might know more about the investment. Never send your money just because someone insists that you do so!

HOW TELEMARKETING FRAUD WORKS

What the con artist says...	The truth of the matter...
“We have secret information about a special contract that the company is getting with a Fortune 100 corporation.”	This is another clear indication of a scam. Insider trading is a violation of federal law that can result in steep financial penalties and even jail time. The “secret” information or, in other scams, the claim of the recent discovery of revolutionary new technology is another tip-off that you should hang on to your wallet and hang up the phone!

Lesson Outline: How Telemarketing Fraud Works

OBJECTIVE	Learners will: ■ Experience a fraudulent telemarketing situation. ■ Recognize the warning signs of fraud.
MATERIALS	■ Two telephones, real or imagined. ■ Two chairs at opposite ends of a table. ■ “Investment Fraud Script” (Pages 4.17–4.19). ■ “Debriefing Session Discussion Questions” (Page 4.20)
PROCEDURES	Instructor will: ■ Discuss how to protect oneself from fraud using the overhead “Victim-Proof Yourself” (Page 4.22). ■ Select three participants with dramatic skills — a narrator, a swindler, and a potential victim. ■ Give the three players the script in advance so that they can review it prior to the role play. Encourage them to use their own words to express the key ideas. ■ Debrief the class after the first ending. Use the “Debriefing Session Discussion Questions” along with any questions generated by the group. ■ Have individuals proceed to read the second ending. Discuss the importance of using what they have learned to expose swindles.
ASSESSMENT	■ Class participation.
ESTIMATED TIME	■ 45–60 minutes of class time.

Lesson Outline: Saving and Investment Products

BEYOND THE CLASSROOM

- Individuals will discuss with someone else what they know about investment scams or victims. (Almost everyone knows someone or of someone who has been victimized in a scam.) They will then bring the stories back to class for a follow-up discussion.
- Students will search the Internet to learn more about scams promoted online. How are these scams similar to and how do they differ from the telemarketing scam in the role-play?
- Instructors may refer to Unit 3 to discuss how to check out a broker who is soliciting investments over the phone, in the newspaper, or through other mediums.

INVESTMENT FRAUD SCRIPT

Introduction (Narrator)

We are about to listen in on a telephone conversation between a boiler-room scam artist and a potential investor. The swindler is lying. The question is: Will the potential victim fall for the phony pitch?

Swindler: Hello, is this Mrs. Johnson? My name is Tim Thayer. My friends call me Tim and that's what I want you to do. I'm calling today to offer you the opportunity of a lifetime. Do you have a minute to hear how you can make a lot of money in a few short months?

Victim: Well, I guess so. What's up?

Swindler: I am with the International Mining Company and for a limited time we are selling investment units in high-yield gold and silver mines in southern Texas. We guarantee that for each \$1,000 you invest you will receive a \$3,000 return on your money in just six months and there is no risk of loss whatsoever. Sound good?

Victim: I don't know enough about gold and silver mining to invest.

Swindler: I understand, Mrs. Johnson, and I appreciate your concern. However, you probably don't know how to build a car — and neither do I — but that wouldn't keep us from investing in General Motors or Ford stock if we knew we would earn a lot of money. Doesn't it make sense, Mrs. Johnson, to just look at the return on your investment and leave the mining to us?

Victim: I just don't know. My money is doing just fine in CDs.

Swindler: The truth, Mrs. Johnson, is that CDs are for suckers. The same goes for savings deposits, Treasury bills, municipals, and blue-chip stocks. You keep your money there earning its pitiful three to percent a year and you can take it from me, Mrs. Johnson: The rich will stay rich and the poor — including you — will stay poor. What I'm talking about is putting an end to that. This is your chance to break out of the pack, move up to the big time, and take care of your future needs. Probably the hardest thing to do, Mrs. Johnson, is to make a decision. But let's face it, only the doers achieve success — because they reach out and grasp the opportunity. If you don't do anything, nothing gets done! Right?

Victim: I have to think this one over.

Swindler: Our information is very clear or I haven't done my job. I have plenty of research information to help you make an intelligent decision. If you are a serious investor, you can check everything out. Our company has business offices throughout the United States, Europe,

and the Pacific Rim. We enjoy an international reputation for good management. As a matter of fact, the Securities and Exchange Commission recently listed our company as the number one investment company in safety and yield over the next 10 years. So, can you make a decision to invest today?

Victim: I still need more information.

Swindler: Fine, Mrs. Johnson. I'll send all the information you need about our company and its highly trained mining engineers. This is no secret silver mine. We have mountains of research reports if you care to read and study them. Oh, by the way, Mrs. Johnson, you do have the cash available to take advantage of this investment opportunity, don't you?

Victim: Yes, I have the money and it sounds like a good investment. I'd sure like to get that kind of return on my money, but it just sounds too good to be true. Will you put the guarantee in writing?

Swindler: This company is solid. You saw what happened to the savings and loan industry. And now the banks are in trouble. I wouldn't keep my money in any bank these days. Be safe. Put your money with us. How many units are you prepared to buy today?

Victim: Oh, I'm not sure.

Swindler: Let me help you make the decision, Mrs. Johnson. A \$10,000 investment today will yield \$30,000 in just six months. What do you say?

Victim: Let me think about it for a couple of days.

Swindler: Look, Mrs. Johnson, the deal is for today only. The opportunity will be gone tomorrow. You're not a procrastinator, are you? A courier will be at your house by 3 o'clock today. Just have your check or cash for \$10,000 ready. You won't regret it.

Victim: You sound honest, and the investment sounds good. I'll have my check ready today at 3 o'clock.

Conclusion 1:

Narrator: The victim gave the swindler \$10,000 of hard-earned savings, and never heard from the con artist or saw her money again.

Mrs. Johnson was too embarrassed to tell anyone for days. By the time she told the authorities, the swindler had moved on to take money from a new set of people who trust too much. They let greed or fear distort their common sense.

Second Ending:

Swindler: Look, I can tell that you're a person that likes to put your money to work. You obviously are a savvy investor. You recognize a good investment when you see one. You will not be sorry. I guarantee it.

Victim: As soon as I get your printed information I will discuss it with my investment adviser and my family. And by the way, Mr. Thayer, where did you say you are located? I need your address and the phone number of the headquarters office.

Swindler: You don't need to bother with all that information. Just trust me. Listen, Mrs. Johnson, this opportunity may be gone tomorrow. Units are selling fast. Shall I have a courier stop by your house today and pick up your check?

Victim: Just send the information. I want to contact the nearest Better Business Bureau and the office of my state securities regulator. I like to check these things out, you know.

Swindler: Have a pencil handy? I can give you the number of the International Better Business Bureau. It's 1-800-999-9999. Check us out. I'll call you back in an hour.

Conclusion 2:

Narrator: The 800 number turned out to be a fraud, too. The person who answered the phone was hired by the National Mining Company to say nice things about the gold and silver mine investment.

Mrs. Johnson did not invest, but rather reported the fraudulent telephone call to the state securities regulator. Local newspapers, radio, and TV newscasts picked up the story and warned others of the fraud.

The telemarketing scam moved on to the next victim. Victims are plentiful and swindlers are difficult to catch. *Caveat emptor* — buyer beware.

Name _____ Date _____

Investment Fraud Simulation

Debriefing Session Discussion Questions

1 What were the warning signs that this was a scam?

2 Why did this scam appeal to Mrs. Johnson?

3 How will this experience affect Mrs. Johnson's trust of people who offer to help her in the future?

4 When the swindler is caught, what would be an appropriate punishment for the crime?

Name _____ Date _____

Investment Fraud Simulation: — Answer Key

Possible Responses to Debriefing Session Discussion Questions

1 What were the warning signs that this was a scam?

- High-pressure sales techniques
- Promise of high return on money
- No-risk investment, promise of safety
- Promise of an opportunity of a lifetime
- Lies and false promises
- Limited time offer, opportunity gone tomorrow
- Critical of common investments such as CDs and savings accounts

2 Why did this scam appeal to Mrs. Johnson?

- Swindler was friendly
- Mrs. Johnson wanted to get a good return on her investment
- Swindler assured her that she did not have to know about gold and silver in order to invest
- Swindler promised that this investment would help her take care of her future goals
- Swindler promised that information would be sent to Mrs. Johnson
- Mrs. Johnson believed that the investment was good

3 How will this experience affect Mrs. Johnson's trust of people who offer to help her in the future?

- The experience will probably cause Mrs. Johnson to distrust people who offer to help. It could cause her to pass up reasonable opportunities out of fear of being cheated. In this way, fraud poisons the atmosphere of legitimate business transactions.

4 When the swindler is caught, what would be an appropriate punishment for the crime?

- Have individuals consider such factors as the severity of the offense, the impact on the victim, the damage that fraud does to legitimate marketplace transactions, and the costs of protecting people from fraud. Suggested punishments will probably range from a small fine to time in jail. The criminal record is also a form of punishment.

VICTIM-PROOF YOURSELF

- Stop and think before acting.
- Study the deal — and get advice.
- Stick to what you understand.
- Apply your critical thinking skills.

Name _____ Date _____

Unit 3 Test

TRUE OR FALSE

1. T F People of all income levels and professions can be taken by investment fraud.
2. T F State and federal officials estimate that financial swindles cost American consumers \$40 billion a year.
3. T F It is very easy to recognize the difference between people who sell fraudulent investments and those who are legitimate business people.
4. T F States have agencies to fight investment fraud.

MULTIPLE CHOICE

Circle the letter that answers the question correctly.

5. Which of the following statements is characteristic of securities fraud?
 - A. Salesperson provides accurate and complete information.
 - B. Salesperson is usually a local person who works for a reputable investment firm and is known to the family.
 - C. Salesperson guarantees that the investor will make sky-high profits.
 - D. Salesperson does not pressure for a quick decision.

SHORT ANSWER

6. List four characteristics of investment pitches that could be tip-offs that the deal is a scam.

7. A telemarketer calls saying you have won a trip and asks for your checking account number to hold your prize. What should you do?

Unit 4 Answer Key

TRUE OR FALSE

1. True
2. True
3. False
4. True

MULTIPLE CHOICE

5. C

SHORT ANSWER

6. High-pressure sales tactics, need for immediate decision, promises that sound too good to be true, promise of risk-free investments, no written information or inaccurate information, request for your credit card or checking account number, offer to pick up your money at your house, offer of a free gift or trip.
7. Hang up.

The **BASICS** of **SAVING** and **INVESTING**:

INVESTOR EDUCATION 2020

Appendix



Resources and Materials

Free and Inexpensive Materials

FEDERAL CITIZEN INFORMATION CENTER

<http://www.pueblo.gsa.gov/money.htm>

- 66 Ways to Save Money
- Introduction to Mutual Funds
- Questions You Should Ask About Your Investments
- Get the Facts on Saving and Investing

FEDERAL RESERVE SYSTEM BOARD OF GOVERNORS

<http://www.federalreserve.gov/consumerinfo>

- Building Wealth
- Privacy Choices for Personal Financial Information

FEDERAL TRADE COMMISSION

<http://www.ftc.gov/bcp/consumer.shtm>

- 66 Ways to Save Money
- OnGuard Online
- Investment Risks

FINANCIAL INDUSTRY REGULATORY AUTHORITY (FINRA)

<http://www.finra.org/Investors>

- Smart Investing: Choosing Investments
- Smart Investing: Smart Saving for College
- Protect Yourself: Investor Alerts

NORTH AMERICAN SECURITIES ADMINISTRATORS ASSOCIATION

http://www.nasaa.org/Investor_Education/NASAA_Fraud_Center

- How to Contact Your Securities Regulator
- How to Spot a Con Artist
- How to Avoid Becoming a Victim
- Investor Resources
- Know Your Rights as an Investor
- Top Investor Traps

SECURITIES INVESTMENT ASSOCIATION, FOUNDATION FOR INVESTOR EDUCATION

<http://www.tomorrowmoney.org>

**U.S. SECURITIES AND EXCHANGE COMMISSION
OFFICE OF INVESTOR EDUCATION AND ASSISTANCE**

<http://www.sec.gov/investor>

- Teachers and Students
- Teacher Care Package
- Check Out Brokers and Advisors
- Calculators

ALLIANCE FOR INVESTOR EDUCATION

<http://www.investoreducation.org>

INVESTOR PROTECTION INSTITUTE

<http://www.protectinvestors.org>

INVESTOR PROTECTION TRUST

<http://www.investorprotection.org>

MOTLEY FOOL

<http://www.fool.com>

NATIONAL FRAUD INFORMATION CENTER

<http://www.fraud.org>

Periodicals & News Media Web Sites

BARRON'S

<http://online.barrons.com>

BETTER INVESTING/INVESTMENT CLUBS

<http://www.better-investing.org>

BUSINESS WEEK

<http://www.businessweek.com>

FORBES

<http://www.forbes.com>

INVESTOR'S BUSINESS DAILY

<http://www.investors.com>

KIPLINGER'S PERSONAL FINANCE

<http://www.kiplinger.com>

MARKET WATCH

<http://www.marketwatch.com>

MONEY MAGAZINE

<http://money.cnn.com>

SMART MONEY INTERACTIVE

<http://www.smartmoney.com>

US NEWS AND WORLD REPORT

<http://www.usnews.com>

WALL STREET JOURNAL CLASSROOM EDITION

<http://wsjclassroom.com>

YAHOO FINANCE

<http://finance.yahoo.com>

Non-IPT Teaching Guides and Resources

High School Financial Planning Program®(HSFPP). Teaching guide, student workbook, PowerPoint visuals, online games, assessments. Applies financial planning process to goal setting, budgeting, credit, saving, investing, financial institutions and careers. National Endowment for Financial Education, 5299 DTC Boulevard, Suite 1300, Greenwood Village, CO 80111. 303-741-6333. Free to schools and organizations. ©2006 <http://www.nefe.org/home>. Case, Karl E., Ray C. Fair and Sharon Oster. *Principles of Economics*. 9th Ed. Upper Saddle River, N.J.; Prentice Hall. ©2008.

Garman, Thomas, and Raymond Forgue. *Personal Finance*. 9th ed. Boston, MA; Houghton Mifflin Co. ©2008.

Kapoor, Jack, and Jack R., Dlabay, Les and Hughes, Robert. *Personal Finance*. 9th Ed. McGraw-Hill/Irwin Professional Publishing. ©2009.

Miller, Roger LeRoy. *Glencoe Economics Today & Tomorrow*. Westerville; McGraw-Hill. ©2008.

Miller, Roger L. and Alan D. Stafford. *Economic Education for Consumers*. Cincinnati; South-Western Educational Publishing. ©2010.

Ryan, Joan S. *Managing Your Personal Finances*. 6th ed. Cincinnati; South-Western Educational Publishing. ©2010.

American Library Association Recommended Resources on Investing

Bodnar, Janet. *Kiplinger's MoneySmart Women*. Chicago; Kaplan Publishing, ©2006.

Bogle, John C. *Common Sense on Mutual Funds: New Imperatives for the Intelligent Investor*. 10th Ed. New York; John Wiley, ©2009.

Edelman, Ric. *The Truth About Money*. 3rd Edition. New York; Collins, ©2004.

Ellis, Charles D. *Winning the Loser's Game: Timeless Strategies for Successful Investing*. 4th Edition. New York, McGraw-Hill, ©2002.

Graham, Benjamin and Jason Zweig. *The Intelligent Investor. Revised Edition*. New York; Harper Business Essentials, ©2003.

Levitt, Arthur and Paul Dwyer. *Take on the Street: How to Fight for Your Financial Future*. New York; Vintage Books, ©2003.

Little, Jeffrey B. and Lucien Rhodes. *Understanding Wall Street*. 4th Edition. New York; McGraw-Hill, ©2004.

Malkiel, Burton. *A Random Walk Down Wall Street: The Time-Tested Strategy for Successful Investing* (Revised and Updated). New York; W.W. Norton & Company. ©2007.

Miller, Ted. *Kiplinger's Guide to Investing Success: Making Money Today in Stocks, Bonds, Mutual Funds and Real Estate*. Chicago; Kaplan Publishing. ©2006.

Siegel, Jeremy J. *The Future for Investors: Why Tried and True Triumph Over the Bold and New*. New York; Crown Business. ©2005.

Sindell, Kathleen. *Investing Online for Dummies*. 6th Edition. New York; Hungry Minds. ©2007.

Shiller, Robert J. *Irrational Exuberance*. 2nd Edition. Princeton, N.J.; Princeton University Press. ©2005.

Tobias, Andrew. *The Only Investment Guide You'll Ever Need*. 4th Edition. San Diego, CA; Harcourt; ©2005.

Organizations and Associations

AMERICAN ASSOCIATION OF INDIVIDUAL INVESTORS

800-428-2244 | <http://www.aaii.com>

CERTIFIED FINANCIAL PLANNERS BOARD OF STANDARDS

800-487-1497 | <http://www.cfp.net>

FEDERAL TRADE COMMISSION

Toll-free 1-877-FTC-HELP (382-4357) | <http://www.ftc.gov>

FINANCIAL INDUSTRY REGULATORY AUTHORITY (FINRA)

301-590-6500 | <http://www.finra.org>

INVESTOR PROTECTION INSTITUTE

<http://www.protectinvestors.org>

INVESTOR PROTECTION TRUST

202-775-2111 | <http://www.investorprotection.org>

JUMP\$TART COALITION FOR PERSONAL FINANCIAL LITERACY

888-45-EDUCATE | <http://www.jumpstartcoalition.org>

NATIONAL FUTURES ASSOCIATION (NFA)

800-621-3570 | <http://www.nfa.futures.org>

NATIONAL ASSOCIATION OF INVESTORS CORPORATION

877-275-6242 | <http://www.better-investing.org>

NATIONAL ASSOCIATION OF PERSONAL FINANCIAL ADVISORS (NAPFA)

800-366-2732 | <http://www.napfa.org>

NORTH AMERICAN SECURITIES ADMINISTRATORS ASSOCIATION

202-737-0900 | <http://www.nasaa.org>

SECURITIES INDUSTRY AND FINANCIAL MARKETS ASSOCIATION

212-313-1200 | <http://www.sifma.org>

U.S. SECURITIES AND EXCHANGE COMMISSION

toll free 1-800-SEC-0330 (732-0330) | <http://www.sec.gov>

Glossary of Terms

- 12(B)-1 FEES** — Ongoing fees that cover the costs of marketing, maintaining, and managing a mutual fund.
- 401(K) PLAN** — A tax-deferred savings plan that allows an employer to match employee deposits into the account up to 100 percent.
- 403(B) PLAN** — A tax-deferred savings plan for government and non-profit employees that allows an employer to match employee deposits in the account up to 100 percent.
- AFFINITY FRAUD** — A type of investment scheme that preys upon members of identifiable groups.
- AGGRESSIVE GROWTH SECURITIES** — Stocks, bonds, and mutual funds having capital growth as their main objective.
- ANNUAL PERCENTAGE RATE (APR)** — Yearly interest rate charged on a credit account.
- ANNUITY** — A specified income payable at various intervals for a fixed period of time.
- ASSET** — An item owned by an individual or organization that has monetary value.
- ASSET ALLOCATION** — Strategy for selecting various investment vehicles in order to spread risk among stocks, bonds and cash equivalents.
- BENEFITS** — Positive outcomes that result from a choice or decision.
- BLUE CHIP COMPANIES** — Common name for companies with a long history of trustworthy accounting, favorable returns and growth.
- BLUE SKY LAWS** — State laws that govern the offer and sale of securities to residents of that state.
- BOILER ROOM** — A slang term for the calling center used by telemarketers because it is where swindlers “turn up the heat” on their potential victims
- BOND** — A certificate representing a loan of money for a specific period in exchange for a promise to repay the amount borrowed with interest by the government or a corporation.
- BORROWER** — An individual who uses another person’s money for current use with a promise to repay that amount from future income or earnings.
- CAPITAL GAINS** — The increased value at the time of redemption of a security since its original purchase.
- CAPITALIZATION** — The overall value of shares of a company’s stock.
- CAPITAL LOSS** — The decreased value at the time of redemption of a security from its original purchase.

CASH ADVANCE — Cash received on a credit line at a higher interest rate.

CAVEAT EMPTOR — Latin phrase meaning “Let the buyer beware.”

CENTRAL REGISTRATION DEPOSITORY (CRD) — The database of NASD-registered stockbrokers containing their work and disciplinary history.

CERTIFICATE OF DEPOSIT (CD) — A saving tool purchased for a specific dollar amount at a fixed interest rate for a specific time period.

CHOICES — Possible alternatives or options; the best option under a given circumstance.

COLLECTIBLES — Physical objects such as fine art, stamps and antiques that are purchased as an investment.

COMMAND ECONOMY — An economic system in which all decisions concerning production of goods and services are made by the government and all resources are owned by the government.

COMMISSION — The fee paid to a broker or agent fee for carrying out a transaction.

COMMODITY FUTURES TRADING COMMISSION — The regulatory organization for futures contracts and commodities.

COMMON STOCK — The securities representing equity ownership in a public company.

COMPOUND INTEREST — The interest earned on principal plus previously accrued interest.

CONSUMER — An individual who buys or uses products or resources.

COSTS (DECISION MAKING) — Negative outcomes that result from a decision.

COUPON RATE — The declared interest rate of a bond.

CREDIT — Borrowing money now with a promise to pay it back at a later time, generally with interest.

DECISION — A choice made from available options.

DECISION MAKING — The process used to determine the best possible choice at a given time based on available information and resources.

DEMAND — The quantity of goods consumers purchase in a given time period.

DISCOUNT BROKER — A financial professional who executes securities transactions with little or no individual advice and therefore charges a low commission.

DIVERSIFICATION — A strategy for reducing risk by spreading investment money among a number of investment types and industries.

DIVIDEND — The earnings on stock paid to shareholders by corporations.

DIVIDEND REINVESTMENT PLAN — The reinvestment of your stock dividends into the purchase of additional shares of that company’s stock.

DOLLAR-COST AVERAGING — The Investment of the same fixed-dollar amount in the same investment vehicle at regular intervals over a long period of time regardless of price.

DOW JONES INDUSTRIAL AVERAGE (DJIA) — A market indicator that averages blue chip U.S. stocks in different categories.

ECONOMIC GROWTH — A time of general rise in a region's economy. During economic growth, more goods and services are produced, more jobs are created, and income levels rise.

ECONOMIC INDICATORS — Regularly reported statistics that evaluate business conditions and economic trends. Some of these statistics include employment, stock prices, money supply, and consumer confidence.

ECONOMICS — The study of management, distribution, and consumption of goods and services.

ECONOMY — A system of regulations and rules by which a country's production and consumption activities are managed.

EMPLOYER-SPONSORED RETIREMENT PLAN — A saving/investment plan approved by the Internal Revenue Service (IRS) that allows an individual to place funds in a tax-sheltered account for the purpose of funding all, or part, of one's retirement.

ENTREPRENEUR — An individual who establishes, maintains, and assumes the risk of a business operation.

ETHICS — The beliefs that govern an individual or community's actions.

EXCHANGE — The central location where buyers and sellers unite to execute transactions.

EXPENSE — An outflow of money.

FDIC (FEDERAL DEPOSIT INSURANCE CORPORATION) — An agency of the federal government created to guarantee bank deposits.

FEDERAL RESERVE SYSTEM (FED) — The central banking system of the U.S. that sets forth economic policies affecting the nation as a whole. The Fed maintains accounts for government agencies, regulates the buying and selling of government securities, lends money to banks, monitors and audits banks, controls the circulation of money, and many other tasks.

FINANCIAL ADVISER — A professional who provides financial information and advice; may include an employee benefits staff member, credit counselor, bank employee, broker, financial planner, accountant, insurance agent, or attorney.

FINANCIAL INDUSTRY REGULATORY AUTHORITY (FINRA) — A self-regulatory organization that operates and regulates the Nasdaq Stock Market and oversees the activities of the U.S. broker-dealer profession.

FINANCIAL INSTITUTION — An entity that provides financial services. The term usually refers to banks, credit unions, brokerage houses, and savings and loan institutions.

FINANCIAL MARKET — Markets consisting of exchanges that serve as a central location where buyers and sellers get together in person, by telephone, or by computer terminal to trade stocks, bonds, commodities, options, futures contracts, and other securities.

FINANCIAL PLAN — A systematic course of action for identifying financial goals, figuring net worth, estimating income and expenses, and using credit wisely.

FRAUD — The use of intentional misrepresentation for illegal gain.

FREE ENTERPRISE SYSTEM — An economic system that allows anyone to start a business provided they have the resources to do so.

FUTURES — A contract to buy or sell a specific amount of a commodity at a specific future date and price.

GOAL — An end result toward which effort is directed. Financial goals can be short-range (within a year); medium-range (one to five years); or long-range (more than five years).

GOVERNMENT SECURITIES — Securities offered and insured by the federal government, including treasury bills, notes and bonds.

GROSS DOMESTIC PRODUCT (GDP) — A macroeconomic indicator that calculates the value of goods and services produced throughout a nation.

HIGH QUALITY CORPORATE SECURITIES — Stocks, bonds, and mutual funds that are issued by companies with a long history of favorable returns and growth.

INCENTIVE — Rewards or penalties encouraging choices that help consumers reach their financial and non-financial goals.

INCOME — Payment received as a result of investments, interest, or work.

INDIVIDUAL RETIREMENT ACCOUNT (IRA) — Savings plans of which there are several different types of Individual Retirement Accounts allowed by the IRS to promote retirement savings that provide tax advantages and increase the effect of compound interest.

INFLATION — A general rise in prices of goods and services that reduces the purchasing power of money.

INSURANCE — A risk management tool that protects an individual from financial loss, generally in the form of a policy with premium and/or deductible payments.

INTEREST — The cost of borrowing and lending money as follows: 1. Payment received by an investor from a financial institution as a result of an investment or savings; 2. A percentage of the loan amount borrowed by a consumer paid back to the lender.

INTEREST RATE — A percentage of the principal amount that serves as the cost of using that money.

INVESTING — Money spent to increase current and/or future income; it is not insured against loss that rises and falls with the investment market.

INVESTMENT ADVISER — A professional who provides financial information and advice specific to one's investments and financial goals.

INVESTMENT OBJECTIVES (MUTUAL FUND) — Objectives categorized by the type of investments that comprise the fund (i.e. Stock Mutual Fund, Aggressive Growth Mutual Fund, Balanced Mutual Fund or Growth and Income, Bond Mutual Fund, Equity Fund or Income Fund).

INVESTMENT PLAN — A roadmap for individuals who invest in the markets. Investment plans should maximize earnings to reach one's financial goals while protecting their capital.

LAW OF DEMAND — An economic governing principle that suggests that an inverse relationship exists between demand and cost of a product or service.

LAW OF SUPPLY — An economic governing principle that suggests that as costs increase, the quantity supplied to buyers also rises.

LENDER — An individual, organization, or company that extends credit to a borrower with the expectation that the amount will be paid back over time.

LIABILITY/LIABILITIES — The dollar value of debts owed to others.

LIMITED RESOURCES — A term indicating that one's resources may not be enough to satisfy all needs and wants.

LIQUIDITY — The ease with which an investment can be converted into cash without a loss to principal.

LOAD FUND — A mutual fund that charges a sales commission (load).

LOAN PERIOD — The time frame in which a loan must be repaid, usually stated in years.

LONG-TERM GOAL — A goal that will take more than one year to achieve.

MACROECONOMICS — The study of the economy-at-large including overall income, growth, inflation, and employment rates.

MANAGEMENT FEES — Fees charged to mutual fund investors covering the maintenance and marketing costs of that fund.

MARKETS — A meeting place for buyers and sellers to exchange goods and services.

MARKET CAPITALIZATION — The overall value of all shares of a publicly-traded company's stock.

MARKET ECONOMY — An economic system where people own and operate businesses.

MARKET RETURNS — The increase or decrease of one's investment portfolio.

MARKET VOLATILITY — Fluctuations in the price and value of securities that result in gains and losses of capital.

MATCHING (CONTRIBUTION) — The dollar for dollar amount an employer will contribute to one's retirement plan when the employee contributes.

MICROECONOMICS — The study of small components of a regional, national, or global economy. Components may include individuals, households, or businesses.

MINIMUM MONTHLY PAYMENT — The smallest amount of money accepted by the creditor each billing cycle to keep an account in good standing.

MISCELLANEOUS FEES (CREDIT ACCOUNTS) — The additional fees charged a borrower for use of credit including late fees, annual fees, over-the-limit fees, bounced check fees, etc.

MONETARY POLICY — The national policy set forth by the Federal Reserve System that affects all aspects of money, including the availability of money and the cost of credit.

MONEY MARKET MUTUAL FUND — A low risk mutual fund that invests in stable, short-term securities.

MUTUAL FUND — An investment tool that pools the money of shareholders in a diversified portfolio of securities.

NATIONAL ASSOCIATION OF SECURITIES DEALERS AUTOMATED QUOTATION (NASDAQ) — A computerized system that allows brokers to trade stocks electronically.

NATIONAL CREDIT UNION ASSOCIATION (NCUA) — A federal government agency created to guarantee credit union deposits.

NEED — Those things that are essential to human existence.

NET ASSET VALUE (NAV) — The current market value of a mutual fund's portfolio divided by the number of shares equals NAV/share. (The NAV is calculated at least one time every business day.)

NET WORTH — A person's financial condition at a given time. Assets (things owned) minus liabilities (things owed) equals net worth.

NEW YORK STOCK EXCHANGE (NYSE) — The oldest stock market in the United States overseeing daily trading in more than 2,000 stocks involving millions of shares.

NO-LOAD FUND (NL) — A mutual fund purchased directly from the fund with no sales charge.

NORTH AMERICAN SECURITIES ADMINISTRATORS ASSOCIATION (NASAA) — A trade group for state securities agencies that regulate financial offerings in each state and protect consumers from investment fraud.

OPPORTUNITY COST — The next most valued alternatives that will be given up as a result of choosing another option.

PAY YOURSELF FIRST — A practice that establishes an amount to be saved each payday and put into savings or invested.

PONZI SCHEME — An illegal investment scam named for its inventor, Charles Ponzi, that uses new investor money to pay previous investors.

PORTFOLIO — A collection of investments held by an individual or organization.

PRECIOUS METALS — Gold bullion, silver and other minerals of value that are treated as investments.

PREFERRED STOCK — A more expensive share of a company that provides dividends to its shareholders and provides rights to the company's assets before holders of common stock.

PRICE — The monetary value at which a good or service is bought or sold.

PRINCIPAL — The amount of your initial investment or funds put into savings.

PRIVATE COMPANY — A company owned exclusively by an individual, family, or small group of people.

PROSPECTUS — A legal document issued by public companies and mutual funds detailing information relevant to investment decisions.

PUBLIC COMPANY — A corporation that sells shares of ownership to the general public.

PYRAMID SCHEME — An illegal investment scam whereby investors are asked to recruit others with promises of high returns and a share of the investments made by the people they recruit.

RAINY DAY FUND — Liquid assets that are saved and readily available in the event of emergency.

REAL ESTATE — Physical property owned for the purpose of investment, including rental property, personal property, or business property.

RETURN — The total increase or decrease of an investment; includes income plus capital gains or minus capital losses.

RISK (INVESTMENT) — The possibility that an investment will lose value.

RISK/RETURN RELATIONSHIP — The assumption that greater uncertainty equates higher gain and that less uncertainty equates lower gain on an investment.

RISK TOLERANCE — The degree of risk that an individual can afford to take or is comfortable taking when investing.

ROLE OF GOVERNMENT — The parameters established for the government to take action and intervene for the common good of its citizens.

RULE OF 72 — A mathematical process by which individuals can determine the number of years it will take to double their money if the interest rate is known.

SAVINGS — Income withheld from current spending for future use.

SAVINGS ACCOUNT — An account used to set aside income for easy withdrawal and to accrue interest.

SCARCITY, SCARCE — A condition in which resources are insufficient to fulfill consumer wants.

SECURITIES AND EXCHANGE COMMISSION (SEC) — An independent federal agency that governs the securities industry and enforces securities laws.

SHORT-TERM GOAL — A goal that will be achieved within one year.

SIMPLE INTEREST — A percentage of the principal amount only.

SECURITIES INVESTOR PROTECTION CORPORATION (SIPC) — A Congressionally-chartered organization that acts as trustee or works with an independent court-appointed trustee to recover assets of customers if a brokerage firm goes out of business.

STATE SECURITIES REGULATOR — A government officer who handles the licensing, registration, and regulation of stockbrokers and financial advisors that do business in a specified state.

STOCK — An investment that represents shares of ownership in a company.

STOCKBROKER — A financial representative who handles the buying and selling of securities.

STOCK MARKET — The market in which sellers of stock trade shares with buyers of stock.

STOCK SYMBOL — A group of letters standing for a particular stock, mutual fund, or other security. Also called a ticker symbol or stock abbreviation.

SUPPLY — The amount of products or services that a producer is able to make available to consumers at a given time.

SWINDLER — An individual who engages in fraudulent practices for illegal gain.

TAX-DEFERRED — Deposits made to accounts that are taxed upon withdrawal.

TIME VALUE OF MONEY — The concept that an initial investment made early in life will accrue more interest than a series of deposits made later in life (due to compounding, time, rate of interest and amount invested).

TRADE-OFF — Something that is lost by choosing one option over another.

TRANSACTION COSTS (INVESTMENT) — The fee charged by a broker to buy or sell investment products.

VALUES — Concepts important to an individual that provide a foundation upon which decisions are made.

WANTS — Things that are not necessary for sustaining life but that make one's life more comfortable.

The Basics for Investing in Stocks



By the Editors of *Kiplinger's
Personal Finance* magazine

In partnership with



for





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About the Investor Protection Trust

The Investor Protection Trust (IPT) is a nonprofit organization devoted to investor education. Over half of all Americans are now invested in the securities markets, making investor education and protection vitally important. Since 1993 the Investor Protection Trust has worked with the States and at the national level to provide the independent, objective investor education needed by all Americans to make informed investment decisions. The Investor Protection Trust strives to keep all Americans on the right money track. For additional information on the IPT, visit www.investorprotection.org.

NO OTHER INVESTMENT AVAILABLE holds as much potential as stocks over the long run. Not real estate. Not bonds. Not savings accounts. Stocks aren't the only things that belong in your investment portfolio, but they may be the most important, whether they're purchased individually or through stock mutual funds.

Since 1926, the stocks of large companies have produced an average annual return of more than 10%. (Remember, that includes such lows as the Great Depression, Black Monday in 1987 and the stock slide that followed September 11.)

You don't have to beat the market to be successful over time. There is risk involved, as there is in all investments, but the important thing is to balance the amount of risk you're willing to take with the return you're aiming for.

Different Kinds of Stocks

First it's important to understand what a stock is. When investors talk about stocks, they usually mean "common" stocks. A share of common stock represents a share of ownership in the company that issues it. The price of the stock goes up and down, depending on how the company performs and how investors think the company will perform in the future. The stock may or may not pay dividends, which usually come from profits. If profits fall, dividend payments may be cut or eliminated.

Many companies also issue "preferred" stock. Like common stock, it is a share of ownership. The difference is preferred stockholders get first dibs on dividends in good times and on assets if the company goes broke and has to liquidate. Theoretically, the price of preferred stock can rise or fall along with the common. In reality it doesn't move nearly as much because preferred investors are interested mainly in the dividends, which are fixed when the stock is issued. For this reason, preferred stock is more comparable to a bond than to a share of common stock.

It's hard to think of a compelling reason to buy preferred stocks. They generally pay a slightly lower yield than the same company's bonds and are no safer. Their potential equity kicker (the chance that the preferred will rise in price along with the common stock) has been largely illusory. Preferred stock is really better suited for corporate portfolios because a corporation doesn't have to pay federal income tax on most of the dividends it receives from another corporation.

Stocks are bought and sold on one or more of several "stock markets," the best known of which are the New York Stock Exchange (NYSE), the American Stock Exchange (AMEX), and Nasdaq. There are also several regional exchanges, ranging from Boston to Honolulu. Stocks sold on an exchange are said to be "listed" there; stocks sold through Nasdaq may be called "over-the-counter" (OTC) stocks.

There are lots of reasons to own stocks and there are several different categories of stocks to fit your goals.

GROWTH STOCKS have good prospects for growing faster than the economy or the stock market in general and in general are average to above average risk. Investors buy them because of their good record of earnings growth and the expectation that they will continue generating capital gains over the long term.

BLUE-CHIP STOCKS won't be found on an official "Blue Chip Stock" list. Blue-chip stocks are generally industry-leading companies with top-shelf financial

Since 1926, the
stocks of large
companies have
produced an
average annual
return of more
than 10%.

credentials. They tend to pay decent, steadily rising dividends, generate some growth, offer safety and reliability, and are low-to-moderate risk. These stocks can form your retirement portfolio's core holdings—a grouping of stocks you plan to hold “forever,” while adding other investments to your portfolio.

INCOME STOCKS pay out a much larger portion of their profits (often 50% to 80%) in the form of quarterly dividends than do other stocks. These tend to be more mature, slower-growth companies, and the dividends paid to investors make these shares generally less risky to own than shares of growth or small-company stocks. Though share prices of income stocks aren't expected to grow rapidly, the dividend acts as a kind of cushion beneath the share price. Even if the market in general falls, income stocks are usually less affected because investors will still receive the dividend.

CYCLICAL STOCKS are called that because their fortunes tend to rise and fall with those of the economy at large, prospering when the business cycle is on the upswing, suffering in recessions. Automobile manufacturers are a prime example, which illustrates the important fact that these categories often overlap. Other industries whose profits are sensitive to the business cycle include airlines, steel, chemicals and businesses dependent on home building.

DEFENSIVE STOCKS are theoretically insulated from the business cycle (and therefore lower in risk) because people go right on buying their products and services in bad times as well as good. Utility companies fit here (another overlap), as do companies that sell food, beverages and drugs.

VALUE STOCKS earn the name when they are considered underpriced according to several measures of value described later in this booklet. A stock with an unusually low price in relation to the company's earnings may be dubbed a “value stock” if it exhibits other signs of good health. Risk here can vary greatly.

SPECULATIVE STOCKS may be unproven young dot-coms or erratic or down-at-the-heels old companies exhibiting some sort of spark, such as the promise of an imminent technological breakthrough or a brilliant new chief executive. Buyers of speculative stocks have hopes of making big profits. Most speculative stocks don't do well in the long run, so it takes big gains in a few to offset your losses in the many. Risk here, no surprise, is high.

A Smart Way to Buy Stocks

The secret to choosing good common stocks is that there really is no secret to it. The winning techniques are tried and true, but it's how you assemble and apply them that makes the difference.

Information is the key. Having the right information about a company and knowing how to interpret it are more important than any of the other factors you might hear credited for the success of the latest market genius. Information is even more important than timing. When you find a company that looks promising, you don't have to buy the stock today or even this week. Good stocks tend to stay good, so you can take the time to investigate before you invest.

You get the information you need to size up a company's prospects in many places, and a lot of it is free. The listing on pages 6 and 7 offers a guide to the most readily available sources of the data described below.

WHAT YOU NEED TO KNOW.

Perhaps the smartest way to succeed in the stock market is to invest for both growth and value. That means concentrating the bulk of your portfolio in stocks that pass the tests described on the following pages and holding them for the long term—three, five, even ten years or more. For those in search of income, not growth, it means applying the same tests so that you don't make any false and risky assumptions about the stocks you buy. This method is not based on buying a stock one day and selling it the next. It does not depend on your ability to predict the direction of the economy or even the direction of the stock market. It does depend on your willingness to apply the following measures before you place your order. If you do that, you'll find most of your choices falling into the growth, value, income and blue-chip categories.

You'll quickly discover that the number of stocks that meet all these tests at any given time will be low. So what you're really looking for are stocks that exhibit most of the following signs of value and come close on the others. These should form the core of your portfolio.

EARNINGS PER SHARE.

VALUE SIGN #1: Look for companies with a pattern of earnings growth and a habit of reinvesting a significant portion of earnings in the growth of the business. Compare earnings per share with the dividend payout. The portion that isn't paid out to shareholders gets reinvested in the business.

This is the company's bottom line—the profits earned after taxes and payment of dividends to holders of preferred stock. Earnings are also the company's chief resource for paying dividends to shareholders and for reinvesting in business growth. Check to be sure that earnings come from routine operations—say, widget sales—and not from one-time occurrences such as the sale of a subsidiary or a big award from a patent-infringement suit. The exhaustive stock listings in *Barron's* give the latest quarterly earnings per share for each stock, plus the date when the next earnings will be declared. Historical earnings figures are available in annual reports, Standard & Poor's (S&P) and Mergent, Inc. publications, and Value Line Investment Survey, plus the databases offered by many Internet services.

PRICE-EARNINGS RATIO.

VALUE SIGN #2: Look for companies with P/E ratios lower than other companies in the same industry.

Many investment professionals consider the price-earnings ratio (P/E) to be the single most important thing you can know about a stock. It is the price of a share divided by the company's earnings per share. If a stock sells for \$40 a share and the company earned \$4 a share in the previous 12 months, the stock has a P/E ratio of 10. Simply put, the P/E ratio, also called multiple, tells you how much money investors are willing to pay for each dollar of a company's earnings. It is such a significant key to value that it's listed every day in the newspapers along with the stock's price.

Any company's P/E needs to be compared with P/Es of similar companies, and with broader measures as well. Market indexes, such as the Dow Jones industrials and the S&P 500, have P/Es, as do different industry sectors, such as chemicals or autos. Knowing what these are can help you decide on the relative merits of a stock you're considering.

Look for stocks
that exhibit most
of the signs of
value described
here and come
close on the
others.

For long-term
investments,
look for a
dividend that will
generate income
to reinvest in
the company.

It's hard to say what the "right" level is for a company's P/E ratio, or for the market as a whole. You should expect to pay more to own shares of a company you think will increase profits faster than the average company of its type. But high-P/E stocks carry the risk that if the earnings of a company disappoint investors, its share price could drop quickly. Just one poor quarter—or a rumor of one—can mean a steep loss for a stock with a sky-high P/E. By contrast, investors don't expect a low-P/E company to grow so rapidly and are less likely to desert the company on mildly unfavorable news. If profits rise faster than expected, investors may bid up that low P/E. The combination of higher earnings and a growing P/E add up to profit for investors.

One way to employ P/E ratios in the search for good stocks is to find companies with low P/Es relative to others in their industry. Assuming prospects are good for the industry as a whole and companies show signs of strength, relative P/Es can be a good clue to their value. For instance, the auto and truck manufacturers industry has traded at an average annual P/E of 10 or so in recent years. By comparison, the telecommunications services industry has experienced an average P/E closer to 17. Thus, when the price of an auto manufacturer's stock gives the company a P/E of 15, the company is relatively expensive for its industry. But if a telecommunications company's stock is selling at a P/E of 15, it's relatively cheap for its industry.

A low P/E is not automatically a sign of a good value. A stock's price could be low relative to earnings because investors have very good reason to doubt the company's ability to maintain or increase its earnings. Never pick a stock on the basis of its P/E alone.

You don't make any money from the stellar performance of a company before you buy its stock. You want it to do well after you buy it. So look not only at the "trailing" P/E, which is based on the previous 12 months' earnings, but also at P/Es based on analysts' future-earnings estimates. While not infallible, they are another piece of information on which to base your decision to buy or not to buy. Brokers will happily provide the forecasts of their firms' analysts, and you can find other forecasts in many of the sources listed on pages 6 and 7.

There are other factors to weigh before deciding which stocks to buy. But P/E ratios are the natural starting point because they provide a quick way to separate stocks that seem overpriced from those that don't.

DIVIDEND YIELD.

VALUE SIGN #3: For long-term investments, look for a dividend to generate income to reinvest in the company. The target: a pattern of rising dividends supported by rising earnings.

Dividend yield is the company's dividend expressed as a percentage of the share price. If a share of stock is selling for \$50 and the company pays \$2 a year in dividends, its yield is 4%. In addition to generating income for shareholders, dividends are a good indicator of the strength of a company compared with its competitors. A long history of rising dividends is evidence of a strong company that manages to maintain payouts in good times and bad. Even better is a company with a history of rising dividends and rising earnings per share to match. A stock's current dividend payout and yield are included in the daily stock listings in the newspaper. For historical information, the S&P Stock Guide and Value Line are excellent sources, as are the stock data bases of the online services (see page 7).

Sometimes lowering the dividend can boost the price of a stock. It's important to know why. For example, investors might see a cut in the dividend, coupled with a plan to close down some unprofitable operations and write off debts, as a smart step toward a stronger company in the future.

Although dividends occasionally are paid in the form of additional shares of stock, they are usually paid in cash; you get the checks in the mail and spend the money as you please. Many companies encourage you to reinvest your dividends automatically in additional shares of the company's stock, and have set up programs that make it easy to do so. Such arrangements, called direct investing plans, dividend investment plans, reinvestment plans, or DRIPs, are described beginning on page 9.

BOOK VALUE.

VALUE SIGN #4: For stocks with good long-term potential, look for book value per share that is not out of line with that for similar companies that are in the same business.

Also called shareholders' equity, book value is the difference between the company's assets and its liabilities (which includes the value of any preferred stock that the company has issued). Book value per share is the that number most investors are interested in.

Normally, the price of a company's stock is higher than its book value, and stocks may be recommended as cheap because they are selling below book value. A company's stock may be selling below book value because the company shows little promise, and you could wait a long time for your profits to materialize, if they ever do. You need to look for other signs of value to confirm that you've found a bargain-priced stock.

Still the idea of buying shares in a company for less than what they're really worth does have a certain appeal. At any given time, there will be stocks selling below book value for one reason or another, and they aren't all weak companies. Some may be good small companies that have gone unnoticed or good big companies in an unloved industry. How can you tell? If the company has a low P/E ratio, a healthy dividend with plenty of earnings left to reinvest in the business and no heavy debts, it may be a bargain whose down-and-out status is a temporary condition that time and patience will correct.

On the other end of the scale, you want to stay away from companies whose price is too far above book value per share. It's difficult to say what's too high because the standards vary so much with the industry. In some industries, such as technology—where the greatest assets reside in the brains of the companies' employees, not in buildings or machinery—book value per share isn't considered particularly significant. In start-up companies, book value is utterly meaningless. Not only do they have few or no assets, they may have very high liabilities as a result of borrowing to get started. Still, in general, when the figure is available, you want it to be on the low side.

RETURN ON EQUITY.

VALUE SIGN #5: Look for a return on equity that is consistently high, compared with the return for other companies in the same industry, or that shows a strong pattern of growth. A steady return on equity of more than 15% may be a sign of a company that knows how to manage itself well.

Look for book
value per share
that's not out of
line with that
for similar
companies in the
same business.

WHERE TO GET THE FACTS YOU NEED

There are several key facts about a company that can help you to size up prospects for its stock. Here's where to find those facts. In most cases you won't need more than one or two of the sources listed.

SOURCE	WHAT'S IN IT AND WHERE TO GET IT
COMPANY'S ANNUAL REPORT	Basic information about the company, including audited financial data for the most recent year and summaries of prior years. Available from brokers and the investor relations office of the company.
FORM 10-K	Extensive financial data, required to be filed annually with the Securities and Exchange Commission. Includes two years' worth of detailed, audited financial balance sheets, plus a five-year history of the stock price, earnings, dividends and other data. You can view the forms online (www.sec.gov) or order copies by contacting the Public Reference Branch at: U.S. Securities and Exchange Commission, 450 5th St., N.W., Room 1300, Washington, DC 20549-0102; phone 202-551-8090; email publicinfo@sec.gov .
ANALYSTS' REPORTS	Commentaries by brokerage firms' research departments, containing varying amounts of hard data to accompany the analysts' recommendations to buy, sell or hold stocks followed by the firm. Available from brokers.
VALUE LINE INVESTMENT SURVEY	A vast collection of data, including prices, earnings and dividends, stretching back many years, along with analysis and several unique features, such as a "timeliness" rating for each stock. Follows approximately 1,700 stocks. Available from libraries, or from Value Line (\$598 a year, 13-week trial subscriptions are \$75 for the print version; 800-634-3583; www.valueline.com .)

The return on equity number is the company's net profit after taxes, divided by its book value, and it can usually be found in the annual report. It shows how much the company is earning on the stockholders' stake in the enterprise. If return on equity is growing year after year, the stock's price will tend to show long-term strength. If the number is erratic or declining even though profits are steady, you may have uncovered problems with debt or profit margins and you should probably stay away.

DEBT-EQUITY RATIO.

VALUE SIGN #6: Consider companies that have debts amounting to no more than about 35% of shareholders' equity.

The debt-equity ratio shows how much leverage, or debt, a company is carrying, compared with shareholders' equity. For instance, if a company has \$1 billion in shareholders' equity and \$100 million in debt, its debt-equity ratio is 0.10, or 10%, which is quite low. In general, the lower this figure the better, although the definition of an acceptable debt load varies from industry to industry. You'll find data on debt in company annual reports, Value Line, Mergent Inc. and S&P publications, and in stock reports provided by the on-line services.

PRICE VOLATILITY.

VALUE SIGN #7: Whenever you assume the risk that goes with an oversize beta, it

SOURCE	WHAT'S IN IT AND WHERE TO GET IT
STANDARD & POOR'S	S&P Stock Reports offer a wealth of current and historical data covering the three major exchanges (NYSE, AMEX and Nasdaq) in three volumes that are updated every six weeks. The monthly S&P Stock Guide is a compendium of similar data on more than 7,500 stocks, but with no analysts' commentary. The guide provides most of the hard data you need to check out a company. Available from libraries, brokers or by subscription from S&P (55 Water Street, New York, NY 10041; 800-221-5277; www.standardandpoors.com).
MERGENT PUBLICATIONS (formerly Moody's Investors Service)	Mergent publishes eight Mergent's Manuals containing current and historical data on thousands of companies. The Handbook of Common Stocks covers approximately 900 stocks, and the Dividend Record keeps track of current dividend payments of 30,000 U.S., Canadian and significant global securities. The Dividend Achievers guide is widely used by individual investors. Available from Mergent Inc. (Customer Care Center-Consumer Accounts, 10475 Crosspoint Blvd., Indianapolis, IN 46256; phone: 877-762-2974; fax: 800-597-3299; www.mergent.com).
FINANCIAL NEWSPAPERS	The stock listings of the Wall Street Journal, Barron's and Investor's Business Daily contain current information on prices, dividends, yields and price-earnings ratios, as do the stock listings of most daily newspapers. What sets these three apart is the accompanying depth of coverage of the investment markets. Available from libraries, at newsstands, online or by subscription.
COMPUTER ONLINE DATA BASES	America Online, CompuServe, MSN, Yahoo finance (finance.yahoo.com) and other dot-com portals offer plenty of stock and investment information, as do countless Internet sites, including kiplinger.com .

should be in expectation of receiving an oversize return.

Probably the most widely used measure of price volatility is called the beta. It is calculated from past price patterns and tells you how much a stock price can be expected to move in relation to a change in the stock market as a whole (usually represented by the S&P 500, which is assigned a beta of 1.00). A stock with a beta of 1.50 historically rises or falls half again as much as the S&P index. A stock with a beta of 0.50 is half as volatile as the index; it would be expected to go up only 5% if the index rose 10%, or go down 5% if the index fell 10%. A few stocks have negative betas, which means that they tend to move in the opposite direction from the market.

Betas are published by several stock-tracking services such as those mentioned on pages 6 and 7 and are usually available from a broker. The key to remember is that the higher the beta, the bigger the risk.

More Clues to Value in a Stock

There you have the number-crunching, balance-sheet approach to finding value in the stock market. Those numbers are extremely important, but they aren't the only facts you need. If the stock meets most of the above tests, look for these additional signs of value.

- **The company's industry is on the rise.** Even though you can make money in a declining industry, you're more likely to succeed in big and growing markets than in small or shrinking ones. Exciting young industries offer profit potential (and often correspondingly higher risk), but the staying power of any particular company is hard to predict.
- **The company is a leader in its industry.** Being number one or two in its primary industry gives a company several advantages. As an industry leader it can influence pricing, rather than merely react to what others do. It has a bigger presence in the market: When the company introduces new products, those products stand a better chance of being accepted. Also, the company can afford the research necessary to create those new products.
- **The company invests in research and development.** Any company worthy of your investment dollars should be concerned about product development and future competitiveness. Compare the company's spending on research and development—both in actual dollars and as a percentage of earnings and sales—with that of other firms in its industry.

Dollar-Cost Averaging

Now that you know the characteristics of good stocks, you have to address the question of how to go about buying them. One of the biggest worries is timing. Suppose you're unlucky enough to buy at the very top of the market? Or suppose something unexpected happens to dash the price of your shares overnight? How can you protect yourself against bad things happening to good stocks while you're holding a basketful of them?

Dollar-cost averaging is a time-tested method of smoothing out the roller-coaster ride that awaits those who try to time the market. You don't have to be brilliant to make dollar-cost averaging work, and you don't even have to pay especially close attention to what's happening in the stock market or in economy. With dollar-cost averaging, you simply invest a fixed amount regularly, depending on your saving schedule. The key is to keep to your schedule, regardless of whether stock prices go up or down.

Because you're investing a fixed amount at fixed intervals, your dollars buy more shares when prices are low. As a result, the average purchase price of your stock will usually be lower than the average of the market prices over the same time.

Here's an example of how dollar cost averaging usually works. Say you invest \$300 a month over a six-month period in Acme Enterprises, a stock that ranges in price from a low of \$20 to a high of \$30. Here's a look at what dollar-cost averaging would do. (This example ignores brokerage commissions.)

FIRST MONTH: The stock is trading at \$30 a share. Your \$300 investment buys ten shares of Acme.

SECOND MONTH: The market has taken a tumble and the price of your stock has fallen to \$25. You buy 12 shares.

THIRD MONTH: Things have stabilized. The price of your stocks is still \$25, and you buy another 12 shares.

FOURTH MONTH: On news of a takeover bid by another company, the price soars to \$33. Your \$300 buys you only nine shares, with a little change left over.

FIFTH MONTH: The takeover bid falls through and the price dips back down to \$25. You pick up another 12 shares.

SIXTH MONTH: An earnings report that falls short of analysts' expectations causes a couple of mutual funds to sell your stock, pushing the price down to \$20 a share. You acquire 15 shares.

LET'S ADD IT UP: So far you've spent, in round numbers, \$1,800 (not counting commissions) and you own 70 shares of Acme, which means you paid an average of \$25.71 a share. Compare that with other ways you could have acquired the stock: If you had bought ten shares during each of those six months, you'd own 60 shares at an average price per share of \$26.33. If you had invested the entire \$1,800 at the start of the period, you'd own 60 shares at \$30 per share. You can begin to see the advantages of dollar-cost averaging.

Now, you might have noticed that at the end of the sixth month you were holding stock for which you had paid an average price of nearly \$26 in a market that was willing to pay you only \$20 a share. What now? Should you sell and cut your losses? Not necessarily. Now is a good time to reassess your faith in Acme; reexamine the fundamentals described earlier. If the fundamentals still justify your faith, this dip in the price represents a good opportunity to buy more shares.

Dollar-cost averaging won't automatically improve the performance of your portfolio. But don't underestimate the value of the added discipline, organization and peace of mind it gives you. It's natural to be frightened away from owning stocks when prices head down, even though experience has shown that such times can be the best time to buy.

Because they charge no sales commissions, no-load mutual funds can be better suited for dollar-cost averaging than stocks. You'd incur relatively large commissions to buy a small number of shares of stock, and your fixed monthly investment might not buy whole shares. You can buy fractional shares in a mutual fund. Many funds will let you arrange to have money transferred regularly from a bank account, and some can arrange payroll deductions.

Although dollar-cost averaging lets you put your investments on autopilot, you shouldn't leave them there indefinitely. Inflation and increases in your salary make your fixed-dollar contribution less meaningful over time, and you shouldn't continue to buy any stock merely out of habit. Reexamine the company's investment prospects on a regular schedule—at least once a year—and adjust your investment accordingly.

Reinvesting Your Dividends

Another investment strategy that, like dollar-cost averaging, pays little attention to the direction of prices uses corporate dividends to boost profits over the long term. It's called the direct investment plan, dividend reinvestment plan, or DRIP. More than 1,300 companies offer these special programs. Instead of sending you a check

The key to dollar-cost averaging is to keep to your schedule, whether stock prices go up or down.

for the dividends your initial shares earn, the company automatically reinvests your money in additional shares. Because most companies pay dividends quarterly, your portfolio grows every 90 days without your having to lift a finger.

In a DRIP, shares are held in a common account. You receive regular statements but no stock certificates unless you request them. Companies seldom promote their DRIPs, so unless you ask about them you may not know that they exist.

DRIPs have other advantages:

- **Small dividends buy fractional shares**, a help to small investors.
- **Many DRIPs let you make additional investments** on your own. In addition, a handful of companies allow you to buy more shares with your dividends, sometimes even offering DRIP shares at discounts of 3% to 5% from the market price.
- **You reduce risk** by investing via a DRIP because it's a form of dollar-cost averaging.
- **Some plans charge small fees**, such as a maximum \$2.50 administrative fee per transaction, or \$1 to \$15 if you want possession of stock certificates. Brokers who hold stocks that are in a DRIP charge little or nothing to add these shares to your account each dividend period.

HOW YOU JOIN. Joining a DRIP is easy. Just check the company's Web site or call its shareholder relations department for a prospectus and an application, and send back the completed form. Often, you must already own some stock before you can sign up.

You'll probably have to buy your first shares through a broker, register the stock in your own name (not in the broker's "street" name), and then transfer it to the DRIP. A small but growing number of companies will handle an initial purchase directly.

HOW YOU GET OUT. DRIPs can pose a problem when it's time to sell. Since most DRIP investors are long-termers, companies are not geared toward sales. It used to take weeks to get your money, but things are getting a little better. Many DRIP plans now purchase shares weekly or even daily; some even permit investors to sell their shares via the telephone. In some cases you need only write a letter stating the number of shares that you wish to sell, and the company will send you the proceeds. But other companies merely mail you a stock certificate, which you must then sell through a broker. A few firms also limit selling to specified amounts, such as 100-share lots.

If you don't plan to hold the stock for at least five years, a DRIP may not be for you. Remembering the rules of each plan can be confusing if you belong to several, and there's no guarantee those rules won't change. You may be limited to buying additional shares only at monthly or quarterly intervals that coincide with dividend payment dates. Money for voluntary cash purchases is often held by the company—at no interest—until the plan's purchase dates.

All reinvested dividends are taxable for the year they're paid, even though you don't see the money. And if the shares were bought at a discount from the market, the

amount of the discount is included in your taxable income in the year of purchase.

HOW TO PICK A DRIP. Don't buy a stock just because it offers a direct investment plan. Evaluate the company's fundamentals, as described earlier, and consider the following points:

Check the limits if you plan to invest additional cash through a DRIP. Some companies will let you contribute as little as \$10 per month. Others have higher minimums. Nearly all have maximums, ranging from \$1,000 to more than \$5,000 per month. Plans with the lowest minimums will be more attractive to small investors. Ask for the company's dividend record dates—when dividends are recorded on the books. By sending voluntary payments just before the record date you can cut down on waiting time for reinvestment. The same applies when you first sign up.

Check the prospectus. A few plans let you receive part of your dividends in cash and have part reinvested.

DIRECT-PURCHASE, OR NO-LOAD PLANS. While there are hundreds of no-fee DRIPs still available, the trend has been away from them. The plans that are displacing many DRIPs offer some of the features that have made mutual funds so popular. Most retain the dividend-reinvestment option but allow investors to avoid brokerage fees entirely by purchasing even the first share of stock directly from the company. These plans are called direct-purchase plans (DPPs), or no-load stocks. Most plans allow investors to make additional cash purchases on a weekly or monthly schedule via electronic debiting of their bank account. Some even allow you to set up an individual retirement account (IRA) or sell shares over the phone. A few offer discounts on the price of the stock and allow participants to borrow against the value of their shares, as they would with a margin account at a brokerage.

WHERE TO GET MORE INFORMATION. Several sources can provide a list of companies offering direct investment plans, plus details of those plans. Consult the most recent edition of (many available in your local library):

- **THE DIRECTORY OF DIVIDEND REINVESTMENT PLANS** covers more than 1,100 dividend reinvestment plans, including the ones that can be purchased directly from the company. Each company listing provides: address, phone number, stock symbol, business profile and plan specifics, including DRIP rating, performance rating and if any discounts are offered. (\$11.95, Horizon Publishing)
- **THE DIRECTORY OF COMPANIES OFFERING DIVIDEND REINVESTMENT PLANS**, by Sumie Kinoshita (\$36.95, plus \$3 shipping; Evergreen Enterprises LLC, P.O. Box 763, Laurel, MD 20725; 301-549-3939)
- **THE MONEYPAPER GUIDE TO DIRECT INVESTMENT PLANS** (\$27 for a four-month introductory offer; The Moneypaper Inc., 555 Theodore Fremd Ave., Suite B-103, Rye, NY 10580; www.directinvesting.com; 800-388-9993 or 914-925-0022)
- **CHARLES CARLSON'S DRIP INVESTOR NEWSLETTER** (\$69 for an annual subscription; Horizon Publishing Company, 7412 Calumet Ave., Hammond, IN 46324; www.dripinvestor.com; 800-233-5922 or 219-852-3200)

With a DRIP,
the company
automatically
reinvests your
dividends in
additional shares.

When to Sell a Stock

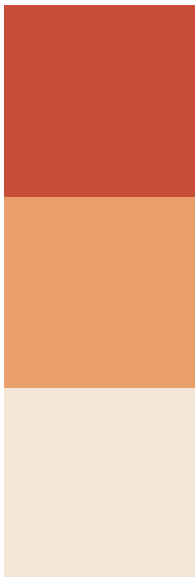
Deciding when to sell is just as important as deciding which stocks to buy in the first place. The refusal to sell, whether it's due to unrealistic expectations, stubbornness, lack of interest or mere inattention, is the undoing of many an investor.

As a long-term investor, you don't want to cash in every time your stock moves up a few dollars. Commissions and taxes would cut into your gain and, besides, you'd have to decide where to put the proceeds. By the same token, you don't want to bail out in a panic in the aftermath of a strong market decline.

Brokerage houses' research departments are slow to issue sell signals unless a company faces serious problems. When analysts get uneasy about a stock, they often use phrases like "weak hold." You should take that to mean, "Don't buy any more shares and if you've got a profit, seriously consider selling."

HOW TO TELL WHEN TO SELL.

Here are some clues that it is time to consider selling a profitable stock no matter what the analyst's report says.



- **The fundamentals change.** Whether you own a Fortune 500 company or a company most people have never heard of, you need to follow the corporation's prospects, its earnings progression and its business success as reflected in market share, unit sales growth and profit margin. Annual reports, news stories, research updates from brokerage houses, and investment newsletters are fertile sources of such information, along with the references listed on pages 6 and 7.

If the company's fundamentals start to weaken, it's time to reconsider your investment. An example might be a fast-expanding retail chain whose sales per store, after rising for years, suddenly decline. Maybe the profit margin has slacked off after a series of consistent increases. These problems could signal that the business has peaked.

- **The dividend is cut.** The progression and security of its dividend are important to any stock's prospects. A dividend cut or signs that the dividend is "in trouble"—meaning that analysts or creditors are quoted as saying they don't think the company can maintain its payout to shareholders—can undermine the stock price (but see the example on page 5).
- **You reach your target price.** Many investors set specific price targets, both up and down, when they buy a stock; when the stock reaches the target, they sell. A good target is to double or triple your money, or to limit your patience with a stock to a loss of 20%. Such guidelines can prompt you to take your gains in a timely fashion and to dump losers before the damage gets too painful.

You can take the simple step of setting a "mental protective stop." Watch the stock listings and sell any stock that hits your mental stop point. You can set your sell level anywhere, perhaps arbitrarily choosing a price level that will double your money, for example. Once you've reached your objective, take the money. If the goals you set are very conservative, you might miss some gains from

time to time, but that's better than holding on too long and falling victim to the Wall Street maxim that says: "Bulls make money, bears make money, pigs get slaughtered."

How Much Money Did You Make?

KEEP YOUR EYE ON THE TOTAL RETURN.

Some investors make the mistake of thinking that the change in price between the time they buy and the time they sell represents the sum total of how well or poorly their stocks perform. If a stock goes from \$20 to \$30, you've made \$10 a share; if it goes to \$15, you've lost \$5 per share. That way of looking at investment results doesn't go far enough.

The quickest way to recognize the shortcomings of looking only at price changes is to imagine buying a utility stock that pays a dividend of 6%. You buy it at \$20 and hold it for a year, then sell it for \$22. Was your gain limited to \$2 a share? No, because you collected that 6% dividend, which amounted to \$1.20 per share. Assuming you owned 100 shares for a year, you earned \$120 in dividends, plus the \$200 profit from the price increase. Thus your total return was \$320. Expressed as a percentage of your purchase price, you made 10% on the price of the shares, but your total return was 16%.

Counting dividends (whether you receive them as cash or reinvest them in additional shares) and interest as part of your investment return is really the only accurate way to figure it, whether you're dealing with stocks, bonds or mutual funds. Most compilations of investment results are compilations of total returns, and assume that earnings are reinvested in additional shares of the same investment and compound at the same rate.

On the other hand, forgetting to take commissions and taxes into account is a common way to overstate your profits.

Mistakes Even Smart Investors Make & How to Avoid Them

Even seasoned, smart investors sometimes make mistakes. Here's a list of six common ones:

- **Acting on tips.** Investors get compelling, authoritative tips from friends. You get "cold calls" from aspiring young brokers pushing companies you've never heard of. You get friendly calls from your own broker about stocks you know nothing about. You get urgent messages or "extra-hot" advice from an online news-group discussion. If you act on those suggestions without first investigating, you're begging for trouble. If your friend or broker knows this hot tip, so do a lot of other people. Assume that this information is already fully reflected in the stock's price. And if that's the case, is the stock still worth buying?
- **Getting sentimental.** Falling in love with a stock is a common mistake of retired employees who have accumulated lots of stock in the company they worked for. Children who later inherit those

When figuring
how much you
made, remember
to include
dividends, taxes
interest and
commissions.

shares have the same strong, sentimental attachment to the firm and tend to hang on. Don't do it. Weed out the poor performers in your portfolio, wherever they came from originally.

- **Forgetting taxes and commissions.** Say your 100 shares of a \$20 stock go up to \$22, so you believe you've made a 10% profit. However, when you figure in commission, your shares really cost more like \$2,050. If you sold for a \$50 commission, you'd get \$2,100—a 5% gain, pretax, that makes the simplicity and safety of bank CDs look good. Miscalculating this way makes it difficult for you to choose well among competing investments. Get an accurate idea of the tax and administrative costs of your investment when figuring your gains and losses.
- **Failing to diversify.** All your life, people have warned you against putting all your eggs in one basket. You no doubt understand the concept and believe it. But note this amazing fact: Many investors still put all their eggs in one basket. They tend to invest in clumps of things, thinking in terms of individual investments rather than in terms of industries. A carefully researched portfolio of auto-industry and airline stocks could all suffer losses at the same time by some common transportation problem such as increased fuel costs. A portfolio consisting of a diverse list of stocks could still lose value if it isn't balanced by certificates of deposit or other investments that will protect you if stock prices decline sharply.
- **Losing patience.** It's normal to feel let down when nothing much happens to your stocks right away. Don't lose heart, though. Make an investment not on the basis of a stock's performance over a few months or even a year. With a long-term outlook, if you selected the stock carefully and the fundamentals remain sound, hang in.
- **Buying a penny or microcap stock.** These are low-priced, not widely owned and not traded on any stock exchange. True, a \$1,000 investment in a \$1 stock gets you 1,000 shares. If the stock goes up a quarter, you've got a 25% profit. A little bit of this kind of speculation with money you can afford to lose might result in a big payoff. But the fact is, a dirt-cheap stock price is more likely a tip-off to a troubled company than to an undiscovered Microsoft.

Protect Your Money: How to Check Out a Broker or Adviser

Federal or state securities laws require brokers, advisers, and their firms to be licensed or registered, and to make important information public. But it's up to you to find that information and use it to protect your investment dollars. The good news is this information is easy to get, and one phone call or web search may save you from sending your money to a con artist, a bad broker, or disreputable firm.

This is very important, because if you do business with an unlicensed securities broker or a firm that later goes out of business, there may be no way for you to recover your money—even if an arbitrator or court rules in your favor.

BROKERS AND BROKERAGE FIRMS.

The Central Registration Depository (or “CRD”) is a computerized database that contains information about most brokers, their representatives, and the firms they work for. For instance, you can find out if brokers are properly licensed in your state and if they have had run-ins with regulators or received serious complaints from investors. You’ll also find information about the brokers’ educational backgrounds and where they’ve worked before their current jobs.

You can ask either your State Securities Regulator or NASD to provide you with information from the CRD. Your State Securities Regulator may provide more information from the CRD than NASD, especially when it comes to investor complaints, so you may want to check with them first. You’ll find contact information for your State Securities Regulator on the North American Securities Administrators Association (NASAA) Web site (www.nasaa.org). To contact NASD, go online to www.nasd.com, or call 800- 289-9999.

INVESTMENT ADVISERS.

People or firms that get paid to give advice about investing in securities must register with either the U.S. Securities and Exchange Commission (SEC) or the State Securities Regulator where they have their principal place of business. Investment advisers who manage \$25 million or more in client assets generally must register with the SEC. If they manage less than \$25 million, they generally must register with the State Securities Regulator.

Some investment advisers employ investment adviser representatives, the people who actually work with clients. In most cases, these people must be licensed or registered with your State Securities Regulator to do business with you. So be sure to check them out.

To find out about advisers and whether they are properly registered, read their registration forms, called the “Form ADV,” which has two parts. Part 1 has information about the adviser’s business and whether they’ve had problems with regulators or clients. Part 2 outlines the adviser’s services, fees and strategies. Before you hire an investment adviser, always ask for and carefully read both parts of the ADV.

You can view an adviser’s most recent Form ADV online at www.adviserinfo.sec.gov. The database contains Forms ADV only for investment adviser firms that register electronically using the Investment Adviser Registration Depository, but will expand to encompass all registered investment advisers—individuals as well as firms.

You can also get copies of Form ADV for individual advisers and firms from the investment adviser, your State Securities Regulator (page 16), or the SEC, depending on the size of the adviser. To contact your State Securities Regulator go online to www.nasaa.org. If the SEC registers the investment adviser, you can get the Form ADV for \$.24 per page (plus postage) from the SEC.

WRAP UP.

Stocks—whether they are purchased individually or through stock mutual funds—offer the best opportunity for long-term gains. Careful research and continued attention to your diversified portfolio, tempered by patience can help you achieve your investing goals.

**Investment
advisers must
register with
either the SEC or
State Securities
Regulator where
they do business.**

STATE SECURITIES REGULATORS

State Securities Regulators have protected investors from fraud for nearly 100 years. Securities markets are global but securities are sold locally by professionals who are licensed in every state where they conduct business. State Securities Regulators work within your state government to protect investors and help maintain the integrity of the securities industry.

Your State Securities Regulator can:

- Verify a broker-dealer or investment adviser is properly licensed;
- Provide information about: prior run-ins with regulators that led to disciplinary or enforcement actions; serious complaints that may have been lodged against them; their educational background and prior work history
- Provide a computer link or telephone number or address where you can file a complaint; and
- Provide non-commercial investor education and protection materials.

For contact information for your State Securities Regulator, visit the North American Securities Administrators Association (NASAA) Web site at www.nasaa.org and click on "Contact Your Regulator."

GLOSSARY

Bear market— A period when the stock market in general declines.

Beta— A measurement of a stock's performance calculated from past price patterns indicating how much a stock price can be expected to move in relation to a change in the market as a whole.

Bond— An interest-bearing security that obligates the issuer to pay a specified amount of interest for a specified time, usually several years, and then repay the bondholder the face amount of the bond.

Bull market— A period when the stock market in general increases.

Capital gain (and loss)— The difference between the price at which you buy an investment and the price at which you sell it.

Compound interest— Interest paid on interest. When interest is earned on an investment and added to the original amount of the investment, future interest payments are calculated on the new total.

Diversification— The method of balancing risk by investing in a variety of securities.

Dividends— Shares of company earnings paid out to stockholders.

Dollar-cost averaging— A program of investing a set amount on a regular schedule regardless of the price of the shares at the time.

DRIP— Stands for direct investing plan, dividend reinvestment plan, or reinvestment plan. A DRIP is a program under which a company automatically reinvests a shareholder's cash dividends in additional shares of stock.

Individual retirement account (IRA)— A tax-favored retirement plan. Contributions to a regular IRA may be tax deductible, depending on your income and if you are covered by a retirement plan at work. Earnings grow tax-deferred in a regular IRA. Earnings in a variation, the Roth IRA, grow tax-free, and contributions are made with after-tax dollars.

Portfolio— The collection of all of your investments.

Prospectus— A document that describes a securities offering or the operations of a mutual fund.

Return (total return)— A measure of investment performance that starts with price changes, then adds in the results of reinvesting all earnings generated by the investment during the period being measured.

Risk— The possibility that you may lose some (or all) of your original investment. In general, the greater the potential gain from an investment, the greater the risk is that you might lose money.

Shareholder's equity— Also book value, shareholder's equity. The difference between the company's assets and its liabilities

Stock— A share of stock that represents ownership in the company that issues it. The price of the stock goes up and down, depending on how the company performs and how investors think the company will perform in the future.

Street name— The term used to describe securities that are held in the name of your brokerage firm but that still belong to you.

Volatility— The degree to which a security varies in price. In general, the more volatile a mutual fund or stock, the more risk is involved.

The following booklets from the Editors of *Kiplinger's Personal Finance* magazine, the Investor Protection Trust and the American Library Association are available at your library.

FIVE KEYS TO INVESTING SUCCESS

- Make investing a habit
- Set exciting goals
- Don't take unnecessary risks
- Keep time on your side
- Diversify

THE BASICS FOR INVESTING IN STOCKS

- What is a stock?
- Types of stocks and their relative risks
- How to buy stocks
- Stock terms you need to know, such as price/earnings ratio (P/E), book value, dividend yield and dollar-cost averaging
- Selling your stocks and determining earnings
- Mistakes even seasoned investors sometimes make—and how to avoid them

A PRIMER FOR INVESTING IN BONDS

- What is a bond?
- How bonds work
- Types of bonds and their relative safety
- Why bonds can be an important part of your investment portfolio
- Yield and how it relates to bond prices
- Bond ratings and how they can help you reduce risk

MUTUAL FUNDS: MAYBE ALL YOU'LL EVER NEED

- What is a mutual fund?
- Advantages of investing in mutual funds
- Cost of investing in mutual funds
- Find the right mutual funds for you
- What to look for in a mutual fund prospectus
- Types of mutual funds and relative risk
- Determining your earnings

GETTING HELP WITH YOUR INVESTMENTS

- Choosing a broker
- Full-service, discount and online brokers
- Opening a brokerage account
- Records you need to keep
- Problems with your broker
- Financial advisers
- How to choose an adviser
- Investment clubs

WHERE TO INVEST YOUR COLLEGE MONEY

- Creating a college fund portfolio based on your time horizon
- College investment vehicles
- State-sponsored college savings plans

MAXIMIZE YOUR RETIREMENT INVESTMENTS

- Three fundamental truths about retirement investing
- Stocks, bonds and mutual funds to consider for your retirement portfolio
- Determining your portfolio mix, depending on your time horizon and risk tolerance
- Retirement investment vehicles



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Web: www.investorprotection.org



SEC

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Investor Bulletin: How to Read a 10-K

If you want to follow or invest in a U.S. public company, you can find a wealth of information in the company's annual report on Form 10-K. Among other things, the 10-K offers a detailed picture of a company's business, the risks it faces, and the operating and financial results for the fiscal year. Company management also discusses its perspective on the business results and what is driving them.

Most U.S. public companies are required to produce a 10-K each year and file it with the U.S. Securities and Exchange Commission (SEC). (Non-U.S. public companies usually file their annual reports with the SEC on different forms.) SEC rules require that 10-Ks follow a set order of topics.

SEC rules also require companies to send an annual report to their shareholders when they are holding annual meetings to elect members of their boards of directors. There is a lot of overlap in the requirements for the 10-K and the annual report to shareholders, but there are also important differences. The 10-K typically includes more detailed information than the annual report to shareholders. The annual report to shareholders, unlike the 10-K, sometimes appears as a colorful, glossy publication. A number of companies, however, simply take their 10-K and send it as their annual report to shareholders. In those cases, the 10-K filed with the SEC and the annual report to shareholders are the same document.

The “Business” section is a good place to start to understand the company.

The Roles of Companies and the SEC

The company writes the 10-K and files it with the SEC. Laws and regulations prohibit companies from making materially false or misleading statements in their 10-Ks. Likewise, companies are prohibited from omitting material information that is needed to make the disclosure not misleading. In addition, the Sarbanes-Oxley Act requires a company's CFO and CEO to certify the accuracy of the 10-K.

The SEC neither writes the 10-K nor vouches for its accuracy. The SEC sets the disclosure requirements – the topics that all companies must cover in their 10-Ks, and how the information should

be presented.

The SEC staff reviews 10-Ks to monitor and enhance companies' compliance with the requirements. Both the SEC and the staff also provide interpretive advice about the disclosure requirements. The SEC staff reviews 10-Ks and may provide comments to a company where disclosures appear to be inconsistent with the disclosure requirements or deficient in explanation or clarity.

The Sarbanes Oxley Act requires the SEC to review every public company's financial statements at least once every three years. The SEC staff may review the 10-Ks of certain companies more frequently. All 10-Ks filed with the SEC are available to the public on the SEC's EDGAR website. Most companies also post their 10-Ks on their own websites.

Items in the Annual Report on Form 10-K

Part I

Item 1 “**Business**” requires a description of the company’s business, including its main products and services, what subsidiaries it owns, and what markets it operates in. This section may also include information about recent events, competition the company faces, regulations that apply to it, labor issues, special operating costs, or seasonal factors. This is a good place to start to understand how the company operates.

Item 1A “**Risk Factors**” includes information about the most significant risks that apply to the company or to its securities. Companies generally list the risk factors in order of their importance. In practice, this section focuses on the risks themselves, not how the company addresses those risks. Some risks may be true for the entire economy, some may apply only to the company’s industry sector or geographic region, and some may be unique to the company.

Item 1B “**Unresolved Staff Comments**” requires the company to explain certain comments it has received from the SEC staff on previously filed reports that have not been resolved after an extended period of time. Check here to see whether the SEC has raised any questions about the company’s statements that have not been resolved.

Item 2 “**Properties**” includes information about the company’s significant properties, such as principal plants, mines and

other materially important physical properties.

Item 3 “**Legal Proceedings**” requires the company to include information about significant pending lawsuits or other legal proceedings, other than ordinary litigation.

Item 4 This item has no required information, but is reserved by the SEC for future rulemaking.

Part II

Item 5 “**Market for Registrant’s Common Equity, Related Stockholder Matters and Issuer Purchases of Equity Securities**” requires information about the company’s equity securities, including market information, the number of holders of the shares, dividends, stock repurchases by the company, and similar information.

Item 6 “**Selected Financial Data**” provides certain financial information about the company for the last five years. You can find much more detailed financial information on the past three years in a separate section – Item 8, “Financial Statements and Supplementary Data.”

Item 7 “**Management’s Discussion and Analysis of Financial Condition and Results of Operations**” gives the company’s perspective on the business results of the past financial year. This section, known as the MD&A for short, allows

Items in the Annual Report on Form 10-K

company management to tell its story in its own words. The MD&A presents:

- The company's operations and financial results, including information about the company's liquidity and capital resources and any known trends or uncertainties that could materially affect the company's results. This section may also discuss management's views of key business risks and what it is doing to address them.

Discussion of Risk in the MD&A

Here are examples of how an MD&A may discuss risks that the company faces.

- A consumer company might discuss ways in which it seeks to meet changing tastes.
- A manufacturing company that relies on natural resources may discuss how it assesses commodity risks and conducts resource management programs.
- A financial institution may discuss ways that management monitors liquidity and assures adequate capital under various scenarios, such as a rise in interest rates or a ratings downgrade.
- A global company may discuss how it handles exchange rate risks.
- Companies may discuss how they handle competition, build their brands, or manage in an economic downturn.
- Companies also may discuss how they ensure compliance with laws and regulations, or how they are addressing the impact of new or anticipated laws and regulations.

- Material changes in the company's results compared to the prior period, as well as off-balance sheet arrangements and the company's contractual obligations.
- Critical accounting judgments, such as estimates and assumptions. These accounting judgments – and any changes from previous years – can have a significant impact on the numbers in the financial statements, such as assets, costs, and net income.

Item 7A

“Quantitative and Qualitative Disclosures about Market Risk” requires information about the company's exposure to market risk, such as interest rate risk, foreign currency exchange risk, commodity price risk or equity price risk. The company may discuss how it manages its market risk exposures.

Item 8

“Financial Statements and Supplementary Data” requires the company's audited financial statements. This includes the company's income statement (which is sometimes called the statement of earnings or the statement of operations), balance sheets, statement of cash flows and statement of stockholders' equity. The financial statements are accompanied by notes that explain the information presented in the financial statements.

U.S. companies are required to present their financial statements according to a set of accounting standards, conventions and rules known as Generally Accepted

Items in the Annual Report on Form 10-K

Accounting Principles, or GAAP. An independent accountant audits the company's financial statements. For large companies, the independent accountant also reports on a company's internal controls over financial reporting.

The auditor's report is a key part of the 10-K. Most audit reports express an "unqualified opinion" that the financial statements fairly present the company's financial position in conformity with GAAP. If, however, an auditor expresses a "qualified opinion" or a "disclaimer of opinion," investors should look carefully at what kept the auditor from expressing an unqualified opinion. Likewise, investors should carefully evaluate material weaknesses disclosed on internal controls over financial reporting.

In addition, the Sarbanes-Oxley Act of 2002 requires the company's CEO and CFO to certify that the 10-K is both accurate and complete. These are called Sections 302 and 906 certifications, and you can usually find them in Exhibits 31 and 32.

You may also find "non-GAAP financial measures" in the 10-K. That means that the numbers do NOT conform to GAAP. While companies are permitted to present non-GAAP measures, they must also show how they differ from the most comparable corresponding GAAP financial measure. As an investor, it is up to you to

decide how much weight to give to non-GAAP measures.

Item 9

"Changes in and Disagreements with Accountants on Accounting and Financial Disclosure" requires a company, if there has been a change in its accountants, to discuss any disagreements it had with those accountants. Many investors view this disclosure as a red flag.

Item 9A

"Controls and Procedures" includes information about the company's disclosure controls and procedures and its internal control over financial reporting.

Item 9B

"Other Information" includes any information that was required to be reported on a different form during the fourth quarter of the year covered by the 10-K, but was not yet reported.

Part III

These items cover the following topics.

Item 10

"Directors, Executive Officers and Corporate Governance" requires information about the background and experience of the company's directors and executive officers, the company's code of ethics, and certain qualifications for directors and committees of the board of directors.

Items in the Annual Report on Form 10-K

Item 11 “**Executive Compensation**” includes detailed disclosure about the company’s compensation policies and programs and how much compensation was paid to the top executive officers of the company in the past year.

Item 12 “**Security Ownership of Certain Beneficial Owners and Management and Related Stockholder Matters**” requires information about the shares owned by the company’s directors, officers and certain large shareholders, and about shares covered by equity compensation plans.

Item 13 “**Certain Relationships and Related Transactions, and Director Independence**” includes information about relationships and transactions between the company and its directors, officers and their family members. It also includes information about whether each director of the company is independent.

Item 14 “**Principal Accountant Fees and Services**” requires companies to disclose the fees they paid to their accounting firm for various types of services during the year.

Although these disclosures are required by the 10-K, most companies meet this requirement by providing the information in a separate document called the proxy statement, which companies provide to their shareholders in connection with annual meetings. If the information is provided through the proxy statement, the 10-K would include a statement from the company that it is incorporating the information from the proxy statement by reference – in effect directing readers to go to the proxy statement document to find this information. Keep in mind that the proxy statement is typically filed a month or two after the 10-K.

Part IV

Item 15 “**Exhibits, Financial Statement Schedules**” requires a list of the financial statements and exhibits included as part of the Form 10-K. Many exhibits are required, including documents such as the company’s bylaws, copies of its material contracts, and a list of the company’s subsidiaries.

Additional Resources

- For more information on the annual report to shareholders, please visit www.sec.gov/answers/annrep.htm
- For information on how to find company proxy statements on the SEC's EDGAR database, please visit www.sec.gov/answers/proxyhtf.htm
- For our "Researching Public Companies Through EDGAR: A Guide for Investors," please visit www.sec.gov/investor/pubs/edgar-guide.htm
- For the SEC General Instructions for Form 10-K, please visit <http://www.sec.gov/about/forms/form10-k.pdf>
- For more information on proxy statements, please visit the SEC's Spotlight on Proxy Matters at <http://www.sec.gov/spotlight/proxy-matters.shtml>
- For additional educational information for investors, see the SEC Office of Investor Education and Advocacy's website for investors, www.investor.gov.

The Office of Investor Education and Advocacy has provided this information as a service to investors. It is neither a legal interpretation nor a statement of SEC policy. If you have questions concerning the meaning or application of a particular law or rule, please consult with an attorney who specializes in securities law.

